Chapter 13. Procedure and Remedies Against the Crown*

I. Jurisdiction of the Federal and Provincial Courts

A. Introduction; The Constitution Act, 1867

13:1. Introduction

It is well known that specific rules apply when suing the Crown and that those issues must be considered prior to commencing proceedings. There are many examples of circumstances in which practitioners have commenced proceedings against the Crown, whether it be in the Federal Court or a provincial superior court, only later to be met with an order dismissing the action for want of jurisdiction or as a result of Crown immunity. A similar problem exists where an action is successful but the remedy sought, whether it be interlocutory or final, is later found to be unavailable. All of these circumstances can be avoided.

The starting point in almost every case against the Crown, whether it be the federal or provincial Crown, will be the applicable Crown proceedings legislation.[1] If an action will be commenced against the federal Crown, a review of the *Federal Courts Act*[2] should be conducted. To be clear, certain remedies are still unavailable against the Crown, and in many jurisdictions the Crown continues to enjoy other procedural protections not enjoyed by non-Crown litigants.

13:2. The *Constitution Act, 1867*

The *Constitution Act, 1867*[1] sets out the structure of government in Canada and is the starting point in considering the jurisdiction of the federal and provincial courts.

Section 101 of the *Constitution Act, 1867* states:

> 101. The Parliament of Canada may, notwithstanding anything in this Act, from Time to Time provide for the Constitution, Maintenance, and Organization of a General Court of Appeal for Canada, and for the Establishment of any additional Courts for the better Administration of the Laws of Canada.

Section 101 provides Parliament with the jurisdiction to: (a) create, maintain and organize a *general court of appeal for Canada* (being the Supreme Court of Canada); and (b) establish any additional courts for the better administration of the *laws of Canada* (being the Federal Court and the Federal Court of Appeal). Given the wording of s. 101, and in particular

---

*

By Rochelle Collette and Claire Hildebrand, partners at Blake, Cassels & Graydon LLP, with assistance from Parmida Elahi. Originally written by Peter L. Rubin and James Sullivan, partners at Blake, Cassels & Graydon LLP.

1

Discussed in §§1:18 to 1:20.

2

R.S.C. 1985, c. F-7.

1

(U.K.), 30 & 31 Vict., c. 3, reprinted in R.S.C. 1985, App. II, No. 5.

the requirement that the additional courts be established for the better administration of the laws of Canada, the Federal Court and Federal Court of Appeal have less sweeping powers than provincial superior courts and are not courts of inherent jurisdiction. The *Constitution Act, 1867* does not allow the creation of a Federal Court with general jurisdiction like that provided to provincial superior courts. This fact is important when considering the powers assigned to the federal Parliament through the *Constitution Act, 1867* and the jurisdiction of the Federal Court.

Section 92(14) of the *Constitution Act, 1867* provides that, in each province, the Legislature may exclusively make laws in relation to matters coming within:

> The Administration of Justice in the Province, including the Constitution, Maintenance, and Organization of Provincial Courts, both of Civil and Criminal Jurisdiction, and including Procedure in Civil Matters in those Courts.

While it is usual to refer to these courts as provincial, they are so only in a limited sense. Courts constituted pursuant to s. 92(14) are bound to execute all laws in force in the Dominion, whether they are enacted by Parliament or the local Legislatures.[2] A basic principle governing the Canadian judicial system is the jurisdiction of provincial superior courts in all matters federal and provincial.[3] It was a desire to avoid the difficulties of divided jurisdiction that motivated the provision of the provincial superior courts with general jurisdiction.[4] Parliament is entitled to derogate from the jurisdiction of provincial superior courts through the creation of Federal Courts and by assigning exclusive jurisdiction to that court, but only within the constitutional limits as set out in s. 101 of the *Constitution Act, 1867* in matters relating to the better administration of the laws of Canada. However, it is well established that the complete ouster of jurisdiction from the provincial superior courts in favour of vesting exclusive jurisdiction in a statutory court (rather than simply concurrent jurisdiction with the superior courts) requires clear, explicit and unambiguous statutory language to this effect.[5]

As a result of the *Constitution Act, 1867* we have the judicial structure that currently exists today. Individual provinces have the constitutional right to control the administration of justice in their province, the Parliament of Canada has the right to create Federal Courts for

---

2

R. v. Thomas Fuller Construction Co. (1958) Ltd. (*sub nom.* Canada v. Foundation Co. of Canada), [1980] 1 S.C.R. 695 at pp. 706 -707, 106 D.L.R. (3d) 193~~, 12 C.P.C. 248, 30 N.R. 249~~ (S.C.C.).

3

R. v. Thomas Fuller Construction Co. (1958) Ltd. (*sub nom.* Canada v. Foundation Co. of Canada), [1980] 1 S.C.R. 695 at p. 713, 106 D.L.R. (3d) 193~~, 12 C.P.C. 248, 30 N.R. 249~~ (S.C.C.).

4

R. v. Thomas Fuller Construction Co. (1958) Ltd. (*sub nom.* Canada v. Foundation Co. of Canada), [1980] 1 S.C.R. 695 at p. 706, 106 D.L.R. (3d) 193~~, 12 C.P.C. 248, 30 N.R. 249~~ (S.C.C.).

5

TeleZone Inc. v. Canada (Attorney General), ~~[2010] 3 S.C.R. 585,~~ 2010 SCC 62~~, 13 Admin. L.R. (5th) 24, 410 N.R. 1, 196 A.C.W.S. (3d) 98 (S.C.C.),~~ at paras. 42, 45.

matters relating to the “laws of Canada”, and the Parliament of Canada has the right to create the Supreme Court of Canada as a court of appeal for both the provincial superior courts and the Federal Courts.

B. Federal Court

1. Introduction; The 1971 and 1992 Amendments

13:3. Introduction

The Federal Court is an interesting creation which has garnered significant judicial and academic commentary. While it is beyond doubt that only Parliament can pass legislation permitting the commencement of proceedings against the federal Crown,[1] the existence of the Federal Court is not required, and it could be disbanded in favour of provincial superior courts. The existence of the Federal Court may seem odd to some, if not most, given the constitutional landscape of Canada, the existence of only one Crown, the decisions of the Supreme Court of Canada in such cases as *Morguard Investments Ltd. v. De Savoye*[2] and *Hunt v. T & N plc*[3] regarding the practical unitary nature of the Canadian court system, and the fact that all provincial superior court judges are appointed and paid by the federal authorities. Given the above, in addition to the fact that all Canadian courts are subject to review by the Supreme Court of Canada, it can be argued that the existence of the Federal Court is unnecessary and complicating. In any event, the Federal Court has existed, in one form or another, since 1875,[4] and its jurisdiction must be considered by practitioners when considering actions against the Crown.

13:4. **The 1971 Amendments**

In 1971 the Exchequer Court of Canada was replaced by the Federal Court *per* the *Federal Court Act*, R.S.C. 1970, c. 10 (2nd Supp.). Both the Exchequer Court and the Federal Court were created pursuant to the grant of authority given to Parliament by s. 101 of the

---

1

Rudolph Wolff & Co. v. Canada, [1990] 1 S.C.R. 695~~,~~ at p. 703, 69 D.L.R. (4th) 392~~, 39 O.A.C. 1, 43 Admin. L.R. 1, 46 C.R.R. 263, 41 C.P.C. (2d) 1, 106 N.R. 1, 20 A.C.W.S. (3d) 204~~ (S.C.C.).

2

Morguard Investments Ltd. v. De Savoye, [1990] 3 S.C.R. 1077, 76 D.L.R. (4th) 256~~, [1991] 2 W.W.R. 217, 52 B.C.L.R. (2d) 160, 46 C.P.C. (2d) 1, 15 R.P.R. (2d) 1, 122 N.R. 81, 24 A.C.W.S. (3d) 478~~ (S.C.C.).

3

Hunt v. T & N plc, [1993] 4 S.C.R. 289, 109 D.L.R. (4th) 16, ~~[1994] 1 W.W.R. 129, 85 B.C.L.R. (2d) 1, 21 C.P.C. (3d) 269, 161 N.R. 81~~ *sub nom.* Hunt v. Lac d'Amiante du Québec Ltée~~, 60 W.A.C. 161, 43 A.C.W.S. (3d) 1070~~ (S.C.C.).

4

An Act to establish a Supreme Court, and a Court of Exchequer, for the Dominion of Canada, S.C. 1875, c. 11, s. 58.

Constitution Act, 1867. The Federal Court of Canada was similar to its predecessor but was given certain expanded jurisdiction, particularly concerning responsibilities related to judicial review of federal administrative tribunals, boards and commissions.[1]

Prior to the very significant 1992 amendments to the *Federal Court Act*, R.S.C. 1970, c. 10 (2nd Supp.), the Federal Court retained exclusive jurisdiction (to the exclusion of provincial superior courts) over a much larger ambit of actions against the federal Crown than presently exists today. Essentially, any action against the federal Crown was required to be commenced in the Federal Court,[2] while the federal Crown was permitted to commence proceedings in either the Federal Court or the provincial courts.[3] This retention by the Federal Court of exclusive jurisdiction created, in the words of the Supreme Court of Canada, unnecessary hardship, delays and additional unnecessary expense for litigants.[4] Prior to the 1992 amendments to the *Federal Court Act*, ss. 17(1) and 17(2) of the *Federal Court Act*, R.S.C. 1970, c. 10 (2nd Supp.), read as follows:

> 17. (1) The Trial Division has original jurisdiction in all cases where relief is claimed *against the Crown* and, except where otherwise provided, the Trial Division has *exclusive original jurisdiction in all such cases.*
> (2) Without restricting the generality of subsection (1), the Trial Division has *exclusive original jurisdiction*, except where otherwise provided, in all cases in which the land, goods or money of any person are in the possession of the Crown or in which the claim arises out of a contract entered into by or on behalf of the Crown, and in all cases in which there is a claim against the Crown for injurious affection. [Emphasis added.]

The language used in ss. 17(1) and (2) was so broad that the vast majority of actions and relief sought in proceedings against the federal Crown were caught. Essentially, if the federal Crown was to be a defendant, it most likely had to be sued in the Federal Court. As previously discussed, the authority of Parliament to confer jurisdiction on the Federal Court stems from the

---

1

See TeleZone Inc. v. Canada (Attorney General), ~~[2010] 3 S.C.R. 585,~~ 2010 SCC 62~~, 13 Admin. L.R. (5th) 24, 410 N.R. 1, 196 A.C.W.S. (3d) 98 (S.C.C.),~~ at paras. 49-50, for a discussion on the Parliamentary intent related to the 1971 legislative amendments.

2

In Rudolph Wolff & Co. v. Canada, [1990] 1 S.C.R. 695, 69 D.L.R. (4th) 392, ~~39 O.A~~(S.C.~~1, 43 Admin. L.R. 1, 46~~ C.~~R.R. 263, 41 C.P.C. (2d) 1, 106 N.R. 1, 20 A.C.W.S. (3d) 204~~), the Supreme Court of Canada held that the provisions of the *Federal Court Act*, which conferred exclusive jurisdiction on the Federal Court, were not inconsistent with s. 15 of the *Charter*.

3

There is judicial support for actions against the federal Crown in provincial superior courts, even prior to the 1992 amendments, where the constitutionality of legislation or administrative action is challenged: see Canada (Attorney General) v. Law Society of British Columbia, [1982] 2 S.C.R. 307, 137 D.L.R. (3d) 1~~, [1982] 5 W.W.R. 289, 66 C.P.R. (2d) 1, 37 B.C.L.R. 145, 19 B.L.R. 234, 43 N.R. 451~~ (S.C.C.).

4

Rudolph Wolff & Co. v. Canada, [1990] 1 S.C.R. 695, at p. 703, 69 D.L.R. (4th) 392~~, 39 O.A.C. 1, 43 Admin. L.R. 1, 46 C.R.R. 263, 41 C.P.C. (2d) 1, 106 N.R. 1, 20 A.C.W.S. (3d) 204~~ (S.C.C.).

Constitution Act, 1867. As such, for the Federal Court to have exclusive jurisdiction in an action against the Crown, the requirements of both the *Federal Court Act* and the *Constitution Act, 1867* had to be met.

Plaintiffs suing the federal Crown encountered a number of jurisdictional and procedural difficulties. For example:

> (a) plaintiffs wishing to commence proceedings against multiple defendants, one of which was the federal Crown, were forced into a multiplicity of proceedings as a result of being required to sue the federal Crown in the Federal Court and the remaining defendants in provincial superior courts;[5]
>
> (b) plaintiffs wishing to commence proceedings, based on multiple causes of action, some of which fell within the jurisdiction of the Federal Court and some of which did not, could face a multiplicity of proceedings;[6] and
>
> (c) actions in which counterclaims and third party proceedings arose in Federal Court proceedings potentially required those claims to be pursued in separate proceedings in provincial superior courts. Of course, some of the difficulties noted above created problems for the federal Crown as well. In *R. v. Thomas Fuller Construction*,[7] the Crown defendant was not permitted to advance third party proceedings in the Federal Court due to the limited nature of that court's jurisdiction. In British Columbia, McEachern C.J. had this to say about the federal and provincial jurisdictional issues:
>
> Dual jurisdiction which exists in many countries without noticeable success seems to be increasing in Canada. I must leave it to Parliament to decide if dual jurisdiction is in the public interest. With great deference I suggest it is not, except perhaps in particular matters, if any, which are thought to require judicial specialization not available in the provincial superior courts.[8]

In *Dywidag Systems International, Canada Ltd. v. Zutphen Brothers Construction Ltd.*,[9] the Appeal Division of the Nova Scotia Supreme Court said this concerning the Federal Court's jurisdiction:

> The present laws lead Mr. J.M. Evans to conclude in a comment on the situation in "Comments on Legislation and Judicial Decisions", 59 Can. Bar Rev. 124 (1981), at p. 139, as follows:

5

See Pacific Western Airlines Ltd. v. Canada, [1979] 2 F.C. 476 at p. 490, [1979] F.C.J. No. 65~~, 14 C.P~~ (F.C.~~ 165 (~~), aff'd [1980] 1 F.C. 86, [1979] F.C.J. No. 135 (F.C.A.)~~, at para. 47.~~

6

Quebec Ready Mix Inc. v. Rocois Construction Inc., [1989] 1 S.C.R. 695, 60 D.L.R. (4th) 124~~, 48 C.C.C. (3d) 501, 25 C.P.R. (3d) 304, 93 N.R. 388, 7 W.C.B. (2d) 100~~ (S.C.C.).

7

R. v. Thomas Fuller Construction Co. (1958) Ltd. (*sub nom.* Canada v. Foundation Co. of Canada), [1980] 1 S.C.R. 695, 106 D.L.R. (3d) 193~~, 12 C.P.C. 248, 30 N.R. 249~~ (S.C.C.).

8

Lavers v. British Columbia (Minister of Finance) (1985), 18 D.L.R. (4th) 477, at p. 479, 62 B.C.L.R. 327~~, 16 C.R.R. 17, [1985] 2 C.T.C. 19, 85 D.T.C. 5218, 31 A.C.W.S. (2d) 200~~ (S.C.), aff'd 64 D.L.R. (4th) 193, 41 B.C.L.R. (2d) 307~~, 74 C.R. (3d) 21, [1990] 1 C.T.C. 265, 90 D.T.C. 6017, 18 A.C.W.S. (3d) 740~~ (C.A.)~~, at para. 5.~~.

9

Dywidag Systems International, Canada Ltd. v. Zutphen Brothers Construction Ltd. (1987), 35 D.L.R. (4th) 433, 76 N.S.R. (2d) 398, ~~29 C.R.R. 6, 17 C.P.C. (2d) 149,~~ *sub nom.* Dywidag v. Zutphen~~, 2 A.C.W.S. (3d) 421~~ (S.C.A.D.), rev'd [1990] 1 S.C.R. 705, 68 D.L.R. (4th) 147~~, 97 N.S.R. (2d) 181, 40 C.L.R. 1, 46 C.R.R. 259, 41 C.P.C. (2d) 18, 106 N.R. 11, 20 A.C.W.S. (3d) 353~~ (S.C.C.).

> "The most important instance is when a plaintiff wishes to sue the federal Crown. The result of the decisions of the Supreme Court of Canada so far considered in this comment would appear to require the possible institution of four suits in order to resolve all the issues of legal liability that may arise when the Crown is one of several defendants: (1) the plaintiff must sue the Crown in the Federal Court; (2) proceedings against other defendants must be instituted in a court in the appropriate province or abroad; (3) if held liable, the federal Crown can only sue for contribution in a provincial court; (4) other defendants can only claim contribution against the Crown in the Federal Court. A legal system capable of inflicting outrages such as these upon the parties to litigation over commonplace occurrences is manifestly functioning at an unacceptably low level. It would surely take some very special pleading indeed to convince an unfortunate client that such bizarre consequences are dictated by fundamental constitutional considerations."
>
> This was not the first criticism of the situation. In an article in "Proceedings By and Against The Crown in Canada", 26 Can. Bar Rev. 373 (1948), at pp. 384-5, Mr. D. Park Jamieson stated almost 40 years ago:
>
> "The present position in Canada, with respect to legal proceedings by and against the Crown (both in the right of the Dominion and the Provinces), might well be described in the words of Sir M.S. Amos, (as quoted by Professor Kennedy), with the single change of the concluding word 'England' to 'Canada':
>
> 'Contrary to common belief, there is, so far as we know, no civilized country in which the right of the ordinary citizen to judicial protection against Government is more limited, or more embarrassed, by obscurities, paradoxes and pitfalls than is the case in England.'
>
> Reform in the law respecting actions by and against the Crown is long overdue. On the part both of the legal profession and the public there is a great desire for simplification of legal proceedings in which the Crown is a party. One would find it difficult to give any good reason why actions in which the Crown is a party should be on any different basis from those between subject and subject. The maxim, 'the King can do no wrong', can have no valid application to present conditions resulting from the growth of public ownership and the increasing tendency of governments and their departments, agencies and servants to enter the business field in competition with private enterprise. The prerogative of the Crown has no place in a business enterprise, even though the business is government owned or operated.
>
> Procedure by petition of right and the exclusive jurisdiction of the Exchequer Court have resulted in useless litigation, unnecessary difficulties, delays and often inequities."[10]

Whether due to academic or judicial discontent, difficulties encountered by the Crown as described in *R. v. Thomas Fuller Construction*, or an acknowledgement of the general unfairness and hardship caused by the breadth of the exclusive jurisdiction provisions in the *Federal Court Act*, Parliament substantially revised the jurisdictional landscape of the Federal Court in 1992.

13:5. The 1992 Amendments

On February 1, 1992, Parliament enacted legislation[1] significantly altering proceedings against the federal Crown and the jurisdiction of the Federal Court through amendments to both the *Federal Courts Act* and the federal *Crown Liability Act.* The Federal Court was given concurrent, as opposed to exclusive, jurisdiction over the matters described in ss. 17(1) and (2) of

---

10

Dywidag Systems International, Canada Ltd. v. Zutphen Brothers Construction Ltd. (1987), 35 D.L.R. (4th) 433 at pp. 445–46, 76 N.S.R. (2d) 398, ~~29 C.R.R. 6, 17 C.P.C. (2d) 149,~~ *sub nom.* Dywidag v. Zutphen~~, 2 A.C.W.S. (3d) 421~~ (S.C.A.D.), rev'd [1990] 1 S.C.R. 705, 68 D.L.R. (4th) 147~~, 97 N.S.R. (2d) 181, 40 C.L.R. 1, 46 C.R.R. 259, 41 C.P.C. (2d) 18, 106 N.R. 11, 20 A.C.W.S. (3d) 353~~ (S.C.C.)~~, at pp. 445-446.~~.

1

Bill C-38~~ or~~, *An Act to amend the Federal Court Act, the Crown Liability Act, the Supreme Court Act and other Acts in consequence thereof*, S.C. 1990, c. 8.

the *Federal Courts Act*, thereby allowing a plaintiff to proceed against the federal Crown in a provincial superior court rather than the Federal Court on a great number of matters.

Section 17 of the *Federal Courts Act* was amended and the new s. 17 reads, in part, as follows:

> 17. (1) Except as otherwise provided in this Act or any other Act of Parliament, the Federal Court has *concurrent* original jurisdiction in all cases where relief is claimed against the Crown.
> (2) Without restricting the generality of subsection (1), the Federal Court has *concurrent* original jurisdiction, except as otherwise provided, in all cases in which
> (a) the land, goods or money of any person is in the possession of the Crown;
> (b) the claim arises out of a contract entered into by or on behalf of the Crown;
> (c) there is a claim against the Crown for injurious affection; or
> (d) the claim is for damages under the *Crown Liability and Proceedings Act.* [Emphasis added.]

The new legislation responded to many of the problems created by granting the Federal Court exclusive jurisdiction in actions against the Crown. Jurisdictional issues were simplified and a number of problems related to multiplicity of proceedings, which plagued parties prior to the changes, were rectified.[2]

The most significant provision in the new *Crown Liability and Proceedings Act*[3] was that which provided in all cases where a claim was made against the federal Crown, except where the Federal Court retained exclusive jurisdiction, the courts of the province in which the claim arose would have concurrent jurisdiction over the subject matter of the claim.[4] Of course, the plaintiff still retained the option of commencing actions against the federal Crown in the Federal Court, provided the jurisdictional requirements were met, but was not *required* to do so in most circumstances. Given the change from exclusive to concurrent jurisdiction in the Federal Court over certain matters, the new *Crown Liability and Proceedings Act* provided a more comprehensive scheme related to all actions against the federal Crown (regardless of where that action was commenced), and the *Federal Courts Act* was limited in its applicability to issues related to proceedings in that court.

2. Current Jurisdiction of the Federal Court[5]

13:6. Introduction

As a starting point, the jurisdiction of the Federal Court is statutory and limited (or

---

2 Multiplicity of proceedings can still be an issue despite the amendments. For instance, a defendant sued by the Crown in the Federal Court likely cannot issue third party proceedings in that court given the jurisdictional issues.

3 R.S.C. 1985, c. C-50.

4 R.S.C. 1985, c. C-50, s. 21.

5 The discussion in this Chapter focuses on the jurisdiction of the Federal Court and not the Federal Court of Appeal. However, the principles are equally applicable.

exceptional), whereas the provincial superior courts enjoy general and inherent jurisdiction.[1] The jurisdiction of the Federal Court flows from s. 101 of the *Constitution Act, 1867*,[2] and through the *Federal Courts Act*[3] and *Federal Courts Rules*.[4] Jurisdiction of the Federal Court cannot be presumed but must be positively demonstrated.[5] However, while the Federal Court lacks inherent jurisdiction, it does possess implied jurisdiction where such jurisdiction is necessary for the court to fulfil its statutorily granted jurisdiction.[6]

As outlined earlier, s. 101 of the *Constitution Act, 1867*, provides Parliament with the jurisdiction to establish any additional courts for the "better administration of the laws of Canada". The *Constitution Act, 1867* does not allow the creation of a Federal Court with general jurisdiction like that provided to provincial superior courts. As such, the Federal Court can only

---

1

There was some disagreement as to the principles to be applied in interpreting the jurisdiction given to the Federal Court in the decision of the Supreme Court of Canada in Canada (Human Rights Commission) v. Canadian Liberty Net, [1998] 1 S.C.R. 626, 157 D.L.R. (4th) 385~~, 6 Admin. L.R. (3d) 1, 31 C.H.R.R. D/433, 50 C.R.R. (2d) 189, 22 C.P.C. (4th) 1, 147 F.T.R. 305*n*, 224 N.R. 241, 78 A.C.W.S. (3d) 705~~ (S.C.C.) ~~("*Canadian Liberty Net*")~~, a decision of five members of the court with McLachlin J. (as she then was) and Major J. dissenting on the jurisdictional appeal.

2

The *Constitution Act, 1867* empowers Parliament to establish courts for the better Administration of the Laws of Canada (in addition to the superior courts constituted pursuant to s. 96 which are otherwise constitutionally prescribed).

3

Federal Courts Act, R.S.C. 1985, c. F-7.

4

Federal Courts Rules, SOR/98-106.

5

The issues of jurisdiction of the Federal Court as discussed in this chapter are not to be confused with whether the Federal Court has "inherent jurisdiction" or "implied jurisdiction" once the jurisdiction of the Federal Court is ascertained. In Nu-Pharm Inc. v. Canada (Attorney General) (C.A.), [2000] 1 F.C. 463 at para. 5, 179 D.L.R. (4th) 531~~, 38~~ (C.~~P.C. (4th) 288, 2 C.P.R. (4th) 49, 247 N.R. 227, 91~~ A.~~C.W.S. (3d) 301, at para. 5~~), it was held that, "once the jurisdiction of the Federal Court is ascertained, the Federal Court must have, vested as it is by s. 3 of the *Federal Courts Act* with the status of a superior court, all the necessary powers to exercise that jurisdiction~~"~~."

6

R. v. 974649 Ontario Inc., ~~[2001] 3 S.C.R. 575,~~ 2001 SCC 81, ~~206 D.L.R. (4th) 444, 154 O.A.C. 345, 159 C.C.C. (3d) 321, 47 C.R. (5th) 316~~ *sub nom.* Ontario v. 974649 Ontario Inc.~~, 88 C.R.R. (2d) 189, 279 N.R. 345, 51 W.C.B. (2d) 452, 56 O.R. (3d) 359*n* (S.C.C.).~~

assume jurisdiction, regardless of the provisions contained in the *Federal Courts Act*, or in another Act of Parliament, if this constitutional requirement is met. The issue, of course, becomes one of determining the meaning of the phrase "better administration of the laws of Canada". What is clear is that the phrase "the laws of Canada" does not encompass all laws in force in Canada regardless of the source; it refers only to federal laws.

When considering commencing proceedings against the Crown in the Federal Court, resort must be had to: (1) the provisions of the *Federal Courts Act*, or to another Act of Parliament sought to be relied upon, to determine whether that Act provides the Federal Court with exclusive or concurrent jurisdiction in the subject matter; *and* (2) an analysis of whether or not the action meets the constitutional requirements set out in s. 101. Put another way, in establishing Federal Court jurisdiction, it is not enough that there be an express grant of jurisdiction in the *Federal Courts Act* or another Act of Parliament. The plaintiff must ensure that the s. 101 requirements have been satisfied in that Parliament has the power to assign jurisdiction to the Federal Court over the matter in issue.[7]

The leading case on the constitutional limits on Parliament in assigning jurisdiction to the Federal Court is *ITO-International Terminal Operators Ltd. v. Miida Electronics Inc.*,[8] a 1986 decision of the Supreme Court of Canada, in which the essential requirements to support a finding that the Federal Court has jurisdiction to hear a matter were set out as follows:

1. There must be a statutory grant of jurisdiction by Parliament;
2. There must be an existing body of federal law which is essential to the disposition of the case and which nourishes the statutory grant of jurisdiction; and
3. The law on which the case is based must be "a law of Canada" as the phrase is used in s.101 of the *Constitution Act, 1867*.[9]

This test must be positively made out. It is not acceptable for the Federal Court to assume

---

7

For instance, in ~~R. v. McNamara Construction (Western) Ltd.~~McNamara Construction et al. v. The Queen, [1977] 2 S.C.R. 654, 75 D.L.R. (3d) 273~~, 13 N.R. 181~~ (S.C.C.), the Crown in Right of Canada entered into a construction contract with McNamara. The Crown, alleging a breach of the contract, brought action against McNamara in the Federal Court. The Supreme Court of Canada held that, despite the fact that s. 17(4) of the *Federal Court Act* (now s. 17(5)) provided the Federal Court with concurrent jurisdiction in proceedings of a civil nature in which the Crown claims relief, the Federal Court did not have jurisdiction to entertain the claim as the dispute was not founded on existing federal law.

8

ITO-International Terminal Operators Ltd. v. Miida Electronics Inc., [1986] 1 S.C.R. 752, 28 D.L.R. (4th) 641~~, 34 B.L.R. 251, 68 N.R. 241~~ (S.C.C.), *sub nom.* Miida Electronics Inc. v. Mitsui O.S.K. Lines Ltd.~~, 39 A.C.W.S. (2d) 436 (S.C.C.).~~

9

ITO-International Terminal Operators Ltd. v. Miida Electronics Inc., [1986] 1 S.C.R. 752 at p. 766, 28 D.L.R. (4th) 641~~, 34 B.L.R. 251, 68 N.R. 241~~ (S.C.C.), *sub nom.* Miida Electronics Inc. v. Mitsui O.S.K. Lines Ltd.~~, 39 A.C.W.S. (2d) 436 (S.C.C.), at p. 766.~~

jurisdiction by consent or acquiescence of the parties.[10]

13:7. First Branch of the ITO-International Test: A Statutory Grant of Jurisdiction

In considering whether the Federal Court has jurisdiction over a particular matter (be it concurrent or exclusive), the first requirement is a grant of statutory jurisdiction. Given the lack of inherent jurisdiction of the Federal Court, the statutory grant of jurisdiction is required in order to have jurisdiction conferred. This is the first branch of the test in *ITO-International.*[1]

The jurisdiction of the Federal Court is primarily attracted in cases in which relief is claimed against the federal Crown, the operative statutory grant of jurisdiction frequently being s. 17(1) of the *Federal Courts Act*, which grants jurisdiction in all such cases. Accordingly, in actions against the federal Crown, the first branch of the *ITO-International* test is easily met.

Jurisdiction of the Federal Court is split into two categories: situations in which the

---

10

See generally Mount Royal/Walsh Inc. v. "Jensen Star" (The), [1990] 1 F.C. 199, 99 N.R. 42, [1989] F.C.J. No. 450, 27 F.T.R. 159*n*, *sub nom.* Mount Royal/Walsh Inc. v. Ship "Jensen Star" (C.A.), leave to appeal to S.C.C. refused 105 N.R. 160*n*, and Salibian v. Canada (Minister of Employment & Immigration), [1990] 3 F.C. 250, 73 D.L.R. (4th) 551~~, 11 Imm. L.R. 165, 113 N.R. 123, 22 A.C.W.S. (3d) 837~~ (C.A.). However, in s. 17(3) of the *Federal Courts Act*, exclusive jurisdiction is granted to the Federal Court where the Crown and a person have agreed to attorn to the jurisdiction of the Federal Court in writing. Note: the Federal Court can still only entertain such actions if the matters fall within the court's jurisdiction as contemplated in the *Constitution Act, 1867.* See Thomas v. Peace Hills Trust Co. (2001), 204 F.T.R. 274, [2001] 4 C.N.L.R. 335~~, 105 A.C.W.S. (3d) 250, 2001 FCT 443~~ (T.D.); and Canada v. Crosson ~~([~~[1999~~)~~] F.C.J. No. 889, 169 F.T.R. 218~~, 89 A.C.W.S. (3d) 593~~ (T.D.), affd 265 N.R. 112, 193 F.T.R. 96*n*~~, 101 A.C.W.S. (3d) 1008~~ (F.C.A.).

1

However, the majority's reasons in Windsor (City) v. Canadian Transit Co., 2016 SCC 54, ~~55 M.P.L.R. (5th) 1, 10 Admin. L.R. (6th) 1, 405~~ clarified that prior to applying the test from ITO-International Terminal Operators Ltd. v. Miida Electronics Inc., [1986] 1 S.C.R. 752, 28 D.L.R. (4th) ~~201, [2016] 2 S.C.R. 617~~641 (S.C.C.), ~~clarified that prior to applying the *ITO-International* test~~*sub nom.* Miida Electronics Inc. v. Mitsui O.S.K. Lines Ltd., it is necessary to first determine the essential nature or character of the claim in a determination of whether the Federal Court has jurisdiction or not. In this sense, the Court explained that one must look to the practical result ultimately sought by the claimant. The majority concluded that the essence of the claim was only one of the four declarations sought by Canadian Transit Co., which was whether the Company's rights under *An Act to incorporate the Canadian Transit Company*, S.C. 1921, c. 57, a special Act of Parliament, are subject to the City of Windsor's by-laws. The majority arrived at this conclusion by finding that the other declarations were not worth pursuing in the absence of a determination on the applicability of Windsor's by-laws. Although the Act was a special Act of Parliament, the majority did not find that the Federal Court had jurisdiction over Canadian Transit Co.'s claims, as the key declaration sought was characterized by the majority as relief under constitutional law. The majority maintained that constitutional relief is not federal law nor does it constitute seeking relief "under an Act of Parliament or otherwise" within the meaning of s. 23 of the *Federal Courts Act*, R.S.C. 1985, c. F-7.

Federal Court has concurrent jurisdiction with the provincial superior courts and those in which the Federal Court is granted exclusive jurisdiction. Sections 17(1) of the *Federal Courts Act* sets out the general rule of concurrent jurisdiction, whereas s. 17(2) and (4) set out more specific examples:

> 17. (1) Except as otherwise provided in this Act or any other Act of Parliament, the Federal Court has concurrent original jurisdiction in all cases where relief is claimed against the Crown.
> (2) Without restricting the generality of subsection (1), the Federal Court has concurrent original jurisdiction, except as otherwise provided, in all cases in which
> (a) the land, goods or money of any person is in the possession of the Crown;
> (b) the claim arises out of a contract entered into by or on behalf of the Crown;
> (c) there is a claim against the Crown for injurious affection; or
> (d) the claim is for damages under the *Crown Liability and Proceedings Act.*
>
> ...
>
> (4) The Federal Court has concurrent original jurisdiction to hear and determine proceedings to determine disputes in which the Crown is or may be under an obligation and in respect of which there are or may be conflicting claims.[2]

The following table provides a summary of certain of the areas of concurrent and exclusive jurisdiction set out in the *Federal Courts Act* and the *Crown Liability and Proceedings Act.* Note, as explained earlier, that an exclusive grant of Federal Court jurisdiction in the *Federal Courts Act* or in any other Act of Parliament does not end the inquiry.

Jurisdiction of the Federal Court

Concurrent Jurisdiction	**Exclusive Jurisdiction**
In all cases in which relief is claimed against the Crown (s. 17(1))	To hear and determine the amount to be paid if the Crown and any person have agreed in writing that the Crown or that person shall pay an amount to be determined by the Federal Court (s. 17(3)(*a*))
In all cases in which the land, goods, or money of any person is in the possession of the Crown (s. 17(2)(*a*))	To hear and determine any question of law, fact or mixed law and fact that the Crown and any person have agreed in writing shall be determined by the Federal Court (s. 17(3)(*b*))
In all cases in which the claim arises out of a contract entered into by or on behalf of the Crown (s. 17(2)(*b*))	To issue an injunction, writ of *certiorari*, writ of prohibition, writ of mandamus or writ of *quo warranto*, or grant declaratory relief, against any federal board, commission or other tribunal (s. 18(1)(*a*))[3]

2 *Federal Courts Act*, R.S.C. 1985, c. F-7, s. 17.

3

In all cases in which there is a claim against the Crown for injurious affection (s. 17(2)(*c*))	To hear and determine any application or other proceeding for relief in the nature of an injunction, writ of *certiorari*, writ of prohibition, writ of mandamus, or writ of *quo warranto*, or grant declaratory relief, including any proceeding brought against the Attorney General of Canada, to obtain relief against a federal board, commission or other tribunal (s. 18(1)(*b*))
In all cases in which the claim is for damages under the *Crown Liability and Proceeding Act* (s. 17(2)(*d*))	To hear and determine every application for a writ of *habeas corpus ad subjiciendum*, writ of *certiorari*, writ of prohibition or writ of mandamus in relation to any member of the Canadian Forces serving outside Canada (s. 18(2))
Proceedings to determine disputes in which the Crown is or may be under an obligation and in respect of which there are or may be conflicting claims (s. 17(4))	In all cases of conflicting applications for any patent of invention or for any certificate of supplementary protection under the *Patent Act*,[4] or for the registration of any copyright, trade-mark, industrial design or topography within the meaning of the

---

In Tzeachten First Nation v. Canada (Attorney General), 2007 BCCA 133, 281 D.L.R. (4th) 752, [2007] 7 W.W.R. 1, (*sub nom.* Hall v. Canada (Attorney General)), [2007] B.C.J. No. 385 (B.C. C.A.), a five member panel of the British Columbia Court of Appeal stated that in cases where a party seeks a declaration as to the constitutional validity of a federal statute, the jurisdiction of the provincial superior court is not ousted by s. 18 of the *Federal Courts Act*, R.S.C. 1985, c. F-7, citing Canada (Attorney General) v. Law Society of British Columbia, [1982] 2 S.C.R. 307, 137 D.L.R. (3d) 1, [1982] 5 W.W.R. 289, 66 C.P.R. (2d) 1, 37 B.C.L.R. 145, 19 B.L.R. 234, 43 N.R. 451 (S.C.C.). Furthermore, in cases where a party seeks judicial review of the decision of an administrative tribunal as to the constitutional validity of the application of an otherwise valid statute, the jurisdiction of a provincial superior court is not ousted by s. 18 of that Act (Canada (Labour Relations Board) v. Paul L'Anglais Inc., [1983] 1 S.C.R. 147, 146 D.L.R. (3d) 202, 83 C.L.L (S.C. &p;14033, 47 N.R. 351, 20 A.C.W.S. (2d) 171). In *Chief Joe Hall*, C.). In *Tzeachten First Nation v. Canada (Attorney General)*, the Court of Appeal concluded that the constitutional validity or applicability of a federal statute was not in issue in that case which concerned an application for a declaration that the decision of the Canadian Treasury Board, to transfer certain real property, was of no force or effect on the basis that the transfer was unlawful or invalid. The Court of Appeal concluded that despite the fact that the honour of the Crown was engaged, which has a constitutional character, jurisdiction could not be found in the provincial superior court on the basis of either the *Jabour* or the *L'Anglais* *Canada (Attorney General) v. Law Society of British Columbia* or the *Canada (Labour Relations Board) v. Paul L'Anglais Inc.* decisions.

[4] R.S.C. 1985, c. F-7 at s. 20(1)(a).

	Integrated Circuit Topography Act[4] (s. 20 (1)(*a*))
Proceedings of a civil nature in which the Crown or the Attorney General of Canada claims relief (s. 17(5)(*a*))	In all cases in which it is sought to impeach or annul any patent of invention or to have any entry in any register of copyrights, trade-marks, industrial designs or topographies within the meaning of the *Integrated Circuit Topography Act* made, expunged, varied or rectified (s. 20(1)(*b*))
Proceedings in which relief is sought against any person for anything done or omitted to be done in the performance of the duties of that person as an officer, servant or agent of the Crown (s. 17(5)(*b*))	
If the legislature of a province has passed an Act agreeing that the Federal Court has jurisdiction in cases of controversies between Canada and that province, or between that province and any other province or provinces that have passed a like Act (s. 19)	Exceptions set out in any Act of Parliament, for example: matters of civil salvage under s. 5(2) of the *Crown Liability and Proceedings Act*;[5] actions pursuant to s. 31 of the *Expropriation Act*;[6] and certain claims under the *Canadian Environmental Protection Act, 1999*.[7]
In all cases in which a remedy is sought under the authority of an Act of Parliament or at law or in equity respecting any patent of invention, copyright, trade-mark, industrial design or topography, other than those cases referred to in s. 20(1) (s. 20(2))	
In all cases in which a claim for relief is made or remedy is sought under or by virtue of Canadian maritime law or any other law of Canada relating to any matter coming within the class of subject of navigation and shipping, except to the extent that	

~~4~~5

S.C. 1990, c. 37.

~~5~~6

R.S.C. 1985, c. C-50.

~~6~~7

R.S.C. 1985, c. E-21.

~~7~~8

S.C. 1999, c. 33.

jurisdiction has been otherwise specially assigned (s. 22)
In all cases in which a claim for relief is made or remedy is sought under an Act of Parliament or otherwise in relation to any manner coming within any of the following classes of subjects: (a) bills of exchange and promissory notes, where the Crown is a party to the proceedings; (b) aeronautics; and (c) works and undertakings connecting a province with any other province or extending beyond the limits of a province; except to the extent that jurisdiction has been otherwise specifically assigned (s. 23)
In any case in which a claim for relief is made or a remedy is sought under or by virtue of the laws of Canada if no other court constituted, established or continued under any of the *Constitution Acts*, *1867* to *1982* has jurisdiction in respect of that claim or remedy (s. 25)
In respect of any matter not allocated specifically to the Federal Court of Appeal, in respect of which jurisdiction has been conferred by an Act of Parliament on the Federal Court of Appeal, the Federal Court, the Federal Court of Canada or the Exchequer Court of Canada (s. 26)

In *ITO-International*,[8] a dispute arose between private parties concerning the delivery by sea from Japan to Montreal of electronic calculators which were subsequently stolen. The Crown was not a party to the proceeding commenced in the Federal Court. A challenge was made to the jurisdiction of the Federal Court, and the Supreme Court of Canada concluded that jurisdiction could be found. In addressing the first branch of the applicable test, the Supreme Court of Canada found a grant of jurisdiction in s. 22(1) of the *Federal Court Act*,[9] concerning the Federal Court's jurisdiction in cases of navigation and shipping.

~~8~~9

ITO-International Terminal Operators Ltd. v. Miida Electronics Inc., [1986] 1 S.C.R. 752, 28 D.L.R. (4th) 641~~, 34 B.L.R. 251, 68 N.R. 241~~ (S.C.C.), *sub nom.* Miida Electronics Inc. v. Mitsui O.S.K. Lines Ltd.~~, 39 A.C.W.S. (2d) 436 (S.C.C.).~~

~~9~~10
R.S.C. 1970, c. 10 (2nd Supp.).

13:8. Second Branch of the ITO-International Test: Existing Body of Federal Law

To bring a matter before the Federal Court, there must not only be a statutory grant of jurisdiction by Parliament but there must also be an existing body of *federal law* which is *essential* to the disposition of the case and which *nourishes* the statutory grant of jurisdiction.

Prior to the 1977 decisions of the Supreme Court of Canada in *R. v. McNamara Construction (Western) Ltd.*[1] and *Quebec North Shore Paper Co.*,[1.50] it had been generally thought that the Federal Court had jurisdiction in all areas in which Parliament had legislative competence. In the above decisions, the Supreme Court of Canada held it is insufficient to find Federal Court authority on the basis that the subject matter has a link to federal legislative competence: federal judicial jurisdiction in s. 101 of the *Constitution Act, 1867* is not the same as federal legislative jurisdiction under ss. 91 and 92(10). In addition to a link to the federal Crown, the claim must be for relief under an Act of Parliament or otherwise have a connection to federal law. In short, there must be an existing and applicable federal law upon which the jurisdiction of the Federal Court is based in order to fall within the phrase "administration of the laws of Canada" found in s. 101.[2]

In *McNamara Construction*,[3] the Supreme Court of Canada held that the Federal Court could not assume jurisdiction simply because the federal Crown sought relief. While the *Federal Court Act* provided jurisdiction to the Federal Court in those circumstances, the s. 101 requirements were not met simply as a result of the federal Crown taking proceedings. It is not enough that the Crown is a party to a contract, on which it is suing as a plaintiff, to satisfy the requirement of an applicable federal law. The action of the Crown, while relating to a construction contract dispute concerning a federal prison (a matter upon which Parliament could have legislated), was not founded on federal law. However, the Supreme Court of Canada confirmed that the situation is entirely different if Crown *liability* is involved, as in that respect there were existing common law rules regarding Crown liability in contract and immunity in tort which have been modified considerably by legislation.

In *Quebec North Shore Paper Co.*,[4] a contract dispute arose between private parties when

---

1

~~R~~McNamara Construction et al. v. ~~McNamara Construction (Western) Ltd.~~The Queen, [1977] 2 S.C.R. 654, 75 D.L.R. (3d) 273~~, 13 N.R. 181~~ (S.C.C.).

1.50

Canadian Pacific Ltd. v. Quebec North Shore Paper Co. (1976), [1977] 2 S.C.R. 1054, 71 D.L.R. (3d) 111~~, [1976] 1 F.C. 646, 9 N.R. 471, 1976 CarswellNat 432, 1976 CarswellNat 432F~~ (S.C.C.).

2

B.J. Saunders, Donald J. Rennie, & Graham Garton, Q.C., Federal Courts Practice ~~2025~~2026 (Toronto: Thomson Carswell, ~~2014~~2025), at pp. ~~7-16~~6-15.

3

~~R~~McNamara Construction et al. v. ~~McNamara Construction (Western) Ltd.~~The Queen, [1977] 2 S.C.R. 654, 75 D.L.R. (3d) 273~~, 13 N.R. 181~~ (S.C.C.).

4

an international rail car marine terminal was not built as promised. The contracts were made in Quebec, dealt with property in Quebec, and contained a forum clause invoking the jurisdiction of Quebec superior courts in the event of any dispute. The action was commenced by the plaintiff in the Federal Court on the basis of s. 23 of the *Federal Court Act*, which granted jurisdiction in respect of works and undertakings connecting a province with any other province or extending beyond the limits of a province. The Supreme Court of Canada held the Federal Court had no jurisdiction over the dispute as the action fell to be determined based on Quebec civil law and was not founded on existing federal law. Laskin C.J. stated:

> It is also well to note that s. 101 does not speak of the establishment of Courts in respect of matters within federal legislative competence but of Courts "for the better administration of the laws of Canada". The word "administration" is as telling as the plural words "laws", and they carry, in my opinion, the requirement that there be applicable and existing federal law, whether under statute or regulation or common law, as in the case of the Crown, upon which the jurisdiction of the Federal Court can be exercised. Section 23 requires that the claim for relief be one sought under such law. This requirement has not been met in the present case ...[5]

In both *McNamara Construction* and *Quebec North Shore Paper Co.*, Parliament had the constitutional jurisdiction which would enable it to pass laws in respect of the subject matter in dispute but, since it had not done so, the existing federal law test had not been met.

In *R. v. Thomas Fuller Construction*, a contract dispute was advanced by a private defendant against the Crown. In this case, the jurisdictional issue arose from the Crown's third party claim. The Supreme Court held that the Crown's third party claim arising in contract and tort was properly founded on the laws of the province and not federal law. Accordingly, the Federal Court had no jurisdiction, and the third party claim of the federal Crown was struck out.

An interesting issue concerning the requirement of an existing federal law is whether that law must be one enacted by legislation or whether federal common law is sufficient to meet this test. The authorities agree that this invites a provincial common law approach:

> The liability in contract of the federal Crown was imposed by the common law; no statute was necessary and none was enacted to impose the liability. The common law is that of the province in which the cause of action arose.[6]

The jurisprudence on "federal common law" for the purpose of asserting the jurisdiction of the Federal Court varies considerably. Professors Hogg, Monahan and Wright write:

> In Canada, there is one context in which the existence of a federal common law has to be at least contemplated, and that is the constitutional restrictions on the jurisdiction of the Federal Court. It will be recalled that s. 101 of the Constitution Act, 1867 restricts federal courts to cases governed by "the laws of Canada", and that the Supreme Court has held that "laws of Canada" does not mean all the laws in force in Canada, but identifies a distinct body of "federal" law. Federal statute law obviously qualifies. It seems obvious that the common law in fields of unexercised federal legislative competence should also be

---

Canadian Pacific Ltd. v. Quebec North Shore Paper Co. (1976), [1977] 2 S.C.R. 1054, ~~1976 CarswellNat 432, 1976 CarswellNat 432F, [1976] 1 F.C. 646,~~ 71 D.L.R. (3d) 111~~, 9 N.R. 471~~ (S.C.C.).

5

Canadian Pacific Ltd. v. Quebec North Shore Paper Co. (1976), [1977] 2 S.C.R. 1054~~, 1976 CarswellNat 432, 1976 CarswellNat 432F, [1976] 1 F.C. 646~~ at pp. 1065–66, 71 D.L.R. (3d) 111~~, 9 N.R. 471~~ (S.C.C.)~~, at pp. 1065-1066 (at para. 17).~~.

6

Peter W. Hogg, P. Monahan and W. Wright, Liability of the Crown, 5th ed. (Toronto: Carswell, 2024), at p. 548.

> characterized as federal law; after all, the common law in those fields exists by the grace of the federal Parliament and can be replaced by (or adopted as) federal statute law whenever Parliament so chooses. But that is not what he Supreme Court of Canada has decided. The Court has denied the status of federal law to the common law, with the result that a contract for the interprovincial transportation of goods, a contract to build a federal penitentiary and a contract to build a federal government office building (all matters within federal legislative competence) are all, as a matter of constitutional law, beyond the jurisdiction of the Federal Court. These rulings evidence a reluctance on the part of the Supreme Court to the notion, so readily accepted in the United States, that in a federal state the common law must for some purposes be carved up into federal pieces.
>
> ...
>
> While the Supreme Court has refused to accept the proposition that the common law in fields of unexercised federal legislative competence is federal, the Court has never forthrightly denied the existence of a federal common law. Indeed, there have been several acknowledgements that there are some parts of the common law that for unexplained reasons do qualify as federal law. One of these is the contractual liability of the federal Crown, which has the curious consequence (noted earlier) that a federal government contract is within Federal Court jurisdiction if the federal Crown is the defendant (contractual liability of the Crown), but not if the federal Crown is the plaintiff (contractual right of the Crown)! Although the Court has never offered any criteria for the identification of the little enclaves of federal common law, it may be that the Court has in mind those few common law doctrines that cannot be altered by the provincial Legislatures.[7] [Footnotes omitted.]

While in certain Supreme Court of Canada judgments there is a suggestion that "laws of Canada" means only laws "enacted" by Parliament,[8] the better view appears to be that, in certain cases, the jurisdiction of the Federal Court, and in particular the second branch of the *ITO-International* test, may be met through the existence of federal common law.[9]

Once the "federal law" test has been met, the analysis turns to whether the federal law is *essential* to the disposition of the case and whether it *nourishes* the statutory grant of jurisdiction. Where the cause of action arises from a federal statute, the answer is simple -- yes. Similarly, in *McNamara Construction* and *Quebec North Shore Paper* where the cause of action was based on provincial law, the answer is equally simple -- no. The difficulties arise in cases which are not so

---

7

Peter W. Hogg, P. Monahan and W. Wright, Liability of the Crown, 5th ed. (Toronto: Carswell, 2024), at pp. 550-551.

8

R. v. Thomas Fuller Construction Co. (1958) Ltd. (*sub nom.* Canada v. Foundation Co. of Canada), [1980] 1 S.C.R. 695 at p. 707, 106 D.L.R. (3d) 193~~, 12 C.P.C. 248, 30 N.R. 249 (S.C.C.), at p. 707; Canada (Attorney General) v. Law Society of British Columbia, [1982] 2 S.C.R. 307, 137 D.L.R. (3d) 1, [1982] 5 W.W.R. 289, 66 C.P.R. (2d) 1, 37 B.C.L.R. 145, 19 B.L.R. 234, 43 N.R. 451~~ (S.C.C.).

9

Canadian Pacific Ltd. v. Quebec North Shore Paper Co. (1976), [1977] 2 S.C.R. 1054~~,~~ at pp. ~~1063, 1065-6~~1065–66, 71 D.L.R. (3d) 111~~, 9 N.R. 471~~ (S.C.C.); Roberts v. Canada, [1989] 1 S.C.R. 322 at pp. 336-40, 57 D.L.R. (4th) 197, ~~[1989] 3 W.W.R. 117, 35 B.C.L.R. (2d) 1, [1989] 2 C.N.L.R. 146, 25 F.T.R. 161, 3 R.P.R. (2d) 1, 92 N.R. 241,~~ *sub nom.* Wewayakum Indian Band v. Canada and Wewayaki Indian Band~~, 14 A.C.W.S. (3d) 124~~; and generally B.J. Saunders, Donald J. Rennie, & Graham Garton, Q.C., Federal Courts Practice ~~2025~~2026 (Toronto: Thomson Carswell, ~~2024~~2025), at pp. 7-9.

clear cut. Certain general rules can be found in the cases addressing this issue:[10]

- Where the federal Crown is a defendant that alone is likely enough to meet the federal law test (*McNamara Construction* and *Quebec North Shore Paper Co.*);[11]
- The fact that the plaintiff is the Crown is not sufficient (*McNamara Construction*);
- The fact that a third party notice depends on the main action which is within the Federal Court's jurisdiction is not enough (*R. v. Thomas Fuller)*;
- It is not essential that the federal law expressly creates or confers the remedy;
- If the action concerns a matter relating to the administration of a federal statute then the test will be met (*Canada v. Rhine*);[12]
- The claim need not be based solely on federal law provided the rights and obligations of the parties are to be determined to some material extent by federal law (*Bensol Custom Brokers Ltd. v. Air Canada*,[13] and *Canada v. Montreal Urban Community Transit Commission*).[14]

Despite all of the above discussion regarding federal law and the meaning of that phrase, it is clear that the Federal Court may apply provincial law to proceedings otherwise within its jurisdiction. In *ITO-International*, Mr. Justice McIntyre stated:

> The Federal Court is constituted for the better administration of the laws of Canada. It is not, however, restricted to applying federal law in cases before it. Where a case is in "pith and substance" within the court's statutory jurisdiction, the Federal Court may apply provincial law incidentally necessary to resolve the issues presented by the parties; see *Kellogg Co. v. Kellogg*, [1941] 2 D.L.R. 545, [1941] S.C.R. 242, 1 C.P.R. 30, where, in a case involving a dispute over patent rights, the effect of an employment contract had to be considered in the Federal Court, and see as well: *McNamara Construction (Western) Ltd. v. The Queen, supra*, where Laskin C.J. suggested that the provincial law of contribution and indemnity may be applied by the Federal Court where jurisdiction is otherwise founded on federal law.[15]

10

B.J. Saunders, Donald J. Rennie, & Graham Garton, Q.C., Federal Courts Practice ~~2025~~2026 (Toronto: Thomson Carswell, ~~2024~~2025), at pp. 10-12.

11

The "federal law" issue may still be applicable when the Crown is a defendant in circumstances in which relief is claimed against the Crown under the *Charter of Rights.* The issue there is whether the *Charter of Rights* is a "law of Canada".

12

~~Canada~~Rhine v. ~~Rhine~~The Queen, [1980] 2 S.C.R. 442, 116 D.L.R. (3d) 385~~, 34 N.R. 290~~ (S.C.C.).

13

Bensol Customs Brokers Ltd. v. Air Canada, [1979] 2 F.C. 575, 99 D.L.R. (3d) 623 (C.A.).

14

Canada v. Montreal Urban Community Transit Commission [1980] 2 F.C. 151, 112 D.L.R. (3d) 266~~, 35 N.R. 438~~ (C.A.).

15

ITO-International Terminal Operators Ltd. v. Miida Electronics Inc., [1986] 1 S.C.R. 752 at pp. 781–782, 28 D.L.R. (4th) 641~~, 34 B.L.R. 251, 68 N.R. 241~~ (S.C.C.), *sub nom.* Miida Electronics Inc. v. Mitsui O.S.K. Lines Ltd.~~, 39~~

13:9. The Third Branch of the ITO-International Test: Federal Law Within s. 101 of the Constitution Act, 1867

The third branch of the *ITO-International* test requires a determination of whether the federal law upon which jurisdiction is found is within the legislative competence of Parliament.

In *ITO-International*, short shrift was given to the third branch of the test: the court simply confirmed that the law in question was a "law of Canada" as that expression is used in s. 101 because Canadian maritime law and other laws dealing with navigation and shipping come within s. 91(10) of the *Constitution Act, 1867*, thus confirming federal legislative competence.

An example of a circumstance in which this third branch of the *ITO-International* test was not met is found in *MacDonald v. Vapor Canada Ltd.*[1] That action concerned a former employee of Vapor Canada Ltd. who used knowledge which he had acquired as an employee of Vapor in breach of his contract of employment and contrary to the *Trade-marks Act.*[2] The action was brought in the Federal Court and a challenge was made to that court's jurisdiction on the basis that the particular statutory provision in issue found in the *Trade-marks Act* was *ultra vires* Parliament because it constituted legislation concerning property and civil rights. The Supreme Court of Canada agreed and held that provision to be beyond Parliament's jurisdiction, and therefore the Federal Court lacked jurisdiction.

3. The Federal Court Jurisdictional Flow Chart; Claims Against the Provincial Crown in the Federal Court

13:10. **The Federal Court Jurisdictional Flow Chart**

The following may be a helpful reference in identifying the proper court in which to proceed against the federal Crown:

Image #I02Q0IH goes here

While it may seem preferable for practitioners to simply commence their actions against the federal Crown in a provincial superior court in all cases except those in which exclusive jurisdiction is granted to the Federal Court, there may be reasons to prefer the Federal Court. For instance, procedural advantages may exist in the Federal Court that are not available in a provincial superior court, or the nationwide nature of the action may lend itself to the benefits being obtained by the existence of a Federal Court Order rather than one obtained from a provincial court with limited territorial jurisdiction. Conversely, applicants who prefer to have their claim heard in a provincial court may, in limited circumstances, circumvent the exclusive jurisdiction of the Federal Court if they are willing to forego their recourse against the federal

~~A.C.W.S. (2d) 436 (S.C.C.), at para. 34.~~

1 MacDonald v. Vapor Canada Ltd., [1977] 2 S.C.R. 134, 66 D.L.R. (3d) 1~~, 22 C.P.R. (2d) 1, 7 N.R. 477~~ (S.C.C.).

2 R.S.C. 1970, c. T-10.

Crown and simply have recourse against a related individual.[1] As a result of issues such as these, where there is a choice as to where the action may be commenced, that decision should be made after careful consideration. Additionally, practitioners should be aware that prior to the Supreme Court of Canada's decision in ~~*TeleZone Inc. v.* Canada *(Attorney General)*~~ *v. TeleZone Inc.*, it had been held that an action against the Crown may have to be brought in installments, and that different jurisdictional rules may apply to each installment. For example, that case law held that when a claim for damages against the Crown has at its heart a challenge to the administrative decision of a Minister, or his staff, in the exercise of discretion vested in the Minister to do a particular thing, and a judicial review of that act must be brought in Federal Court pursuant to the *Federal Courts Act*, then a judicial review of the Minister's decision under the *Federal Courts Act* may be a legal *prerequisite* to a claim for damages in a provincial superior court.[2] However, the possible requirement on plaintiffs to litigate in slices became less of a concern following *TeleZone.* In that decision, it was held that where a plaintiff's pleading alleges the elements of a private cause of action, the provincial superior court should not, generally speaking, decline jurisdiction on the basis that the claim looks like a case that should be pursued on judicial review.[3]

13:11. **Claims Against the Provincial Crown in the Federal Court**

In proceedings by a private plaintiff against the provincial Crown, a private plaintiff must commence proceedings in a provincial superior court as the Federal Court has no jurisdiction over the Crown in right of a province.[1]

1

See ~~Michell~~Emond v. ~~Emond~~Michell, 2008 BCSC 111, ~~2008 CarswellBC 162, 77 Admin. L.R. (4th) 282 (B.C. S.C.),~~ where a claim against an RCMP officer whose allegedly tortious conduct had occurred while on duty could proceed in the Provincial Court of British Columbia because the *Crown Liability and Proceedings Act* had not been activated as the Crown was not named as a defendant in the proceedings.

2

See Donovan v. Canada (Attorney General), 2008 NLCA 8, ~~273 Nfld. & P.E.I.R. 116, 833 A.P.R. 116 (N.L. C.A.),~~ which combined decisions in similar cases including a claim that did not centre wholly around the decision of the Minister and two other claims that did amount to a challenge of an administrative decision of the Minister.

3

~~TeleZone Inc. v.~~ Canada (Attorney General)~~, [2010] 3 S.C.R. 585~~ v. TeleZone Inc., 2010 SCC 62~~, 13 Admin. L.R. (5th) 24, 410 N.R. 1, 196 A.C.W.S. (3d) 98 (S.C.C.),~~ at para. 76.

1

Union Oil Co. v. R., [1974] 2 F.C. 452, 52 D.L.R. (3d) 388 (Fed. T.D.), ~~affirmed~~aff'd [1976] 1 F.C. 74, 72 D.L.R. (3d) 81 (Fed. C.A.), ~~affirmed~~aff'd 72 D.L.R. (3d) 81 at p. 82, ~~16 N.R. 425,~~ [1976] 2 S.C.R. v (S.C.C.); Greeley v. "Tami Joan" (The) (1996), 113 F.T.R. 66, ~~63 A.C.W.S. (3d) 1272,~~ [1996] F.C.J. No. 739 (T.D.); Larsen v. British Columbia (Ministry of Social Services) (1994), 88 F.T.R. 158, ~~52 A.C.W.S. (3d) 780,~~ [1994] F.C.J. No. 1943 (T.D.).

Almost all provinces in Canada[2] have enacted legislation similar to that found in the British Columbia *Federal Courts Jurisdiction Act.*[3] The British Columbia Act confers jurisdiction on the Supreme Court of Canada and the Federal Court in:

(a) controversies between Canada and British Columbia (s. 1(1)(*a*));[4]

(b) controversies between British Columbia and any other province of Canada that has passed similar legislation (s. 1(1)(*b*));[5] and

(c) proceedings in which the parties by their pleadings have raised a question as to the validity of an Act of Parliament or the Legislature, if in the opinion of the court the question is material (s. 1(1)(*c*)).[6]

It is the later provision that is of interest to private litigants in actions against the provincial Crown. Section 1(1)(*c*) of the British Columbia *Federal Courts Jurisdiction Act* appears to provide the province's consent to a private litigant commencing an action in the Federal Court against the Province of British Columbia in certain circumstances. In spite of the implication of this provision, it is only Parliament that can grant jurisdiction to the Federal Court. Accordingly, the British Columbia provision must be seen simply as the provincial legislature's consent to the Federal Court's jurisdiction, should Parliament see fit to take jurisdiction.

Section 19 of the *Federal Courts Act* provides that the Federal Court will assume jurisdiction if the legislature of a province has passed an Act so stating, in case of controversies between: (a) Canada and that province; or (b) two provinces. There is no authority in the *Federal Courts Act* for a private litigant to commence proceedings against a provincial Crown in the Federal Court.[7]

2

Prince Edward Island is the exception.

3

R.S.B.C. 1996, c. 135. The provincial statutes conferring jurisdiction on the Federal Court are these: Alberta: *Judicature Act*, R.S.A. 2000, c. J-2, s. 27; Manitoba: *Federal Courts Jurisdiction Act*, C.C.S.M., c. C270, s. 1; New Brunswick: *Federal Courts Jurisdiction Act*, R.S.N.B. 2011, c. 157, s. 1; Newfoundland: *Federal Courts Jurisdiction Act*, R.S.N.L. 1990, c. F-7, s. 2; Nova Scotia: *Supreme Court of Canada and the Exchequer Court of Canada*, R.S.N.S. 1900, c. 154, s. 1, reprinted in R.S.N.S. 1989, vol 12; Ontario: *Courts of Justice Act*, R.S.O. 1990, c. C.43, s. 148; Quebec: *An Act respecting the Supreme Court of Canada and the Exchequer Court of Canada*, S.Q. 1906, c. 6, s. 1; Saskatchewan: *Federal Courts Act*, R.S.S. 1978, c. F-12, s. 2.

4

Federal Courts Jurisdiction Act, R.S.B.C. 1996, c. 135~~, British Columbia *Federal Courts Jurisdiction Act*~~.

5

R.S.B.C. 1996, c. 135.

6

R.S.B.C. 1996, c. 135.

7

C. Provincial Superior Courts

1. **Statutes Giving Rise to Jurisdiction**

13:12. Generally

As has been noted above, the superior courts of the provinces are courts of inherent jurisdiction. The provincial legislatures, by virtue of s. 92(14) of the *Constitution Act, 1867*, have exclusive jurisdiction over the "administration of justice in the province", which includes the "constitution, maintenance and organization of provincial courts, both of civil and of criminal jurisdiction".[1] In accordance with this grant of jurisdiction, various provincial statutes provide that the superior court of the province is a court of original jurisdiction and has jurisdiction in all cases arising in that province.[2] The result of the preservation of original jurisdiction in these enactments is that the superior courts exercise "all the ancient rights, powers, duties and privileges of the Sovereign".[3]

The provincial superior courts have always occupied a position of prime importance in the constitutional pattern of this country. They are the descendants of the Royal Courts of Justice as courts of general jurisdiction. They cross the dividing line, as it were, in the federal-provincial scheme of division of jurisdiction[4] in that they are organized by the provinces under s. 92(14) of

---

See also, Union Oil Co. v. R., [1974] 2 F.C. 452, 52 D.L.R. (3d) 388 (Fed. T.D.), ~~affirmed~~aff'd [1976] 1 F.C. 74, 72 D.L.R. (3d) 81 (Fed. C.A.), ~~affirmed~~aff'd 72 D.L.R. (3d) 81 at p. 82, 16 N.R. 425 (S.C.C.); Lubicon Lake Band v. Canada, [1981] 2 F.C. 317, 117 D.L.R. (3d) 247~~, 20 C.P.C. 101~~ (T.D.), aff'd 13 D.L.R. (4th) 159*n* (F.C.A.); Fairford First Nation v. Canada (Attorney General), [1995] 3 F.C. 165 *sub nom.* Fairford Band v. Canada (Attorney General), 96 F.T.R. 172, 55 A.C.W.S. (3d) 748 (T.D.), aff'd 119 F.T.R. 151*n*, ~~205 N.R. 380, 66 A.C.W.S. (3d) 256,~~ [1996] F.C.J. No. 1242 (C.A.).

1

(U.K.), 30 & 31 Vict., c. 3, reprinted in R.S.C. 1985, App. II, No. 5.

2

See for example, British Columbia: *Supreme Court Act*, R.S.B.C. 1996, c. 443, s. 9(1); New Brunswick: *Judicature Act*, R.S.N.B. 1973, c. J-2, s. 9(1); Manitoba: *Court of King's Bench Act*, C.C.S.M., c. C280, ss. 2, 8 and 32; Alberta: *Judicature Act*, R.S.A. 2000, c. J-2, s. 2; Nova Scotia: *Judicature Act*, R.S.N.S. 1989, c. 240, ss. 3 and 4; Northwest Territories: *Judicature Act*, R.S.N.W.T. 1988, c. J-1, ss. 2, 9 and 10; Newfoundland: *Judicature Act*, R.S.N.L. 1990, c. J-4, ss. 3 and 23; Nunavut: *Judicature Act* (Nunavut), S.N.W.T. 1998, c. 34, s. 2; Quebec: *Courts of Justice Act*, CQLR, c. T-16, s. 2; Ontario: *Courts of Justice Act*, R.S.O. 1990, c. C.43, s. 11; Prince Edward Island: *Judicature Act*, R.S.P.E.I. 1988, c. J-2.1, s. 2; Saskatchewan: *King's Bench Act*, S.S. 2023, c. 28, s. 3-1(1).

3

S. (L.) v. British Columbia (Ministry of Children & Family Development), 2004 BCCA 244~~, 27 B.C.L.R. (4th) 62, 238 D.L.R. (4th) 655, 4 R.F.L. (6th) 443, 322 W.A.C. 81 (B.C. C.A.),~~ at para. 47. See also, Board v. Board, [1919] A.C. 956, 48 D.L.R. 13 (J.C.P.C.).

4

the *Constitution Act, 1867*, and are presided over by judges appointed and paid by the federal government. An example of this inherent jurisdiction is the fact that the federal Parliament lacks the constitutional authority to strip the provincial superior courts of the power to declare a federal statute beyond Parliament's competence.[5] The unique historical feature of provincial superior courts, as opposed to the Federal Court, is that they have exercised general jurisdiction over all matters of a civil or criminal nature. This general jurisdictional function in the Canadian justice system precedes Confederation, and it was expressly continued by s. 129 of the *Constitution Act, 1867*, "as if the Union had not been made".[6]

The original inherent jurisdiction of the provincial superior courts is not boundless. To the extent that statutes confer exclusive jurisdiction upon other courts, the jurisdiction of the provincial superior courts is correspondingly limited.[7] For example, s. 21 of the federal *Crown Liability and Proceedings Act*[8] gives the provincial superior courts concurrent jurisdiction over the federal Crown unless the Federal Court has exclusive jurisdiction. Proceedings against the federal Crown in provincial superior courts are discussed in further detail later in this chapter.

2. **Claims Against the Provincial Crown**

13:13. Claims Against the Provincial Crown in Local Superior Court

The primary reference for a party bringing a claim against the provincial Crown is the applicable Crown proceeding legislation.[1] In the absence of the abolition of Crown immunity contained in these statutes, the traditional common law prohibition against proceedings against

---

Canada (Attorney General) v. Law Society of British Columbia, [1982] 2 S.C.R. 307, 137 D.L.R. (3d) 1~~, [1982] 5 W.W.R. 289, 66 C.P.R. (2d) 1, 37 B.C.L.R. 145, 19 B.L.R. 234, 43 N.R. 451~~ (S.C.C.).

5

Canada (Attorney General) v. Law Society of British Columbia, [1982] 2 S.C.R. 307, 137 D.L.R. (3d) 1~~, [1982] 5 W.W.R. 289, 66 C.P.R. (2d) 1, 37 B.C.L.R. 145, 19 B.L.R. 234, 43 N.R. 451~~ (S.C.C.).

6

Canada (Human Rights Commission) v. Canadian Liberty Net, [1998] 1 S.C.R. 626 at para. 26, 157 D.L.R. (4th) 385~~, 6 Admin. L.R. (3d) 1, 31 C.H.R.R. D/433, 50 C.R.R. (2d) 189, 22 C.P.C. (4th) 1, 147 F.T.R. 305*n*, 224 N.R. 241, 78 A.C.W.S. (3d) 705~~ (S.C.C.)~~, at para. 26.~~.

7

G. Peter Fraser and John W. Horn, Conduct of Civil Litigation in British Columbia, 2nd ed. (Markham, Ont.: LexisNexis Canada Inc., 2007) (looseleaf, updated May 2012), 5-2, at §5.4.

8

Crown Liability and Proceedings Act, R.S.C. 1985, c. C-50.

1

In British Columbia, the *Crown Proceeding Act*, R.S.B.C. 1996, c. 89.

the Crown would prevail.[2] All Crown proceeding statutes allow the provincial Crown to be sued in the provincial superior courts of its own jurisdiction. The same Rules that apply to private litigants apply.

13:14. Claims Against the Provincial Crown in Superior Courts of Another Province

The question of whether the Crown in right of a province can be sued in the superior courts of another province, and whether a provincial superior court has jurisdiction in an action against a foreign provincial Crown, has been a matter of some debate amongst academics and some commentators. However, the case law directly on point is of one view. The traditional rule, which is set out in a decision of the British Columbia Supreme Court, is that the Crown of one province cannot be sued in the courts of another province.[1] The Crown proceedings statutes of each province[2] render the Crown in right of that province liable to be sued in its own provincial superior courts but not in the courts of other provinces. However, a provincial Crown can be a plaintiff in any court which otherwise has jurisdiction over the subject matter.

In *Western Surety Co. v. Elk Valley Logging Ltd.*,[3] the Crown of Alberta applied to the British Columbia Supreme Court for an order setting aside service upon it of third party notice on the grounds that the British Columbia Supreme Court lacked jurisdiction over it. The plaintiff construction company had joined Alberta as a third party in an action commenced in British Columbia to recover shortfalls on its construction project. Alberta argued that it had sovereign and Crown immunity from an action in a British Columbia court. The trial judge considered, *inter alia*, a decision of the English Court of Appeal[4] in determining that Alberta is a sovereign

---

2

Rudolph Wolff & Co. v. Canada, [1990] 1 S.C.R. 695~~,~~ at p. 700, 69 D.L.R. (4th) 392~~, 39 O.A.C. 1, 43 Admin. L.R. 1, 46 C.R.R. 263, 41 C.P.C. (2d) 1, 106 N.R. 1, 20 A.C.W.S. (3d) 204~~ (S.C.C.).

1

Western Surety Co. v. Elk Valley Logging Ltd. (1985), 23 D.L.R. (4th) 464, 31 B.L.R. 193~~, 22 C.R.R. 359, 35 A.C.W.S. (2d) 196~~ (B.C.S.C.).

2

The Acts of each province are these: *Proceedings Against the Crown Act*, R.S.A. 2000, c. P-25; *Proceedings Against the Crown Act, 2019*, S.S. 2019, c. P-27.01; *The Proceedings Against the Crown Act*, C.C.S.M., c. P140; *Crown Liability and Proceedings Act, 2019*, S.O. 2019, c. 7, Sched. 17; *Code of Civil Procedure*, CQLR c. C-25.01; *Proceedings Against the Crown Act*, R.S.N.B. 1973, c. P-18; *Proceedings Against the Crown Act*, R.S.N.S. 1989, c. 360; *Crown Proceedings Act*, R.S.P.E.I. 1988, c. C-32; *Proceedings Against the Crown Act*, R.S.N.L. 1990, c. P-26.

3

Western Surety Co. v. Elk Valley Logging Ltd. (1985), 23 D.L.R. (4th) 464, 31 B.L.R. 193~~, 22 C.R.R. 359, 35 A.C.W.S. (2d) 196~~ (B.C.S.C.).

4

Specifically, the decision of Lord Denning in Mellenger v. New Brunswick Development Corp., [1971] 2 All E.R. 593 (C.A.).

state in relation to the province of British Columbia. The trial judge determined that sovereign and Crown immunity applied to oust the jurisdiction of the British Columbia Supreme Court. The trial judge further noted that the result of his decision did not leave the plaintiff without a remedy against the province of Alberta; it was open to the plaintiff to bring an action in the superior court of Alberta.

Two decisions of the Supreme Court of Canada that postdate *Western Surety* have caused some commentators to call into question the provincial Crown immunity rule. In *Morguard Investments Ltd. v. De Savoye*,[5] the court held that judgments of courts in one province should be given "full faith and credit" by the courts of other provinces to the extent that jurisdiction was properly exercised by the original court.[6] The Supreme Court emphasized that the federal structure of Canada requires the rules of comity and private international law to be responsive to that structure.[7]

The theme that Canada's federalism requires more charitable acceptance of judgments of the courts of other provinces was reiterated by the Supreme Court of Canada in *Hunt v. T & N plc*[8] The court reasoned that the modern era requires greater comity and that the provinces, as members of a federation, should give "full faith and credit" to the judgments of courts of other provinces.[9] Commentators have cited the principles espoused in *Morguard* and *Hunt* as being

---

5

Morguard Investments Ltd. v. De Savoye, [1990] 3 S.C.R. 1077, 76 D.L.R. (4th) 256, [1991] 2 W.W.R. 217, 52 B.C.L.R. (2d) 160, 46 C.P.C. (2d) 1, 15 R.P.R. (2d) 1, 122 N.R. 81, 24 A.C.W.S. (3d) 478 (S.C.C.).

6

Morguard Investments Ltd. v. De Savoye, [1990] 3 S.C.R. 1077 at p. 1079, 76 D.L.R. (4th) 256, [1991] 2 W.W.R. 217, 52 B.C.L.R. (2d) 160, 46 C.P.C. (2d) 1, 15 R.P.R. (2d) 1, 122 N.R. 81, 24 A.C.W.S. (3d) 478 (S.C.C.), at para. 41.

7

Morguard Investments Ltd. v. De Savoye, [1990] 3 S.C.R. 1077, 76 D.L.R. (4th) 256, [1991] 2 W.W.R. 217, 52 B.C.L.R. (2d) 160, 46 C.P.C. (2d) 1, 15 R.P.R. (2d) 1, 122 N.R. 81, 24 A.C.W.S. (3d) 478 (S.C.C.).

8

Hunt v. T & N plc, [1993] 4 S.C.R. 289, 109 D.L.R. (4th) 16, [1994] 1 W.W.R. 129, 85 B (S.C.L.R. (2d) 1, 21 C.P.C. (3d) 269, 161 N.R. 81 *sub nom.* Hunt v. Lac d'Amiante du Québec Ltée, 60 W.A.C. 161, 43 A.C.W.S. (3d) 1070 (S.C.C.).

9

Hunt v. T & N plc, [1993] 4 S.C.R. 289 at p. 324, 109 D.L.R. (4th) 16, [1994] 1 W.W.R. 129, 85 B (S.C.L.R. (2d) 1, 21 C.P.C. (3d) 269, 161 N.R. 81 *sub nom.* Hunt v. Lac d'Amiante du Québec Ltée, 60 W.A.C. 161, 43 A.C.W.S. (3d) 1070 (S.C.C.), at p. 324, discussing the decision of the court in Morguard Investments Ltd. v. De Savoye, [1990] 3 S.C.R. 1077, 76 D.L.R. (4th) 256, [1991] 2 W.W.R. 217, 52 B.C.L.R. (2d) 160, 46 C.P.C. (2d) 1, 15 R.P.R. (2d) 1, 122 N.R. 81, 24 A.C.W.S. (3d) 478 (S.C.C.).

consistent with replacement of the traditional provincial immunity rule with a "real and substantial connection" test.[10]

In the view of Professor Hogg, the traditional rule that the Crown in right of one province cannot be sued in the courts of another, which forces claimants to commence separate actions in the courts of each province it seeks to name as defendants, is "outdated and inappropriate".[11] Professor Hogg argues that, in light of *Morguard* and *Hunt*, provincial sovereign immunity is a relic of the past and ought not to govern.[12]

The Ontario Court of Justice (General Division) in *Belay v. Saskatchewan Government Insurance*[13] came to a similar conclusion on the issue of jurisdiction of courts of different provinces, although its reasons did not engage an analysis of *Morguard* and *Hunt.* Note, however, that the relevance of *Belay* in the context of the provincial Crown immunity rule may be somewhat circumscribed by the fact that the result of the decision was *not* that the Saskatchewan Crown could be sued in the Ontario superior court. Rather, the decision merely permitted an adjudication of benefits under a Saskatchewan enactment to take place in the Ontario superior court.[14]

10

See, for example, Janet Walker, "Interprovincial Sovereign Immunity Revisited" (1997), 35 Osgoode Hall L.J. 379 at p. 392, in which the author suggests that provisions in Crown proceedings statutes that grant jurisdiction to the superior court of the province must be read to include the superior courts of any province with a real and substantial connection to the matter.

11

P.W. Hogg, P.J. Monahan and W.K. Wright, Liability of the Crown, 5th ed. (Toronto: Carswell, 2024), at p. 536.

12

P.W. Hogg, P.J. Monahan and W.K. Wright, Liability of the Crown, 5th ed. (Toronto: Carswell, 2024), at p. 536.

13

Belay v. Saskatchewan Government Insurance (1992), 10 O.R. (3d) 371, 14 C.C.L.I. (2d) 252~~,~~ ~~[1992] I.L.R. &p;1-2862, 34 A.C.W.S. (3d) 672, [1992] O.J. No. 1435~~ (Gen. Div.). The court read down a provision of the Saskatchewan *Automobile Accident Insurance Act*, R.S.S. 1978, c. A-35 (the "AAIA"), which provided that "an action to recover benefits or insurance money shall be taken in the court", and "court" was defined as "Her Majesty's Court of Queen's Bench for Saskatchewan". The court held that the purpose of the provision in the AAIA was not to make the Saskatchewan Court of Queen's Bench the only court with jurisdiction to hear a claim for benefits under the AAIA; rather, the purpose of the provision was to designate the court in Saskatchewan that had this jurisdiction. The court further held that clear and explicit language would be required to oust the jurisdiction of another provincial superior court. Furthermore, language ousting the jurisdiction of another provincial superior court would be of questionable constitutional validity, and provincial legislatures are presumed to legislate intra-territorially.

14

The Alberta Court of Appeal delivered a pronouncement on the subject of provincial Crown immunity in *Athabasca Chipewyan First Nation v. Canada (Minister of Indian Affairs and Northern Development).*[15] The court held that the British Columbia Crown could not be sued in the Alberta Court of Queen's Bench as a matter of statutory interpretation. The court held that the effect of s. 4(1) of the British Columbia *Crown Proceeding Act* is that actions against the Crown in right of British Columbia must be commenced in the Supreme Court of British Columbia. The court further determined that more explicit language would be required to grant jurisdiction to any court other than the British Columbia Supreme Court. The court rejected the notion that the principles espoused in *Morguard* and *Hunt* apply to Crown immunity questions, on the grounds that such questions are "completely different than the procedural issues raised in [*Morguard* and *Hunt*]".[16] The court was further influenced by the fact that the claimant was not without a remedy; the British Columbia Crown could still be sued in the British Columbia Supreme Court.[17] On these grounds, the court determined that the Alberta Court of Queen's Bench had no jurisdiction to entertain an action against the British Columbia Crown.[18]

The Saskatchewan Court of Queen's Bench referenced *Belay* in Medvid et al. v. Saskatchewan (Minister of Health), 2010 SKQB 22~~, 348 Sask. R. 80, [2010] 4 W.W.R. 643, 86 C.P.C. (6th) 180, 184 A.C.W.S. (3d) 1005 (Sask. Q.B.),~~ at para. 29. This decision applied to provincial Crown immunity to prohibit a proposed class action in Saskatchewan against the Alberta Crown. Confirmed in Medvid et al. v. Saskatchewan (Minister of Health), 2012 SKCA 49~~, 349 D.L.R. (4th) 72, [2012] 9 W.W.R. 467, 393 Sask. R. 157, 259 C.R.R. (2d) 145, 22 C.P.C. (7th) 267, 2012 CarswellSask 295 (Sask. C.A.)~~.

15

Athabasca Chipewyan First Nation v. Canada (Minister of Indian Affairs and Northern Development), 2001 ABCA 112~~, 199 D.L.R. (4th) 452, [2001] 8 W.W.R. 419, 281 A.R. 38, 93 Alta. L.R. (3d) 1, 30 Admin. L.R. (3d) 87, [2001] 3 C.N.L.R. 8, 7 C.P.C. (5th) 1, 248 W.A.C. 38, 105 A.C.W.S. (3d) 77 (Alta. C.A.)~~.

16

Athabasca Chipewyan First Nation v. Canada (Minister of Indian Affairs and Northern Development), 2001 ABCA 112~~, 199 D.L.R. (4th) 452, [2001] 8 W.W.R. 419, 281 A.R. 38, 93 Alta. L.R. (3d) 1, 30 Admin. L.R. (3d) 87, [2001] 3 C.N.L.R. 8, 7 C.P.C. (5th) 1, 248 W.A.C. 38, 105 A.C.W.S. (3d) 77 (Alta. C.A.),~~ at para. 42.

17

Athabasca Chipewyan First Nation v. Canada (Minister of Indian Affairs and Northern Development), 2001 ABCA 112~~, 199 D.L.R. (4th) 452, [2001] 8 W.W.R. 419, 281 A.R. 38, 93 Alta. L.R. (3d) 1, 30 Admin. L.R. (3d) 87, [2001] 3 C.N.L.R. 8, 7 C.P.C. (5th) 1, 248 W.A.C. 38, 105 A.C.W.S. (3d) 77 (Alta. C.A.)~~.

18

The reasoning in *Athabasca* was recently applied in Liability Solutions Inc. v. New Brunswick (2007), 287 D.L.R. (4th) 672, 88 O.R. (3d) 101~~, 162 A.C.W.S. (3d) 951~~ (S.C.J.), in an action against the province of New Brunswick. The judgment in that case stated that despite critical academic arguments, provincial Crown immunity remains the law unless displaced by statute.

In addition, the issue of interprovincial Crown immunity was addressed in the 2020 Supreme Court of Canada decision of *Newfoundland and Labrador (Attorney General) v. Uashaunnat (Innu of Uashat and of Mani Utenam)*[19] and a subsequent 2021 decision of the Alberta Court of Appeal in *Fitter International Inc. v. British Columbia*.[20] While the majority in the narrow five to four decision of *Uashaunnuat* did not find it necessary to address the issue of interprovincial Crown immunity, the dissent stated that the Crown of one province cannot be sued in another province's court. The dissent's reasoning in *Uashaunnuat* was later adopted in *Fitter International Inc. v. British Columbia,* a case which addressed interprovincial Crown immunity in the context of a dispute over whether the provincial superior court of Alberta had the jurisdiction to grant declaratory relief respecting the constitutional validity of British Columbia legislation that had extraterritorial effects. Ultimately, the Alberta Court of Appeal held that the Alberta provincial superior court did not have such jurisdiction, noting that the Supreme Court of Canada's furtherance of comity underscored in *Morguard* and *Hunt* does not allow for the disregard of principles of interprovincial Crown immunity in the instance of declarations of unconstitutionality by courts of any province or territory in Canada. Leave to appeal to the Supreme Court of Canada was refused.

13:15. Claims Against the Crown in the Provincial Court (as Opposed to Superior Court)

The Crown proceedings legislation in force in Alberta, Saskatchewan, Nova Scotia, Newfoundland, Prince Edward Island and New Brunswick requires proceedings against the provincial Crown to be instituted in the superior court of the province.[1] The Ontario *Proceedings*

See also Medvid et al. v. Saskatchewan (Minister of Health) ~~(2012), 349 D.L.R. (4th) 72, [2012] 9 W.W.R. 467, 393 Sask. R. 157, 259 C.R.R. (2d) 145, 22 C.P.C. (7th) 267, 2012 CarswellSask 295~~, 2012 SKCA 49 ~~(Sask. C.A.)~~, where the court concluded that actions against Alberta can only be brought in a court in Alberta unless there is express legislation to permit extraprovincial claims. The court added further that s. 8 of the Alberta Act does not permit actions against Alberta in another jurisdiction.

19

Newfoundland and Labrador (Attorney General) v. Uashaunnuat (Innu of Uashat and of Mani-Utenam), ~~[2020] 1 S.C.R 15,~~ 2020 SCC 4~~, 443 D.L.R. (4th) 1, 315 A.C.W.S. (3d) 1 (S.C.C.)~~ at para. 275.

20

Fitter International Inc. v. British Columbia, 2021 ABCA 54~~, 456 D.L.R. (4th) 636, [2021] 4 W.W.R. 191, 61 C.P.C. (8th) 215, 328 A.C.W.S. (3d) 192 (Alta. C.A.)~~ at paras. 39-40, leave to appeal refused [2021] S.C.C.A. No. 115 (S.C.C.).

1

Alberta: *Proceedings Against the Crown Act*, R.S.A. 2000, c. P-25, s. 8; Saskatchewan: *Proceedings Against the Crown Act*, *2019,* S.S. 2019, c. P-27.01, s. 9; Nova Scotia: *Proceedings Against the Crown Act*, R.S.N.S. 1989, c. 360, s. 10; Newfoundland: *Proceedings Against the Crown Act*, R.S.N.L. 1990, c. P-26, s. 7; Prince Edward Island: *Crown Proceedings Act*, R.S.P.E.I. 1988, c. C-32, s. 6; New Brunswick: *Proceedings Against the Crown Act*, R.S.N.B. 1973, c. P-18, s. 6.

Against the Crown Act is silent on the issue, effectively restricting the forum for proceedings against the Ontario provincial Crown to the superior court of that province. As provincial courts are creatures of statute, they are entitled to exercise only that jurisdiction which is expressly granted by legislative enactment. Absent an express grant of jurisdiction in the Ontario *Proceedings Against the Crown Act*, proceedings must be brought in the superior court, pursuant to its inherent jurisdiction.

Claimants suing the Manitoba provincial Crown may commence proceedings in the Manitoba Court of King's Bench in accordance with ~~the~~*The Court of King's Bench Small Claims Practices Act.*[2] This Act permits claims to be dealt with in a summary manner, and applies to claims not exceeding $15,000, which may include general damages in an amount not exceeding $2,000.[3] The Act does not apply in proceedings relating to the ownership of real property; certain estate matters; certain family proceedings; allegations of malicious prosecution, false imprisonment or defamation; and allegations of judicial misconduct.[4]

Recent amendments to the *Crown Proceeding Act* in British Columbia permit proceedings to be brought against the British Columbia Crown in the Provincial Court.[5] Unless otherwise provided by the *Crown Proceedings Act*, all proceedings against the British Columbia Crown in the Provincial Court must be instituted and proceeded with under the *Small Claims Act.*[6] The claimant in an action against the Crown must follow the procedure set out in the *Small Claims Rules.*[7] The availability of the option to proceed against the British Columbia Crown in the Provincial Court (Small Claims) does not extend the subject-matter jurisdiction of the Provincial Court.[8] The Provincial Court maintains its limited jurisdiction in claims for debt or

---

2

The Court of King's Bench Small Claims Practices Act, C.C.S.M., c. C285.

3

The Court of King's Bench Small Claims Practices Act, C.C.S.M., c. C285, s. 3.

4

The Court of King's Bench Small Claims Practices Act, C.C.S.M., c. C285, s. 3(4).

5

See Bill 64 -- 2004, *Justice Modernization Statutes Amendment Act*, *2004*, s. 2 which was brought into force by B.C. Reg. 179/2005 on September 1, 2005.

6

R.S.B.C. 1996, c. 430. That proceedings must be initiated and proceeded with under the *Small Claims Act* is required by s. 5(2) of the *Crown Proceeding Act*, R.S.B.C. 1996, c. 89.

7

B.C. Reg. 261/93. The application of the *Small Claims Rules* is required by s. 4 of the *Small Claims Act*, R.S.B.C. 1996, c. 430.

8

R.S.B.C. 1996, c. 89, s. 5(3).

damages; recovery of personal property; specific performance of an agreement relating to personal property or services; or relief from opposing claims to personal property.[9] The amount claimed must be less than $35,001.[10] The jurisdiction of the Provincial Court (Small Claims) does not extend to claims for libel, slander or malicious prosecution,[11] nor to matters requiring notice under s. 8 of the *Constitutional Question Act.*[12] The jurisdiction of the Provincial Court (Small Claims) does not include *Charter* matters.[13]

3. **Claims Against the Federal Crown**

13:16. Generally

The historical immunity of the federal Crown is abrogated by the federal *Crown Liability and Proceedings Act.*[1]

The provincial legislatures have no authority to grant jurisdiction over the federal Crown to their courts. The provincial superior courts have jurisdiction to entertain actions against the federal Crown only to the extent that such jurisdiction is granted by the Parliament of Canada. To this end, s. 21 of the federal *Crown Liability and Proceedings Act* grants concurrent jurisdiction over claims against the federal Crown to the federal and provincial courts. The *Federal Courts Act*[2] similarly grants concurrent jurisdiction to the federal and provincial courts where an action is commenced against the federal Crown.[3] Both statutes explicitly except from

---

9

R.S.B.C. 1996, c. 430, s. 3.

10

R.S.B.C. 1996, c. 430, s. 3. The ceiling was increased from $10,000 to $35,000 effective September 1, 2005, by the *Small Claims Monetary Limit Regulation*, B.C. Reg. 179/2005.

11

R.S.B.C. 1996, c. 430, s. 3(2).

12

R.S.B.C. 1996, c. 68. The authority for this limitation on the jurisdiction of the provincial court is the *Crown Proceeding Act*, R.S.B.C. 1996, c. 89, s. 5(4)(*a*).

13

R.S.B.C. 1996, c. 89, s. 5(4)(*b*).

1

R.S.C. 1985, c. C-50.

2

R.S.C. 1985, c. F-7.

3

R.S.C. 1985, c. F-7, s. 17.

this general grant of concurrent jurisdiction matters over which the Federal Court has exclusive jurisdiction.

Unless a particular exception applies which has the effect of maintaining exclusive jurisdiction in the Federal Court, the general rule is that the federal and provincial courts share jurisdiction in proceedings against the Crown.[4] The subject matters over which the Federal Courts maintain exclusive jurisdiction are addressed earlier in this chapter. The capacity of federal Parliament to override the basic rule of concurrent jurisdiction necessitates close inspection of the particular Act of Parliament pleaded by a claimant. Note, however, that the statutory grant of exclusive jurisdiction to the Federal Court is not determinative that the Federal Court does, in fact, have exclusive jurisdiction to entertain a matter. The three-part *ITO-International* test must be met, as previously discussed.

For several years a dispute had been brewing between the provincial superior/appellate courts and the Federal Court of Appeal. The dispute concerned whether litigants must first proceed to the Federal Court seeking judicial review of the decision in question before they may pursue an action for damages in tort, for breach of contract, for breach of *Charter* rights, *etc.* in provincial superior courts where it might be argued that in order for such a plaintiff to be successful s/he must challenge or take issue with the decision of a federal agency. While it is established that litigants should not be permitted to mount a collateral attack on the decision of a federal agency,[5] certain jurisprudence such as the Federal Court of Appeal's decision in *Grenier v. Canada*,[6] held that if a trial court has to review the lawfulness of the applicable decision and set it aside then an action for damages, without first pursuing a judicial review of the decision in the Federal Court, was an impermissible collateral attack. On the other hand, other case law held that claims against federal agencies that do not centre wholly around the exercise of the agency's administrative power may proceed in provincial superior courts prior to undergoing judicial review.[7]

4

The federal and provincial courts have only had concurrent jurisdiction since February 1, 1992, when *An Act to Amend the Federal Court Act* was brought into force by SI/92-6. Prior to the 1992 amendments, it was generally the case that claimants suing the federal Crown had to proceed before the Federal Court. See the discussion earlier in this chapter concerning the jurisdiction of the Federal Court.

5

Collateral Attack is discussed in §§12:1 et seq., *Public Law Issues in Litigation Against the Crown.*

6

Grenier v. Canada, 2005 FCA 348~~, 262 D.L.R. (4th) 337, [2006] 2 F.C.R. 287, 344 N.R. 102, 145 A.C.W.S. (3d) 618, [2005] F.C.J. No. 1778 (C.A.)~~.

7

See ~~Genge v.~~ Canada (Attorney General) ~~(~~v. Genge, 2007~~), 285 D.L.R. (4th) 259, 822 A.P.R. 182 (Nfld. & Lab. C.A.)~~ NLCA 60, and the subsequent application of the principles contained therein in Donovan v. Canada (Attorney General)~~ (~~, 2008~~), 833 A.P.R. 116, 273 Nfld. & P.E.I.R. 116 (Nfld. & Lab. C.A.)~~ NLCA 8 and Andrews v. Canada (Attorney General), 2008 NLTD 145,

In late 2008, the Ontario Court of Appeal in *TeleZone Inc. v. Canada (Attorney General)*[8] held that actions for damages against the federal Crown in four separate proceedings could proceed in the Ontario Superior Court despite the Crown's jurisdictional opposition. When faced with the Federal Court of Appeal's decision in *Grenier v. Canada (Attorney General)*,[9] which strongly suggests, if not mandates, the judicial review path first before proceeding with a claim for damages, the Ontario Court of Appeal stated:[10]

> *Grenier* was not correctly decided. In any event, it is not binding on this court. The procedure that it advocates would take the litigants back to the days of *Bleak House*, where they had to go from court to court until they were finally able to obtain their remedy.

The Federal Court of Appeal had occasion to revisit this issue in *Canada v. Manuge*,[11] a judgment released five weeks after the Ontario Court of Appeal's decision in *TeleZone.* Needless to say, the comments of the Ontario Court of Appeal did not sit well with the Federal Court of Appeal. Létourneau J.A. (who wrote the Court's Judgment in *Grenier*) addressed the Ontario Court of Appeal decision in *TeleZone*, and maintained the Court's position as stated in *Grenier.*

The Supreme Court of Canada granted leave in both *TeleZone* and *Manuge.* The Federal Court of Appeal's approach in *Manuge* and *Grenier* was rejected with the Ontario Court of Appeal's approach in *TeleZone* being adopted. In *TeleZone*, the Supreme Court of Canada stated that *Grenier* was based on an "exaggerated view of the legal effect of the grant of judicial review

---

854 A.P.R. 241, 278 Nfld. & P.E.I.R. 241, 169 A.C.W.S. (3d) 525, (Nfld. & Lab. S.C.T.D.), affd 314 D.L.R. (4th) 577, 902 A.P.R. 175 (Nfld. & Lab. C.A.)affirmed 2009 NLCA 70, leave to appeal to S.C.C. refused [2010] 1 S.C.R. v, 316 D.L.R. (4th) vi, 921 A.P.R. 288*n*, 298 Nfld. & P.E.I.R. 288*n*. The majority of the Newfoundland Court of Appeal did not find it necessary to discuss the issue of the exclusive jurisdiction of the Federal Court in dismissing the appeal. The dissenting justice disagreed with the trial judge's determination on the issue of exclusive jurisdiction.

8

TeleZone Inc. v. Canada (Attorney General), 2008 ONCA 892, [2008] O.J. No. 5291, 175 A.C.W.S. (3d) 124, 245 O.A.C. 91, 303 D.L.R. (4th) 626, 40 C.E.L.R. (3d) 183, 86 Admin. L.R. (4th) 163, 94 O.R. (3d) 19 (Ont. C.A.).

9

Grenier v. Canada (2005), 262 D.L.R. (4th) 337, 2005 FCA 348, [2006] 2 F.C.R. 287, 344 N.R. 102, 145 A.C.W.S. (3d) 618, [2005] F.C.J. No. 1778 (C.A.).

10

TeleZone Inc. v. Canada (Attorney General), 2008 ONCA 892, [2008] O.J. No. 5291, 175 A.C.W.S. (3d) 124, 245 O.A.C. 91, 303 D.L.R. (4th) 626, 40 C.E.L.R. (3d) 183, 86 Admin. L.R. (4th) 163, 94 O.R. (3d) 19 (Ont. C.A.), at para. 100.

11

Canada v. Manuge, 2009 FCA 29, 384 N.R. 313, 73 C.C.P.B. 1, [2009] F.C.J. No. 73 (F.C.A.), reversed 2010 SCC 67, [2010] 3 S.C.R. 672, 327 D.L.R. (4th) 602, 13 Admin. L.R. (5th) 144, 86 C.C.P.B. 159, 222 C.R.R. (2d) 1, 410 N.R. 113, 196 A.C.W.S. (3d) 94 (S.C.C.).

jurisdiction to the Federal Court in s. 18 of the *Federal Courts Act*".[12] The Supreme Court of Canada held that access to justice requires that the claimant be permitted to pursue its chosen remedy directly and without procedural detours. The *Federal Courts Act* does not by clear and direct statutory language oust the jurisdiction of the provincial superior courts to deal with such common law and equitable claims, including the potential unlawfulness of government orders.[13] In *Manuge v. Canada*, Abella J. concluded that following *TeleZone*, there is no question that the Federal Court has jurisdiction to entertain an action for damages.[14] However, the court still maintains a residual discretion to stay a claim for a judicial review that possesses only a thin pretence to a private wrong. Therefore, the court is required to consider the essential character of the claim to determine if the claim possesses a reasonable cause of action. In *Meggeson v. Canada (Attorney General)*, the Federal Court of Appeal recognized the process in *TeleZone* of allowing administrative law remedies and monetary remedies to be simultaneously pursued.[15] The court detailed that, procedurally, once an application for judicial review has been initiated that it should be adjourned and a new motion be submitted so the application can proceed as an action.

The result of the highly circumscribed jurisdiction of the Federal Court is that, absent an exclusive statutory grant of jurisdiction over the matter in issue and a governing federal law of Canada, a party seeking to bring an action against the federal Crown may be well advised to do so in the provincial superior court.

In most circumstances, it will be advantageous for a plaintiff suing the federal Crown to bring the action in a provincial superior court. This is especially the case where the Federal Court lacks jurisdiction over non-federal Crown defendants that the claimant intends to sue along with the federal Crown. The Federal Court lacks jurisdiction to adjudicate claims concerning federal Crown servants.[16] Similarly, the Federal Court lacks jurisdiction over federal Crown agents,[17]

12

~~TeleZone Inc. v.~~ Canada (Attorney General)~~, [2010] 3 S.C.R. 585~~ v. TeleZone Inc., 2010 SCC 62~~, 13 Admin. L.R. (5th) 24, 410 N.R. 1, 196 A.C.W.S. (3d) 98 (S.C.C.),~~ at para. 5.

13

~~TeleZone Inc. v.~~ Canada (Attorney General)~~, [2010] 3 S.C.R. 585~~ v. TeleZone Inc., 2010 SCC 62~~, 13 Admin. L.R. (5th) 24, 410 N.R. 1, 196 A.C.W.S. (3d) 98 (S.C.C.),~~ at para. 19.

14

Manuge v. Canada, 2010 SCC 67~~, [2010] 3 S.C.R. 672, 327 D.L.R. (4th) 602, 13 Admin. L.R. (5th) 144, 86 C.C.P.B. 159, 222 C.R.R. (2d) 1, 410 N.R. 113, 196 A.C.W.S. (3d) 94 (S.C.C.),~~ at paras. 18-19.

15

Meggeson v. Canada (Attorney General), 2012 FCA 175~~, 349 D.L.R. (4th) 416 (F.C.A.)~~.

16

Meggeson v. Canada (Attorney General), 2012 FCA 175~~, 349 D.L.R. (4th) 416 (F.C.A.),~~ at paras. 37, 40.

17

co-defendants,[18] third parties,[19] and counterclaims brought by the federal Crown.[20] The concurrent jurisdiction provisions permit plaintiffs to sue the federal Crown and any additional defendants in the provincial superior courts, which obviates the necessity of proceedings being commenced in both venues. Note, however, that proceedings in both the federal and provincial superior courts may be required where the Federal Court has retained exclusive jurisdiction over certain matters and issues beyond the Federal Court's jurisdiction are involved.

II. Discovery of the Crown

13:17. Introduction

The various Crown proceeding statutes in each Canadian jurisdiction have established the general rule that, where the Crown is a party to civil litigation, the rights of the parties are the same as in private proceedings. Most Crown proceedings statutes provide that: "in proceedings against the Crown, the rights of the parties are as nearly as possible the same as in a suit between person and person ...".[1] In Nova Scotia, the *Proceedings Against the Crown Act*[2] does not refer to

---

Canadian Saltfish Corp. v. Rasmussen, [1986] 2 F.C. 500, 30 D.L.R. (4th) 399, ~~68 N.R. 379, 39 A.C.W.S. (2d) 342,~~ *sub nom.* Rasmussen v. Breau (C.A.); Northern Pipeline Agency v. Perehinec, [1983] 2 S.C.R. 513, 4 D.L.R. (4th) 1~~, [1984] 2 W.W.R. 385, 51 A.R. 10, 50 N.R. 248, 23 A~~ (S.C.~~W~~C.~~S. (2d)~~ ~~102~~.

18

Pacific Western Airlines Ltd. v. Canada, [1979] 2 F.C. 476, ~~[1979] F.C.J. No. 65,~~ 14 C.P.C. 165 (C.A.).

19

~~R~~McNamara Construction et al. v. ~~McNamara Construction (Western) Ltd.~~The Queen, [1977] 2 S.C.R. 654, 75 D.L.R. (3d) 273~~, 13 N.R. 181~~ (S.C.C.); R. v. Thomas Fuller Construction Co. (1958) Ltd. (*sub nom.* Canada v. Foundation Co. of Canada), [1980] 1 S.C.R. 695, 106 D.L.R. (3d) 193~~, 12 C.P.C. 248, 30 N.R. 249~~ (S.C.C.).

20

~~R~~McNamara Construction et al. v. ~~McNamara Construction (Western) Ltd.~~The Queen, [1977] 2 S.C.R. 654, 75 D.L.R. (3d) 273~~, 13 N.R. 181~~ (S.C.C.).

1

The Crown proceeding statutes will be referred to by jurisdiction throughout this chapter. *Crown Proceeding Act*, R.S.B.C. 1996, c. 89, s. 11; *Proceedings Against the Crown Act*, R.S.A. 2000, c. P-25, s. 16; *The Proceedings Against the Crown Act, 2019*, S.S. 2019, c. P-27, s. 16; *Proceedings Against the Crown Act*, C.C.S.M., c. P140, s. 14; *Crown Liability and Proceedings Act, 2019*, S.O. 2019, c. 7, Sched. 17, s. 12; *Proceedings Against the Crown Act*, R.S.N.B. 1973, c. P-18, s. 14; *Proceedings Against the Crown Act*, R.S.N.S. 1989, c. 360, s. 16; *Crown Proceedings Act*, R.S.P.E.I. 1988, c. C-32, s. 13; *Proceedings Against the Crown Act*, R.S.N.L. 1990, c. P-26, s. 14.

2

R.S.N.S. 1989, c. 360, s. 16.

the rights of parties but states:

> 16. (1) Subject to this act, in proceedings against the Crown the court may make any order, including an order as to costs, that it may make in proceedings between persons, and may otherwise give the relief that the case requires.

The *Federal Crown Liability and Proceedings Act*[3] does not contain the provision similar to those set out in the provincial proceedings against the Crown acts. There is no express provision in the Federal statute stipulating that, in proceedings against the federal Crown, the rights of the parties are as nearly as possible the same as in a suit against private parties. The consequence is that, in a civil action with the federal Crown, the applicable law is the common law as modified by any federal statutes that are applicable. As a result, the court may make any order against the federal Crown that it may make in proceedings against a person and give appropriate relief as the case requires, subject to certain restrictions.[4]

The balance of this section will look at the certain restrictions on the rights of the parties concerning discovery of the Crown.

13:18. Document Discovery

At common law, the Crown was immune from discovery. The Crown had the right to refuse discovery even though it could obtain discovery itself. This immunity was not lost even when the Crown itself was a plaintiff.[1] However, under federal and provincial Crown proceedings statutes, the Crown is now expressly subject to discovery.[2]

The general rule concerning actions for or against the Crown is that they are in the same position as other litigants to civil actions, subject to some restrictions. Hence, the initial position on discovery of documents is that the Crown must produce the appropriate list of documents as is required of any private litigant in civil proceedings. However, there are issues of immunity that

---

3

R.S.C. 1985, c. C-50.

4

Cardinal Construction Ltd. v. Ontario (1981), 122 D.L.R. (3d) 703, 32 O.R. (2d) 575 (H.C.J.), affd 128 D.L.R. (3d) 662, 38 O.R. (2d) 161 (C.A.).

1

Central Canada Potash Co. v. Saskatchewan (Attorney General) (1974), 50 D.L.R. (3d) 560, [1974] 6 W.W.R. 379 (Sask. C.A.); Ontario (Attorney General) v. Toronto Junction Recreation Club (1904), 8 O.L.R. 440 (H.C.).

2

Crown Proceeding Act, R.S.B.C. 1996, c. 89, s. 9; *Proceedings Against the Crown Act*, R.S.A. 2000, c. P-25, s. 11; *The Proceedings Against the Crown Act, 2019*, S.S. 2019, c. P-27.01, s. 11; *Proceedings Against the Crown Act*, C.C.S.M., c. P140, s. 9; *Crown Liability and Proceedings Act, 2019*, S.O. 2019, c. 7, Sched. 17, s. 19; *Proceedings Against the Crown Act*, R.S.N.B. 1973, c. P-18, s. 10; *Proceedings Against the Crown Act*, R.S.N.S. 1989, c. 360, s. 11; *Crown Proceedings Act*, R.S.P.E.I. 1988, c. C-32, s. 8; *Proceedings Against the Crown Act*, R.S.N.L. 1990, c. P-26, s. 9; *Crown Liability and Proceedings Act*, R.S.C. 1985, c. C-50, s. 27.

can arise with regard to particular confidential documents.[3] Other than documents for which Crown immunity is claimed, the discovery obligations of the Crown are the same as those imposed on any other civil litigant.

In Ontario, where the practice is for parties to swear an affidavit of documents, the Crown is not required to deliver an affidavit of documents but rather a list of documents signed by the Deputy Attorney General.[4]

In most Canadian jurisdictions, the rights to discovery arise only in proceedings against the Crown. The Crown retains its common law immunity from discovery in actions that it commences. In civil actions against the federal Crown and the province of British Columbia, the Crown is subject to discovery whenever it is a party to civil litigation.[5]

The federal Crown is the only Crown that has to subject itself to discovery of the courts and other jurisdictions.[6] Hence, immunity remains where a province is involved in litigation outside its own jurisdiction. As a result, the Rules of Court of one provincial jurisdiction cannot apply to another province, even if the action is commenced in the first province. However, provincial Crown corporations are not protected by this immunity in actions commenced in other provinces.[7]

3

For example, pursuant to the *Canada Evidence Act*, R.S.C. 1985, c. C-5, s. 38.04, the Attorney general of Canada may apply to the Federal Court for an Order with respect to the disclosure of information. On such an application the court is to apply a three-part test: (1) the party seeking disclosure must establish the relevance of the information sought; (2) the Attorney General must establish that the disclosure of the information at issue would be injurious to international relations or national security; (3) if injury is proven to exist the court must determine whether the public interest in disclosure outweighs the public interest in non-disclosure to determine whether the information should be disclosed. See Canada (Attorney General) v. Canada (Commission of Inquiry Into the Actions of Canadian Officials in Relation to Maher Arar) ~~(2007), 72 Admin. L.R. (4th) 68, [2008] 3 F.C.R. 248, 316 F.T.R. 279, 159 A.C.W.S. (3d) 908,~~ 2007 FC 766 (F.C.), addt'l reasons ~~12 Admin. L.R. (5th) 126, 192 A.C.W.S. (3d) 1370,~~ 2009 FC 1317 (F.C.).

4

Crown Liability and Proceedings (Provincial Court) Regulations, S.O.R./91-604, s.8.

5

Crown Proceeding Act, R.S.B.C. 1996, c. 89, s. 9; *Crown Liability and Proceedings Act, 2019*, S.O. 2019, c. 7, Sched. 17, s. 19; Canada, *Crown Proceeding Act*, R.S.C. 1985, c. C-50, s. 27.

6

Canada, *Crown Proceeding Act*, R.S.B.C. 1996, c. 89, s. 27.

7

Athabasca Chipewyan First Nation v. Canada (Minister of Indian Affairs and Northern Development) ~~(2001), 199 D.L.R. (4th) 452, [2001] 8 W.W.R. 419, 281 A.R. 38, 93 Alta. L.R. (3d) 1, 30 Admin. L.R. (3d) 87, [2001] 3 C.N.L.R. 8, 7 C.P.C. (5th) 1, 248 W.A.C. 38, 105 A.C.W.S. (3d) 77,~~ 2001 ABCA 112 ~~(Alta. C.A.)~~; see also Fitter International Inc. v. British Columbia, 2021 ABCA 54~~, 456 D.L.R. (4th) 636, [2021] 4 W.W.R. 191, 61 C.P.C. (8th) 215,~~

13:19. Examination for Discovery of the Crown

While all Canadian jurisdictions provide for the ability to have litigants examine for discovery a representative of the Crown, there is some variation in the manner in which the representative is designated. In six Canadian provinces, the local Rules of Court apply against the Crown for the purposes of examination for discovery "as if the government were a corporation".[1] In Manitoba and New Brunswick, the Crown is to designate the official who is to be examined, however, the court has the power to designate a different official.[2] The Ontario *Proceedings Against the Crown Act* states that "the person who shall attend the examination for discovery shall be an official designated by the Deputy Attorney General".[3] There is no power in the court to substitute a different person. One of the consequences of the lack of flexibility in the Ontario Act has been the encouraging of plaintiffs to bring proceedings against individual Crown servants as well as the Crown so that the plaintiff gains discovery rights over that Crown servant.[4]

The federal Crown, unlike any other jurisdiction, expressly binds itself to the rules of practice and procedure of the court in which proceedings are taken. Hence, when sued in provincial superior court, the federal Crown is bound by the local rules of the court.[5]

13:20. Public Interest Immunity

The discovery rights of parties in litigation with the Crown may be diminished or extinguished by a claim that certain documents are covered by public interest immunity or Crown privilege. If a claim of public interest immunity or Crown privilege is upheld, the document may not be produced in the discovery process and, unless the immunity is waived, is inadmissible at trial.

The British common law tradition imported into Canada granted the Crown a broad

---

~~328 A.C.W.S. (3d) 192 (Alta. C.A.)~~.

1

Crown Proceeding Act, R.S.B.C. 1996, c. 89, s. 9; *Proceedings Against the Crown Act*, R.S.A. 2000, c. P-25, s. 11; *The Proceedings Against the Crown Act, 2019*, S.S. 2019, c. P-27.01, s. 11; *Proceedings Against the Crown Act*, R.S.N.S. 1989, c. 360, s. 11; *Crown Proceedings Act*, R.S.P.E.I. 1988, c. C-32, s. 8; *Proceedings Against the Crown Act*, R.S.N.L. 1990, c. P-26, s. 9.

2

Proceedings Against the Crown Act, C.C.S.M., c. P140, s. 9; *Proceedings Against the Crown Act*; R.S.N.B. 1973, c. P-18, s. 10.

3

Crown Liability and Proceedings Act, 2019, S.O. 2019, c. 7, Sched. 17, s. 19.

4

P.W. Hogg and P.J. Monahan, Liability of the Crown, 3rd ed. (Toronto: Carswell, 2000), at p. 67.

5

Crown Liability and Proceedings Act, R.S.C. 1985, c. C-50, s. 27.

immunity from discovery. This is particularly so when protecting the confidentiality of what is said in Cabinet and the documents and papers prepared for Cabinet discussions.[1] Those who were obliged to fulfill the responsibility of government decisions had to be free to discuss all manner of topics and to openly and honestly express their views, without fear that such would not later be subject to public scrutiny.[2] The concern was that if these deliberations were subject to disclosure it could have the impact of censoring the deliberations either consciously or subconsciously and government members might shy away from stating unpopular positions.[3] However as the scope of governmental operations expanded it became clear this general Crown immunity was inappropriate. As stated by the Supreme Court of Canada in *Carey v. Ontario*:[4]

> With the expansion of State activities into the commercial sphere, different attitudes to suits against the Crown developed and statutes were enacted to make these possible. The general social context also affected attitudes towards government secrecy. One can scarcely expect the views on this issue to be the same in wartime conditions when the total energy of the nation must be concentrated on winning the war, and an era of peace in which government activity impinges on every aspect of our lives and there is in consequence increased demands for more open government.[5]

Hence, the importance of withholding production on the basis of public interest must be weighed against the public interest in the proper administration of justice. The public interest in the confidentiality of particular government records is only one of a number of variables to take into account when considering whether the interest in disclosure for the administration of justice has been outweighed by other public interests.[6] The general rule has arisen that Cabinet

---

1

Babcock v. Canada (Attorney General), ~~[2002] 3 S.C.R. 3, 214 D.L.R. (4th) 193, [2002] 8 W.W.R. 585, 3 B.C.L.R. (4th) 1, 3 C.R. (6th) 1, 289 N.R. 341, 275 W.A.C. 50, 114 A.C.W.S. (3d) 1057, [2002] S.C.J. No. 58,~~ 2002 SCC 57 ~~(S.C.C.)~~.

2

Singh v. Canada (Attorney General) (2000), ~~[2000] 3 F.C. 185,~~ 183 D.L.R. (4th) 458, 20 Admin. L.R. (3d) 168, ~~251 N.R. 318, 94 A.C.W.S. (3d) 269,~~ *sub nom.* Westergard-Thorpe v. Canada (Attorney General) (F.C.A.), at paras. 21-22, leave to appeal to S.C.C. refused 188 D.L.R. (4th) vi, 259 N.R. 400*n*.

3

Babcock v. Canada (Attorney General), ~~[2002] 3 S.C.R. 3, 214 D.L.R. (4th) 193, [2002] 8 W.W.R. 585, 3 B.C.L.R. (4th) 1, 3 C.R. (6th) 1, 289 N.R. 341, 275 W.A.C. 50, 114 A.C.W.S. (3d) 1057, [2002] S.C.J. No. 58,~~ 2002 SCC 57 ~~(S.C.C.),~~ at para. 18.

4

Carey v. Ontario, [1986] 2 S.C.R. 637~~, 35 D.L.R. (4th) 161, 20 O.A.C. 81, 30 C.C.C. (3d) 498, 14 C.P.C. (2d) 10, 72 N.R. 81, 58 O.R. (2d) 352*n* (S.C.C.),~~ at para. 25.

5

Carey v. Ontario, [1986] 2 S.C.R. 637~~, 35 D.L.R. (4th) 161, 20 O.A.C. 81, 30 C.C.C. (3d) 498, 14 C.P.C. (2d) 10, 72 N.R. 81, 58 O.R. (2d) 352*n* (S.C.C.)~~.

6

Carey v. Ontario, [1986] 2 S.C.R. 637~~, 35 D.L.R. (4th) 161, 20 O.A.C. 81, 30 C.C.C. (3d) 498, 14 C.P.C. (2d) 10, 72 N.R. 81, 58 O.R. (2d) 352*n* (S.C.C.)~~.

documents and other public interest documents are to be treated like other documents and must be disclosed unless such disclosure would interfere with the public interest.[7] This general trend towards full disclosure has been even more evident in Canadian court decisions when the Crown is a party to the litigation and has a direct interest in seeking immunity, perhaps in an attempt to bolster its position in the litigation.[8] The Supreme Court of Canada in *Carey v. Ontario* set out the standard by which it can be determined whether the Crown has put forth a proper claim for immunity to attach to the disputed documents. These criteria are:

(1) The nature of the policy concerned;
(2) The particular contents of the documents;
(3) The level of the decision-making process;
(4) The time when a document or information is to be revealed;
(5) The importance of producing the documents in the administration of justice, with particular consideration to:
(a) The importance of the case;
(b) The need or desirability of producing the documents to ensure that it can be adequately and fairly represented;
(c) The ability to ensure that only the particular facts relating to the case are revealed;
(d) Any allegation of improper conduct by the executive branch towards a citizen.[9]

When considering the nature of the policy concerned, the court should make a distinction between the formulation of policy on a broad basis and a transaction made on the implementation of that policy. Where the documents concern a transaction made in the implementation of policy, the court has less reason to find immunity for the documents. However, in situations where policy and implementation are entwined, a court may only reveal as much of the relevant documents as is necessary.[10] A further consideration is the level of decision-making, with a Cabinet decision being the highest level of governmental decision-making.

The claim of privilege will only prevail when it is necessary in the public interest.[11] The

---

7

Carey v. Ontario, [1986] 2 S.C.R. 637~~, 35 D.L.R. (4th) 161, 20 O.A.C. 81, 30 C.C.C. (3d) 498, 14 C.P.C. (2d) 10, 72 N.R. 81, 58 O.R. (2d) 352*n* (S.C.C.)~~.

8

Leeds v. Alberta (Minister of Environment) (1990), 69 D.L.R. (4th) 681, ~~106 A.R. 105, 43 L.C.R. 145, 20 A.C.W.S. (3d) 1085~~ (A.B.Q.B.) ~~[*Leeds*]~~.

9

Leeds v. Alberta (Minister of Environment) (1990), 69 D.L.R. (4th) 681, ~~106 A.R. 105, 43 L.C.R. 145, 20 A.C.W.S. (3d) 1085~~ (A.B.Q.B.).

10

Leeds v. Alberta (Minister of Environment) (1990), 69 D.L.R. (4th) 681~~, 106 A.R. 105, 43 L.C.R. 145, 20 A.C.W.S. (3d) 1085~~ (A,B,Q.B.).

11

court will weigh the facts in each particular case to determine whether the public interest in the administration of justice should prevail over the public interest in non-disclosure.[12] It is the role of the courts, not the executive, to determine whether disclosure of documents would be injurious to the public interest.[13]

A plaintiff will not be required to prove that documents were of direct assistance to his case or damaging to the defendant. In some circumstances, the disclosure of the documents may be necessary for a fair determination of the issues and for saving costs. However, the plaintiff must be able to establish that the documents are necessary for a fair and full presentation of the case.[14] Other factors that may be important when balancing the desire to produce documents against the public interest in keeping documents confidential are the importance of the litigation in both the nature of the allegations against the Crown and whether those allegations would affect a large number of people that should be fully aired and settled before the courts.[15] Allegations that concern improper conduct by the Crown will also have to be considered by the court when weighing whether to disclose information that is claimed to be confidential. Improper conduct is broader than mere allegations of *Criminal Code* offences, duress or coercion and include allegations of tort. Such allegations will raise the importance of the litigation and tilt the balance towards disclosure.[16] As one court noted, "The proper functioning of the executive branch of government, the very purpose for which the public interest immunity exists, requires that any question of unconscionable behaviour by the executive be fully and publicly canvassed."[17]

Gloucester Properties Ltd. v. British Columbia (1981), 129 D.L.R. (3d) 275~~, [1982] 1 W.W.R. 449, 32 B.C.L.R. 61, 24 C.P.C. 82~~ (B.C.C.A.).

12

Gagnon v. Quebec Securities, [1965] S.C.R. 73~~, 50 D.L.R. (2d) 329 (S.C.C.)~~.

13

Smallwood v. Sparling, [1982] 2 S.C.R. 686,~~ 141 D.L.R. (3d) 395, 68 C.P.R. (2d) 145, 44 N.R. 571 (S.C.C.)~~.

14

Leeds v. Alberta (Minister of Environment) (1990), 69 D.L.R. (4th) 681~~, 106 A.R. 105, 43 L.C.R. 145, 20 A.C.W.S. (3d) 1085~~ (A.B.Q.B.).

15

Leeds v. Alberta (Minister of Environment) (1990), 69 D.L.R. (4th) 681~~, 106 A.R. 105, 43 L.C.R. 145, 20 A.C.W.S. (3d) 1085~~ (A.B.Q.B.).

16

Leeds v. Alberta (Minister of Environment) (1990), 69 D.L.R. (4th) 681~~, 106 A.R. 105, 43 L.C.R. 145, 20 A.C.W.S. (3d) 1085~~ (A.B.Q.B.).

17

Leeds v. Alberta (Minister of Environment) (1990), 69 D.L.R. (4th) 681~~, 106 A.R. 105, 43 L.C.R. 145, 20 A.C.W.S. (3d) 1085~~ (A.B.Q.B.).

A document is not subject to a public interest immunity claim merely because it contains an admission against interest. However, such a document may be inadmissible because, for other reasons, it falls within the scope of public interest immunity or some other claim of privilege.[18]

Properly supported claims of abuse of criminal process, deliberate suppression of evidence and malicious prosecution for improper purpose may be considered forms of dishonesty similar to or at least as serious as an allegation of fraud. Therefore, such an allegation can be used to access documents that would otherwise be protected by solicitor-client privilege, including cases where the solicitors are employees of the Crown.[19] To overcome the solicitor-client privilege based on the broad exemption, there must be more than a mere allegation; there must be *prima facie* evidence that has some foundation in fact.[20]

When a court is exercising its discretion to authorize or prohibit disclosure of information certified to be protected on the grounds of a specific public interest, it must engage in a two-part test. First the court must determine whether the disclosure would encroach upon the specified public interest. If the court determines that no specific public interest would be encroached, it may authorize a disclosure without further consideration. However, if the court determines that the disclosure would encroach upon a specified public interest, the court must determine whether the public interest in disclosure outweighs the specific public interest. If the public interest and disclosure outweighs the importance of the specific public interest, then the court may order disclosure of all or part or a summary of the information in a form and with conditions that are most likely to limit any encroachment upon the specific public interest.[21] The onus is on the party making the application for disclosure to demonstrate that the public interest served by the disclosure outweighs the public interest in maintaining the secrecy of the information in question.[22]

18

Canada (Human Rights Commission) v. Northwest Territories ~~(2001), 278 N.R. 187, 108 A.C.W.S. (3d) 339, [2001] F.C.J. No. 1374, 213 F.T.R. 320~~*~~n~~, 2001 FCA 259 ~~(F.C.A.)~~.

19

Hallstone Products Ltd. v. Canada Customs and Revenue Agency (2004), 1 C.P.C. (6th) 324, ~~128 A.C.W.S. (3d) 673, [2004] O.J. No. 496 (S.C.J.),~~ appeal allowed in part 71 O.R. (3d) 373, ~~132 A.C.W.S. (3d) 440, [2004] O.J. No. 2470 (S.C.J.)~~ [*Hallstone*]. See also 1784049 Ontario Ltd. v. Toronto (City) ~~(2010), 101 O.R. (3d) 505, 91 C.P.C. (6th) 364, 69 M.P.L.R. (4th) 243, 185 A.C.W.S. (3d) 1073~~, 2010 ONSC 1204~~, [2010] O.J. No. 764 (S.C.J.)~~.

20

Goldman, Sachs & Co. v. Sessions (1999), 38 C.P.C. (4th) 143, 93 A.C.W.S. (3d) 231, ~~[1999] B.C.J. No. 2815~~ (B.C.S.C.).

21

Hallstone Products Ltd. v. Canada Customs and Revenue Agency (2004), 1 C.P.C. (6th) 324, ~~128 A.C.W.S. (3d) 673, [2004] O.J. No. 496 (S.C.J.),~~ appeal allowed in part 71 O.R. (3d) 373, ~~132 A.C.W.S. (3d) 440, [2004] O.J. No. 2470 (S.C.J.)~~.

22

The court should not inspect the documents in issue unless the court is persuaded on the evidence before it that such inspection is necessary. Prior to reviewing the documents, the court must conclude that the importance of the public interest in disclosure in the circumstances outweighs "the importance of the public interest in keeping the information immune from disclosure or at least the balance is equal and calls for an examination of the information in order to determine which public interest is more important in the circumstances".[23]

13:21. Public Interest Immunity-- *Canada Evidence Act*-- Specified Public Interest

In appropriate circumstances, the federal Crown, through a minister or official, may determine that information should not be disclosed on the grounds of a specified public interest. Sections 37, 38 and 39 of the *Canada Evidence Act*[1] provide the federal Crown with the ability to protect information that meets the criteria for confidentiality. Section 38 relates to information that could injure international relations, national defence or national security. Section 39 relates to confidential information of the Cabinet or the King's Privy Council for Canada. Section 37 deals with all other claims for Crown privilege.

In order to invoke the protection of s. 37, a minister of the Crown or other official must object to the disclosure of information on the grounds of a specified public interest.[2] The minister or official must certify that the information should not be disclosed.[3] If such an objection is made, it can be challenged in the federal court or in the trial division of a provincial superior court.[4] Such an application must be made within ten days after the objection has been made.[5] This time period can be varied by court order.[6]

Singh v. Canada (Attorney General) (2000), 186 F.T.R. 1, 98 A.C.W.S. (3d) 584~~, [2000] F.C.J. No. 1007~~ (T.D.).

23

Singh v. Canada (Attorney General) (2000), 186 F.T.R. 1, 98 A.C.W.S. (3d) 584~~, [2000] F.C.J. No. 1007~~ (T.D.), at para. 6.

1

Canada Evidence Act, R.S.C. 1985, c. C-5.

2

Canada Evidence Act, R.S.C. 1985, c. C-5, s. 37(1).

3

Canada Evidence Act, R.S.C. 1985, c. C-5, s. 37(1).

4

Canada Evidence Act, R.S.C. 1985, c. C-5, s. 37(3).

5

Canada Evidence Act, R.S.C. 1985, c. C-5, s. 37(4).

6

Canada Evidence Act, R.S.C. 1985, c. C-5, s. 37(4).

When an objection is challenged before a court, the court must determine whether the disclosure of the information to which the objection was made would encroach upon a specified public interest.[7] If the court concludes that the information would not encroach upon a specified public interest, the court may order the disclosure of the information.[8] The court is also given the authority in circumstances where the disclosure would encroach on a specified public interest to authorize the disclosure of all or part of the material subject to any conditions the court considers appropriate.[9]

If the court does not order disclosure, it shall issue an order prohibiting the disclosure of the information.[10] The court is provided with a broad evidentiary discretion to consider "anything that, in the opinion of the court, is reliable and appropriate, even if it would not otherwise be admissible under Canadian law ...".[11] Furthermore, the court may base its order upon such otherwise inadmissible evidence.[12] The common law claim of solicitor-client privilege is not within a specified public interest on which a claim for public interest immunity can be maintained pursuant to s. 37. However, confidentiality of the information may be retained as a result of the common law privilege.[13]

Section 38 requires that any person in a proceeding before court, a person or body with a jurisdiction to compel the production of information, must notify the Attorney General of Canada in writing if that person believes that there may be the disclosure of sensitive information.[14] Sensitive information is information relating to international relations, national defence or

---

7

Canada Evidence Act, R.S.C. 1985, c. C-5, s. 37(4.1).

8

Canada Evidence Act, R.S.C. 1985, c. C-5, s. 37(4.1).

9

Canada Evidence Act, R.S.C. 1985, c. C-5, s. 37(5).

10

Canada Evidence Act, R.S.C. 1985, c. C-5, s. 37(6).

11

Canada Evidence Act, R.S.C. 1985, c. C-5, s. 37(6.1).

12

Canada Evidence Act, R.S.C. 1985, c. C-5, s. 37(6.1).

13

Canada (Attorney General) v. Sander (1994), 114 D.L.R. (4th) 455, [1994] 8 W.W.R. 512~~, 91 B.C.L.R. (2d) 145, 90 C.C.C. (3d) 41, 22 C.R.R. (2d) 348, [1996] 1 C.T.C. 74, 71 W.A.C. 200, 23 W.C.B. (2d) 551, [1994] B.C.J. No. 998~~ (B.C.C.A.).

14

Canada Evidence Act, R.S.C. 1985, c. C-5, s. 38.01(1).

national security.[15] An official other than the participant may also notify the Attorney General in writing of the potential of the disclosure of sensitive information.[16] Once notice has been given, no person shall disclose, in connection with the proceedings, sensitive information unless the Attorney General of Canada authorizes the disclosure, in writing, or a court authorizes the disclosure.[17] The court may order the disclosure of information unless the court concludes that the disclosure of the information would be injurious to international relations, national defence or national security.[18] As with s. 37, the court is provided with the discretion to order the disclosure of all or some of the information, subject to any conditions the court considers appropriate.[19] If the court does not authorize a disclosure, it must issue an order prohibiting the disclosure of the information.[20]

Section 39 enables a minister of the Crown or the Clerk of the Privy Council to object to the disclosure of information where the information contains information concerning "a confidence of the King's Privy Council for Canada".[21] This confidential information covers the King's Privy Council for Canada and its committees and Cabinet and its committees.[22] The confidential information protected by this section includes:

(1) Memorandums to present proposals or recommendations;

(2) Discussions papers to present background explanations, analyses or problems or policy options;

(3) An agendum or a record recording deliberations or decisions of Council;

(4) A record reflecting communications or discussions between ministers of the Crown on matters relating to the making of government decisions or the formulation of government

---

15 *Canada Evidence Act*, R.S.C. 1985, c. C-5, s. 38.

16 *Canada Evidence Act*, R.S.C. 1985, c. C-5, s. 38.01(3).

17 *Canada Evidence Act*, R.S.C. 1985, c. C-5, s. 38.02(2).

18 *Canada Evidence Act*, R.S.C. 1985, c. C-5, s. 38.06(1).

19 *Canada Evidence Act*, R.S.C. 1985, c. C-5, s. 38.06(2).

20 *Canada Evidence Act*, R.S.C. 1985, c. C-5, s. 38.06(3).

21 *Canada Evidence Act*, R.S.C. 1985, c. C-5, s. 39(1).

22 *Canada Evidence Act*, R.S.C. 1985, c. C-5, s. 39(3).

policy;

(5) A record to brief ministers of the Crown in relation to matters that are brought before or proposed to be brought before the King's Privy Council for Canada and its committees or Cabinet and its committees; and

(6) Draft legislation.[23]

Before certifying the information as "a confidence of the King's Privy Council for Canada", the clerk or minister must determine whether the information is a confidence within the meaning of s. 39(2). If the information is within such meaning, the minister or clerk must then determine that the information is such that the government should protect it, taking into account the competing interests of disclosure and retaining confidentiality. The minister or clerk should only certify the information if both questions are answered in the affirmative.[24]

The requirements for valid certification are:

(1) It must be done by the clerk or minister;

(2) It must relate to information within s. 39(2);

(3) It must be done in a *bona fide* exercise of delegated powers; and

(4) It must be done to prevent disclosure of confidential information.[25]

It is important to ensure that the information is properly certifiable and certified because, once certified, the information gains greater protection than it would have at common law.[26]

When reviewing the issuance of a certificate, the court should determine whether the s. 39 certificate had been lawfully issued without examining the information contained in the documents.[27] When issuing a s. 39 certificate, the clerk or minister must provide a description of the information sufficient to establish on its face that the information is Cabinet confidence and

---

23

Canada Evidence Act, R.S.C. 1985, c. C-5, s. 39(2).

24

Babcock v. Canada (Attorney General), ~~[2002] 3 S.C.R. 3, 214 D.L.R. (4th) 193, [2002] 8 W.W.R. 585, 3 B.C.L.R. (4th) 1, 3 C.R. (6th) 1, 289 N.R. 341, 275 W.A.C. 50, 114 A.C.W.S. (3d) 1057, [2002] S.C.J. No. 58,~~ 2002 SCC 57.

25

Babcock v. Canada (Attorney General), ~~[2002] 3 S.C.R. 3, 214 D.L.R. (4th) 193, [2002] 8 W.W.R. 585, 3 B.C.L.R. (4th) 1, 3 C.R. (6th) 1, 289 N.R. 341, 275 W.A.C. 50, 114 A.C.W.S. (3d) 1057, [2002] S.C.J. No. 58,~~ 2002 SCC 57~~,~~ at paras. 24-26.

26

Babcock v. Canada (Attorney General), ~~[2002] 3 S.C.R. 3, 214 D.L.R. (4th) 193, [2002] 8 W.W.R. 585, 3 B.C.L.R. (4th) 1, 3 C.R. (6th) 1, 289 N.R. 341, 275 W.A.C. 50, 114 A.C.W.S. (3d) 1057, [2002] S.C.J. No. 58,~~ 2002 SCC 57.

27

Canada (Information Commissioner) v. Canada (Minister of the Environment) ~~(2003)~~, ~~224 D.L.R. (4th) 498, 2 Admin. L.R. (4th) 271, 24 C.P.R. (4th) 180, 300 N.R. 310, 120 A.C.W.S. (3d) 708, [2003] F.C.J. No. 197,~~ 2003 FCA 68 ~~(F.C.A.)~~ [*Canada (Information Commissioner*)].

that it falls within the categories of s. 39(2) or analogous category. The clerk or minister must exercise the statutory power properly in accordance with the statute to gain s. 39 protection for the document.

The kind of description required is similar to that for claims of solicitor privilege under the civil rules of court. The information should usually contain the date, title, author and recipient of the document. The only exception is when the government's confidentiality concerns prevent the disclosure of this preliminary issue of identification. In such circumstances, the onus falls on the government to establish this confidentiality concern should the certificate be challenged. However, if the documents containing the information are properly identified, the court must accept the minister or clerk's determination. The only challenge that can be made is that, from the description of the documents, it is apparent that they do not fall within s. 39 or that the minister or clerk has otherwise exceeded their powers.[28] If the clerk or the minister makes an error of law in the description of the documents or in their interpretation of the powers pursuant to s. 39, the standard of review for such an error is one of correctness.[29]

An error by the minister or the clerk to provide sufficient particularization in the certificate to identify the document does not result in the loss of s. 39 immunity. The minister or the clerk should have the opportunity to provide a proper certificate so that parties can determine whether or not it is appropriate to challenge the s. 39 certification.[30]

There is a concern that the Crown will only disclose those documents which are favourable to its position and certify those documents which are detrimental. This litigation tactic would not be a proper exercise of the clerk or minister's s. 39 powers.[31] In addition, government witnesses may be cross-examined on the information and description produced, and a refusal to disclose information may permit a court to draw an adverse inference. For example in *RJR-MacDonald Inc. v. Canada (Attorney General)*,[32] the Attorney General's refusal to disclose the

---

28

Babcock v. Canada (Attorney General), [2002] 3 S.C.R. 3, 214 D.L.R. (4th) 193, [2002] 8 W.W.R. 585, 3 B.C.L.R. (4th) 1, 3 C.R. (6th) 1, 289 N.R. 341, 275 W.A.C. 50, 114 A.C.W.S. (3d) 1057, [2002] S.C.J. No. 58, 2002 SCC 57.

29

Canada (Information Commissioner) v. Canada (Minister of the Environment) (2003), 224 D.L.R. (4th) 498, 2 Admin. L.R. (4th) 271, 24 C.P.R. (4th) 180, 300 N.R. 310, 120 A.C.W.S. (3d) 708, [2003] F.C.J. No. 197, 2003 FCA 68 (F.C.A.).

30

Ainsworth Lumber Co. v. Canada (Attorney General) (2001), 102 A.C.W.S. (3d) 879, [2001] B.C.J. No. 220, 2001 BCSC 225 (B.C.S.C.).

31

Babcock v. Canada (Attorney General), [2002] 3 S.C.R. 3, 214 D.L.R. (4th) 193, [2002] 8 W.W.R. 585, 3 B.C.L.R. (4th) 1, 3 C.R. (6th) 1, 289 N.R. 341, 275 W.A.C. 50, 114 A.C.W.S. (3d) 1057, [2002] S.C.J. No. 58, 2002 SCC 57, at para. 36.

32

RJR-MacDonald Inc. v. Canada (Attorney General), [1995] 3 S.C.R. 199, 127 D.L.R. (4th) 1,

results of some studies was held to undercut the government's claim that a less invasive ban would not have produced an equally positive result.

The protection of s. 39(1) continues indefinitely, unless:

(a) The certificate is successfully challenged on the ground that it related to information that does not fall under s. 39;

(b) The power of the certification of the clerk or minister has otherwise been improperly exercised;

(c) The applicable time limits for confidentiality of confidences of the King's Privy Council for Canada or Cabinet has passed; or

(d) The clerk or minister chooses to decertify the information.[33]

III. Remedies

A. Introduction

13:22. Generally

This portion of the chapter considers the various remedies available against the Crown in civil actions. It is important to note that most remedies available between individuals and corporations in various Canadian jurisdictions are also available against the Crown. This chapter concentrates on circumstances where the Crown is in a different position than other civil litigants in the various Canadian jurisdictions.

B. Mandamus, Prohibition and *Certiorari*

13:23. Introduction

Mandamus, Prohibition and *Certiorari* are prerogative writs that developed in the English common law as remedies for unlawful administrative action. Mandamus is used to compel a public official or authority to fulfill its legal obligations towards or restore the rights of a complainant. Prohibition is used to stop an undertaking or proceeding, or stop a decision or order from being made. Certiorari is the review of a decision made by any administrative body that has an obligation of procedural fairness.[1] Hence, mandamus is available when no decision has been

---

100 C.C.C. (3d) 449, 62 C.P.R. (3d) 417, 31 C.R.R. (2d) 189, 187 N.R. 1, 57 A.C.W.S. (3d) 578, 28 W.C.B. (2d) 216 (S.C.C.).

33 Babcock v. Canada (Attorney General), [2002] 3 S.C.R. 3, 214 D.L.R. (4th) 193, [2002] 8 W.W.R. 585, 3 B.C.L.R. (4th) 1, 3 C.R. (6th) 1, 289 N.R. 341, 275 W.A.C. 50, 114 A.C.W.S. (3d) 1057, [2002] S.C.J. No. 58, 2002 SCC 57.

1 Martineau v. Matsqui Institution (Disciplinary Board), [1980] 1 S.C.R. 602, 106 D.L.R. (3d) 385, 50 C.C.C. (2d) 353, 13 C.R. (3d) 1 (eng), 15 C.R. (3d) 315 (fr), 30 N.R. 119, 4 W.C.B. 178 (S.C.C.); Mission Institution v. Khela, [2014] 1 S.C.R. 502, 2014 SCC 24, 2014 SCC 24, 368 D.L.R. (4th) 630, (*sub nom.* Khela v. Mission Institution (Warden)) 599 W.A.C. 91, 2014 B.C.A.C. 91, 64 Admin. L.R. (5th) 171, 307 C.C.C. (3d) 427, 9 C.R. (7th) 1, 455 N.R. 279, 2014 CarswellBC 778, 2014 CarswellBC 779=, [2014] S.C.J. No. 24, 239 A.C.W.S. (3d) 983, 112 W.C.B. (2d) 458 (S.C.C.).

made, prohibition is available only if a decision is about to be made, and certiorari is available to review a decision that has been made.

These prerogative writs were replaced in many Canadian jurisdictions with the general administrative law revenue of judicial review. For example, the Ontario *Judicial Review Procedure Act*[2] states:

> Applications for judicial review
> **2. (1)**On an application by way of originating notice, which may be styled "Notice of Application for Judicial Review", the court may, despite any right of appeal, by order grant any relief that the applicant would be entitled to in any one or more of the following:
> 1. Proceedings by way of application for an order in the nature of mandamus, prohibition or certiorari.
> 2. Proceedings by way of an action for a declaration or for an injunction, or both, in relation to the exercise, refusal to exercise or proposed or purported exercise of a statutory power.[3]

Where such legislation exists, the remedies provided by these prerogative writs can be obtained through applications for judicial review.

13:24. Mandamus

At common law, the courts would not order mandamus against the Crown.[1] This Crown immunity arose from the belief that the courts did not have the jurisdiction to order the Crown to perform a public duty. In order to circumvent the rule that mandamus did not lie against the Crown, mandamus was available in circumstances where a particular Crown servants or agents had a statutorily imposed public duty. That duty could be enforced pursuant to the prerogative writ of mandamus being brought against the appropriate Crown servant or agent. The duty to be enforced pursuant to the writ of mandamus must be one that is to be performed as a matter right, not as a matter of discretion.[2]

The remedy of mandamus is commonly used to enforce the performance of public duties

---

2 R.S.O. 1990, c. J.1, s. 2. See also, British Columbia, *Judicial Review Procedure Act*, R.S.B.C. 1996, c. 241, s. 2.

3 *Judicial Review Procedure Act* (Ontario), R.S.O. 1990, c. J.1, s. 2(1).

1 Black v. NsC Diesel Power Inc. (Trustee of), 2003 FCA 300, ~~308 N.R. 158, 123 A.C.W.S. (3d) 1024, 243 F.T.R. 159*n*, (F.C.A.)~~.

2 Nguyen v. Canada (Minister of Employment and Immigration), [1993] 1 F.C. 696, 100 D.L.R. (4th) 151, ~~16 Admin. L.R. (2d) 1, 14 C.R.R. (2d) 146, 18 Imm. L.R. (2d) 165, 151 N.R. 69, 38 A.C.W.S. (3d) 474~~ (F.C.A.), leave to appeal to S.C.C. refused, 104 D.L.R. (4th) vii, ~~16 C.R.R. (2d) 382*n*, 20 Imm. L.R. (2d) 245*n*, 163 N.R. 80*n*~~; Cheung v. Victoria (City) (1994), 96 B.C.L.R. (2d) 15, ~~22 M.P.L.R. (2d) 207, 49 A.C.W.S. (3d) 613~~ (B.C.S.C.), affirmed 121 D.L.R. (4th) 86, 100 B.C.L.R. (2d) 235, ~~25 M.P.L.R. (2d) 184, 88 W.A.C. 302, 52 A.C.W.S. (3d) 435~~ (B.C.C.A.).

by public authorities of all kinds.[3] These prerogative remedies are discretionary and will be denied in circumstances where there has been unreasonable delay or the applicant does not possess sufficient interest in the subject matter of the dispute.[4]

The Federal Court of Appeal in the decision of *Apotex Inc. v. Canada (Attorney General)*[5] set out the principal requirements that must be satisfied before mandamus will be issued:

1. There must be a public legal duty to act.
2. There must be a duty owed toward the applicant.
3. There is a clear right to the performance of that duty, in particular:
(a) the applicant has satisfied all conditions precedent giving rise to the duty;
(b) there was
(i) a prior demand for performance of the duty;
(ii) a reasonable time to comply to the demand unless refused out right; and
(iii) a subsequent refusal which can be expressed or implied, *e.g.* unreasonable delay;
4. Where the duties sought to be enforced are discretionary, the following rules apply:
(a) in exercising a discretion the decision-maker must not act in a manner which can be characterized as "unfair", "oppressive" or demonstrate "flagrant impropriety" or "bad faith";
(b) mandamus is unavailable if the decision-maker's discretion is characterized as being "unqualified", "absolute", "permissive" or "unfettered";
(c) in the exercise of a "fettered" discretion, the decision-maker must act upon "relevant", as opposed to "irrelevant", consideration;
(d) mandamus is unavailable to compel the exercise of a "fettered discretion" in a particular way; and
(e) mandamus is only available when the decision-maker's discretion is "spent"; *i.e.*, the applicant has a vested right to the performance of the duty.
5. No other adequate remedy is available to the applicant.
6. The order sought will be of some practical value or affect.
7. The court, in the exercise of its discretion, finds no equitable bar to the relief sought.
8. On a "balance of convenience", an order in the nature of mandamus should (or should not) issue.

3

Krause v. Canada, [1999] 2 F.C. 476, ~~160 F.T.R. 214, 19 C.C.P.B. 183, 236 N.R. 317, 86 A.C.W.S. (3d) 4~~ (F.C.A.).

4

Krause v. Canada, [1999] 2 F.C. 476, ~~160 F.T.R. 214, 19 C.C.P.B. 183, 236 N.R. 317, 86 A.C.W.S. (3d) 4~~ (F.C.A.).

5

Apotex Inc. v. Canada (Attorney General), [1994] 1 F.C. 742, 18 Admin. L.R. (2d) 122~~, 51 C.P.R. (3d) 339, 69 F.T.R. 152*n*, 162 N.R. 177, 44 A.C.W.S. (3d) 349~~ (F.C.A.), affirmed [1994] 3 S.C.R. 1100~~, 29 Admin. L.R. (2d) 1, 59 C.P.R. (3d) 82, 176 N.R. 1, 52 A.C.W.S. (3d) 178 (S.C.C.)~~.

Hence, mandamus is the appropriate remedy where a Minister of the Crown is found to illegally refuse to fulfill his duty[6] or has failed to act in accordance with a prior exercise of discretion,[7] or has failed to carry out mandatory obligations imposed upon him by statute,[8] but is not available to compel a government official to act in circumstances where that government official has reasonably refused to act.[9]

13:25. Prohibition and *Certiorari*

The prerogative writs of prohibition and *certiorari* are distinguishable essentially by the time that the remedy is sought. Prohibition must be invoked prior to the decision being made where there is an allegation of the decision-maker exceeding its jurisdiction and *certiorari* will not be available until after such a decision has been made. Quebec has combined *certiorari* and prohibition into the single remedy of evocation.[1]

As with mandamus, at common law, the Crown was immune from prohibition and *certiorari.* However as the decision-maker will inevitably be a servant or agent of the Crown and claims could be brought directly against them, prohibition and *certiorari* were effective remedies to ensure that they fulfilled a duty to act fairly.

The court does not have the jurisdiction to prohibit the Minister or servant of the Crown from performing a task that it is statutorily obligated to perform where there is no evidence that the decision-maker is acting outside its jurisdiction.[2] Historically prohibition was only available

---

6

Whitton c. Canada (Procureur général), ~~2002 CAF 46,~~ 2002 FCA 46, ~~[2002] 4 F.C. 126, 19 C.C.E.L. (3d) 1, 222 F.T.R. 320 (note), 2002 C.E.B. & P.G.R. 8439 (headnote only),~~ ~~(*sub nom.* Whitton v. Canada (Procureur général)) 291 N.R. 318,~~ 2002 CarswellNat 1713, 2002 CarswellNat 304~~, 115 A.C.W.S. (3d) 730~~ (F~~ed~~. C.A.).

7

Centre hospitalier Mont-Sinaï c. Québec (Ministre de la Santé & des Services sociaux), (*sub nom.* Mount Sinai Hospital Center v. Quebec (Minister of Health & Social Services)), ~~[2001] 2 S.C.R. 281, 2001 CSC 41,~~ 2001 SCC 41~~, 200 D.L.R. (4th) 193, 36 Admin. L.R. (3d) 71, 271 N.R. 104, 2001 CarswellQue 1272, 2001 CarswellQue 1273, [2001] S.C.J. No. 43, 106 A.C.W.S. (3d) 182 (S.C.C.).~~

8

Great Lakes United v. Canada (Minister of Environment), 2009 FC 408, ~~[2010] 2 F.C.R. 515, 2009 CF 408, 97 Admin. L.R. (4th) 211, 42 C.E.L.R. (3d) 159, 346 F.T.R. 106 (Eng.), 2009 CarswellNat 4209, 2009 CarswellNat 927, [2009] F.C.J. No. 484 (F.C.)~~.

9

Khalil v. Canada (Secretary of State), [1999] 4 F.C. 661, 176 D.L.R. (4th) 191~~, 16 Admin. L.R. (3d) 193, 1 Imm. L.R. (3d) 155, 243 N.R. 369, 90 A.C.W.S. (3d) 13, 167 F.T.R. 158*n* (~~F.C.A.).

1

Code of Civil Procedure, C.Q.L.R., c. C-25.01, art. 34 and art. 529.

2

Canadian Pacific Railway Co. v. Canada (Transportation Agency), 2004 FCA 347~~, 328 N.R.~~

to stop the decision-maker from a wrongful assumption of jurisdiction.[3] The wrongful assumption of jurisdiction also includes those proceedings which are contrary to the rules of procedural fairness or natural justice.[4] However, the authoritativeness of *Bell* has been severely eroded, if not totally destroyed by the revolution in the law of judicial review of administrative action that started with the decision of the Supreme Court of Canada in *Canadian Union of Public Employees, Local 963 v. New Brunswick Liquor Corporation.*[5] In that case, Dickson J. (as he then was), writing for a unanimous Supreme Court declared,

> "[t]he question of what is and is not jurisdictional is often very difficult to determine. The courts, in my view, should not be alert to brand as jurisdictional, and therefore subject to broader curial review, that which may be doubtfully so."[6]

The Supreme Court recognizes that the notion of "preliminary questions", which permeates the reasoning in *Bell*, has long since been abandoned and should no longer be followed.[7]

120, 134 A.C.W.S. (3d) 516, (F.C.A.) ("*Canadian Pacific Railway*").

3

Bell v. Ontario (Human Rights Commission), [1971] S.C.R. 756, 18 D.L.R. (3d) 1, 1971 CarswellOnt 156, 1971 CarswellOnt 156F, [1971] S.C.J. No. 66 (S.C.C.) ("*Bell*").

4

Alliance des Professeurs Catholiques des Montreal v. Quebec Labour Relations Board, [1953] 2 S.C.R. 140, [1953] 4 D.L.R. 161, 107 C.C.C. 183 (S.C.C.).

5

CUPE, Local 963 v. New Brunswick Liquor Corp., [1979] 2 S.C.R. 227, 97 D.L.R. (3d) 417, 25 N.B.R. (2d) 237, 79 C.L.L.C. &p;14, 209, 26 N.R. 341, [1979] 2 A.C.W.S. 108 (S.C.C.).

6

CUPE, Local 963 v. New Brunswick Liquor Corp., [1979] 2 S.C.R. 227, 97 D.L.R. (3d) 417, 25 N.B.R. (2d) 237, 79 C.L.L.C. &p;14, 209, 26 N.R. 341, [1979] 2 A.C.W.S. 108 (S.C.C.), at para. 15.

7

Syndicat national des employés de la commission scolaire régionale de l'Outaouais v. U.E.S., local 298, (*sub nom.* Union des employés de service, local 298 v. Bibeault) [1988] 2 S.C.R. 1048, 24 Q.A.C. 244, 35 Admin. L.R. 153, 89 C.L.L.C. 14, 045, 95 N.R. 161, 1988 CarswellQue 125, 1988 CarswellQue 148, [1988] S.C.J. No. 101, 13 A.C.W.S. (3d) 23 (S.C.C.) at pp. 1083-1090 [S.C.R.] (*"Bibeault"*); Dunsmuir v. New Brunswick, [2008] 1 S.C.R. 190, 2008 CSC 9, 2008 SCC 9, 291 D.L.R. (4th) 577, 844 A.P.R. 1, 329 N.B.R. (2d) 1, 69 Admin. L.R. (4th) 1, 64 C.C.E.L. (3d) 1, 2008 C.L.L.C. 220-020, 69 Imm. L.R. (3d) 1, 170 L.A.C. (4th) 1, 95 L.C.R. 65, D.T.E. 2008T-223, 372 N.R. 1, 2008 CarswellNB 124, 2008 CarswellNB 125, [2008] A.C.S. No. 9, [2008] S.C.J. No. 9, 164 A.C.W.S. (3d) 727 (S.C.C.), at paras. 35-36 ("*Dunsmuir*"), C.B. Powell Ltd. c. Canada (Agence des services frontaliers), 2010 CAF 61, 2010 FCA 61, [2011] 2 F.C.R. 332, (*sub nom.* Powell (C.B.) Ltd. v. Canada Border Services Agency (President)) 400 N.R. 367, 2010 CarswellNat 1197, 2010 CarswellNat 391, [2010] F.C.J. No. 274, 185 A.C.W.S. (3d) 914 (F.C.A.), at paras. 39-40 (*"C.B. Powell Limited v. Canada (Border Services Agency")*); Halifax (Regional Municipality) v. Nova Scotia (Human Rights Commission), [2012] 1 S.C.R.

With respect to ongoing decision-making processes, Evans J., in *Air Canada v. Lorenz*, states that

> "[a]s a general rule it is much more difficult nowadays for a litigant to persuade a court to intervene before the applicant has exhausted the available administrative remedies than it was when *Bell v. Ontario (Human Rights Commission)*, [1971] SCR 756 was decided."[8]

The Federal Court of Appeal in *C.B. Powell Limited v. Canada (Border Services Agency)*, notes that "[t]he use of the label 'jurisdiction' to justify judicial interference with ongoing administrative decision making processes is no longer applicable".[9]

Prohibition is not available to prevent a tribunal from acting within its jurisdiction.[10] However, if the decision-maker does exceed its jurisdiction, it is subject to an order of prohibition.[11]

The critical issue on a motion for *certiorari* is the determination of the appropriate standard of review of the administrative decision-maker. The recent Supreme Court of Canada decisions in *Canada (Minister of Citizenship and Immigration) v. Vavilov*,[12] and the dual appeal in *Bell Canada v. Canada (Attorney General)*[13] recalibrated the framework for determining the

---

364, 2012 SCC 10, 343 D.L.R. (4th) 385, 316 N.S.R. (2d) 1, 31 Admin. L.R. (5th) 179, 74 C.H.R.R. D/7, 94 M.P.L.R. (4th) 1, 428 N.R. 107, 2012 CarswellNS 124, 2012 CarswellNS 125, [2012] A.C.S. No. 10, [2012] S.C.J. No. 10, 39 A.C.W.S. (3d) 1223, 212 A.C.W.S. (3d) 606 (S.C.C.), at paras. 33-38.

8

Air Canada v. Lorenz (1999), [2000] 1 F.C. 494, 175 F.T.R. 211, 1999 CarswellNat 3008, 1999 CarswellNat 1768, [1999] F.C.J. No. 1383, 91 A.C.W.S. (3d) 411, 14 D.E.L.D. 13 (Fed. T.D.), at para. 13.

9

C.B. Powell Ltd. c. Canada (Agence des services frontaliers), 2010 CAF 61, 2010 FCA 61, [2011] 2 F.C.R. 332, (*sub nom.* Powell (C.B.) Ltd. v. Canada Border Services Agency (President)) 400 N.R. 367, 2010 CarswellNat 1197, 2010 CarswellNat 391, [2010] F.C.J. No. 274, 185 A.C.W.S. (3d) 914 (F.C.A.), at para. 42.

10

Novopharm Ltd. v. Eli Lilly and Co., [1999] 1 F.C. 515, 168 F.T.R. 1, 84 C.P.R. (3d) 292, 83 A.C.W.S. (3d) 1025 (T.D.).

11

Canadian Pacific Railway Co. v. Canada (Transportation Agency), 2004 FCA 347, 328 N.R. 120, 134 A.C.W.S. (3d) 516, (F.C.A.).

12

Canada (Minister of Citizenship and Immigration) v. Vavilov, 2019 CSC 65, 2019 SCC 65, 441 D.L.R. (4th) 1, 59 Admin. L.R. (6th) 1, 69 Imm. L.R. (4th) 1, 2019 CarswellNat 7883, 2019 CarswellNat 7884, [2019] S.C.J. No. 65, 312 A.C.W.S. (3d) 460 (S.C.C.).

13

Bell Canada v. Canada (Attorney General), 2019 CSC 66, 2019 SCC 66, 441 D.L.R. (4th) 155, 60 Admin. L.R. (6th) 1, 171 C.P.R. (4th) 215, 2019 CarswellNat 7881, 2019 CarswellNat 7882,

applicable standard of review. Under the previous approach laid out in *Dunsmuir*, the court was to choose from two standards of review: correctness, where the reviewing court does not show deference to the decision-maker's reasoning process, and reasonableness, where deference is shown to the decision-maker and the decision must fall within a range of acceptable outcomes. Under the *Dunsmuir* framework, there was a presumption that the standard of reasonableness applied to certain categories of questions. Where the standard of review was unclear, *Dunsmuir* directed courts to apply a number of contextual factors developed in earlier jurisprudence.

The *Vavilov* trilogy framework eliminates the contextual analysis and simplifies the test for determining the standard of review. The framework starts with a presumption that reasonableness is the applicable standard whenever a court reviews an administrative decision. This presumption of reasonableness can be rebutted in favour of a standard of correctness in two instances:

1. Where the legislature has indicated that it intends a different standard to apply. This includes situations where the legislature explicitly prescribes the applicable standard of review; or where the legislature has provided a statutory appeal mechanism from an administrative decision to a court, thereby signaling the application of appellate standards when a court reviews the decision.
2. Where the rule of law requires that the standard of correctness be applied. This will be the case for certain categories of legal questions, including constitutional questions, general questions of law of central importance to the legal system as a whole, and questions related to the jurisdictional boundaries between two or more administrative bodies.

The Supreme Court of Canada provided guidance to courts reviewing the decisions of administrative actors applying *Charter* values to the exercise of statutory discretion. In *Doré c. Québec (Tribunal des professions)*,[14] the Court confirmed that statutory decision-makers must act consistently with the values underlying the grant of discretion including *Charter* values. However, subsequent courts have cautioned that *Charter* values are only relevant to the interpretation of legislation that is genuinely ambiguous - namely, where a statutory provision is "subject to differing, but equally plausible, interpretations.[15] On judicial review of such a

---

312 A.C.W.S. (3d) 228 (S.C.C.).

14

Doré c. Québec (Tribunal des professions), [2012] 1 S.C.R. 395, 2012 SCC 12, (*sub nom.* Doré v. Barreau du Québec) 343 D.L.R. (4th) 193, 34 Admin. L.R. (5th) 1, 255 C.R.R. (2d) 289, 428 N.R. 146, 2012 CarswellQue 2048, 2012 CarswellQue 2049, [2012] A.C.S. No. 12, [2012] S.C.J. No. 12, 211 A.C.W.S. (3d) 852 (S.C.C.); see also Loyola High School v. Quebec (Attorney General), [2015] 1 S.C.R. 613, 2015 CSC 12, 2015 SCC 12, 382 D.L.R. (4th) 195, 79 Admin. L.R. (5th) 177, 331 C.R.R. (2d) 24, 468 N.R. 323, 2015 CarswellQue 1533, 2015 CarswellQue 1534, [2015] S.C.J. No. 12, 250 A.C.W.S. (3d) 248 (S.C.C.); Mouvement laïque québécois v. Saguenay (City), [2015] 2 S.C.R. 3, 2015 CSC 16, 2015 SCC 16, 382 D.L.R. (4th) 385, 83 Admin. L.R. (5th) 183, 22 C.C.E.L. (4th) 1, 83 C.H.R.R. D/291, 332 C.R.R. (2d) 183, 34 M.P.L.R. (5th) 1, 470 N.R. 1, 2015 CarswellQue 2626, 2015 CarswellQue 2627, [2015] S.C.J. No. 16, 251 A.C.W.S. (3d) 184 (S.C.C.).

15

Ontario Nurses' Association v. Participating Nursing Homes, 2021 ONCA 148, 2021

decision, the court should conduct the review with an administrative law approach, not a s. 1 *Oakes* analysis, which is designed to review the constitutionality of legislation. The question is whether, in assessing the impact of the relevant *Charter* protection and given the nature of the decision and the statutory and factual contexts, the decision reflects a proportionate balancing of the *Charter* rights and values at issue. The standard of review of such a decision is reasonableness, which is conceptually consistent with the proportionality of the *Oakes* analysis.[16]

If the court determines on the *certiorari* motion that the administrative decision-maker made a reviewable error, the court may quash or vary the decision or order.[17]

C. Injunctions, Specific Performance and Declarations

13:26. Generally

At common law, no injunction or any order for specific performance could issue against the Crown.[1] This rule arose from the common law immunity of the Crown whereby the courts refused to allow any court order to be made against the Crown. The reason for this immunity was the belief that it was not appropriate for the courts to issue an order against the monarch, and the impossibility of punishing the monarch for contempt of court.[2]

This common law rule has been incorporated into Crown proceeding statutes in every Canadian jurisdiction which expressly prohibit relief by way of injunction or specific

---

CarswellOnt 2949, 154 O.R. (3d) 225, 328 A.C.W.S. (3d) 829, 457 D.L.R. (4th) 450, 69 C.C.E.L. (4th) 37, 80 Admin. L.R. (6th) 167 (Ont. C.A.), at paras. 141-144.

16

Doré c. Québec (Tribunal des professions), [2012] 1 S.C.R. 395, 2012 SCC 12, (*sub nom.* Doré v. Barreau du Québec) 343 D.L.R. (4th) 193, 34 Admin. L.R. (5th) 1, 255 C.R.R. (2d) 289, 428 N.R. 146, 2012 CarswellQue 2048, 2012 CarswellQue 2049, [2012] A.C.S. No. 12, [2012] S.C.J. No. 12, 211 A.C.W.S. (3d) 852 (S.C.C.), at paras. 43-58.

17

Dagenais v. Canadian Broadcasting Corp., [1994] 3 S.C.R. 835, 120 D.L.R. (4th) 12, 76 O.A.C. 81, 94 C.C.C. (3d) 289, 34 C.R. (4th) 269, 25 C.R.R. (2d) 1, 175 N.R. 1, 51 A.C.W.S. (3d) 1045, 25 W.C.B. (2d) 304 (S.C.C.).

1

I.C.S. Spry, The Principles of Equitable Remedies, 6th ed. (Pymont, Australia: LBC Information Services, 2001), at p. 346; Grand Council of the Crees of Quebec v. Canada, [1982] 1 F.C. 599, 124 D.L.R. (3d) 574, 41 N.R. 257 (C.A.); Smith v. Nova Scotia (Attorney General), 2004 NSCA 106, 244 D.L.R. (4th) 649, 714 A.P.R. 344, 226 N.S.R. (2d) 344, 35 C.C.E.L. (3d) 151, 26 C.C.L.T. (3d) 71, 19 C.P.C. (6th) 40, 2004 CarswellNS 358, [2004] N.S.J. No. 343, 133 A.C.W.S. (3d) 867, 18 D.E.L.D. 299 (N.S. C.A.) at para. 81, leave to appeal refused (2005), 763 A.P.R. 399 (note), 240 N.S.R. (2d) 399 (note), 339 N.R. 198 (note), 2005 CarswellNS 123, 2005 CarswellNS 124, [2004] S.C.C.A. No. 498 (S.C.C.) ("*Smith*").

2

R. v. Powell (1841), 1 Q.B. 352.

performance against the Crown. These statutes provide that, rather than issuing an injunction or specific performance, the court may "make an order declaratory of the rights of the parties".[3]

The statutory prohibition against issuing injunctions against the Crown cannot be circumvented by the issuing of an injunction against an officer of the Crown if the effect of that order would be the equivalent of granting such relief against the Crown. However, injunctions are available against Crown officers where they exceed their authorization or they act in a manner which would attract personal liability if committed by a private person.[4]

The declaration which operates in lieu of an injunction or specific performance allows the court to make an order declaratory of the rights of the parties.[5] This declaratory relief makes it unnecessary to issue a final injunction against the Crown as it will provide effectively the same remedy.[6] Hence, declarations can provide remedies in contractual circumstances similar to specific performance where the plaintiff can obtain a declaration that it is entitled to the fulfillment of a contract by a government together with the right to damages,[7] or to a permanent

---

3

Crown Liability and Proceedings Act, 2019, S.O. 2019, c. 7, Sch. 17, s. 22; *Proceedings Against the Crown Act*, R.S.A. 2000, c. P-25, s. 17; *The Proceedings Against the Crown Act, 2019*, S.S. 2019, c. P-27.01, s. 17; *The Proceedings Against the Crown Act*, C.C.S.M., c. P140, s. 14; *Crown Proceeding Act,* R.S.B.C. 1996, c. 89, s. 11; *Crown Liability and Proceedings Act,* R.S.C. 1985, c. C-50, s. 22; *Proceedings Against the Crown Act*, R.S.N.B. 1973, c. P-18, s. 14; *Proceedings Against the Crown Act*, R.S.N.S. 1989, c. 360, s. 16; *Crown Proceedings Act*, R.S.P.E.I. 1988, c. C-32, s. 13; *Proceedings Against the Crown Act*, R.S.N.L. 1990, c. P-26, s. 15; and *Code of Civil Procedure*, C.Q.L.R. c. C-25.01, art. 81, which provides that "[t]he courts cannot order a provisional measure or a sanction against, or exercise the power of judicial review over, the Government or a minister of the Government or any person, whether or not a public servant, acting under their authority or on their instructions in a matter relating to the exercise of a function or the authority conferred on them by law".

4

Smith v. Nova Scotia (Attorney General), 2004 NSCA 106~~, 244 D.L.R. (4th) 649, 714 A.P.R. 344, 226 N.S.R. (2d) 344, 35 C.C.E.L. (3d) 151, 26 C.C.L.T. (3d) 71, 19 C.P.C. (6th) 40, 2004 CarswellNS 358, [2004] N.S.J. No. 343, 133 A.C.W.S. (3d) 867, 18 D.E.L.D. 299 (N.S. C.A.)~~.

5

Gloucester Properties Ltd. v. British Columbia (1980), 110 D.L.R. (3d) 247, [1980] 6 W.W.R. 30~~, 20 B.C.L.R. 169~~ (B.C.S.C.).

6

Snuneymuxw First Nation v. British Columbia, 2004 BCSC 205~~, 26 B.C.L.R. (4th) 360, 116 C.R.R. (2d) 237, 48 C.P.C. (5th) 289, 2004 CarswellBC 301, [2004] B.C.J. No. 262, 128 A.C.W.S. (3d) 922 (B.C. S.C.)~~ ("*Snuneymuxw*").

7

Founders Square Ltd. v. Nova Scotia (Attorney General)~~ (2001)~~, ~~192 N.S.R. (2d) 127, 13 B.L.R. (3d) 44, 103 A.C.W.S. (3d) 1133, [2001] N.S.J. No. 106,~~ 2001 NSCA 49 (C.A.), leave to appeal to S.C.C. refused 198 N.S.R. (2d) 402*n*, 275 N.R. 395*n*.

injunction when a court issues a declaration that a government tax or fee is *ultra vires* and therefore unenforceable.[8]

In *Canada (Attorney General) v. PHS Community Services Society)*, the Supreme Court of Canada held that a declaration would be an inadequate remedy in the situation where the Minister had refused to grant an exemption from drug offences so as to allow a safe-injection site to continue operating. The Court recognized that a declaration would allow the Minister to make a new decision, which might result in delay and new litigation. It stressed that, on the particular facts of this case, a mandatory order was the only constitutional option.[9]

When considering legislation, the court should show some deference to the government decision-maker.[10] However, the court should not merely defer to the government's position. "Deference cannot lead the judicial branch to abdicate its role in favour of the legislative branch or executive branch."[11] The courts must rise above political debate and allow legislatures to

---

8

Christie v. British Columbia (Attorney General), 2005 BCCA 631~~, 262 D.L.R. (4th) 51, [2006] 2 W.W.R. 610, 362 W.A.C. 165, 48 B.C.L.R. (4th) 267, 220 B.C.A.C. 165, 136 C.R.R. (2d) 323, 2005 CarswellBC 3040, [2005] B.C.J. No. 2745, 146 A.C.W.S. (3d) 189 (B.C. C.A.)~~, additional reasons 2006 BCCA 59, ~~263 D.L.R. (4th) 582, [2006] 3 W.W.R. 437, 368 W.A.C. 150, 48 B.C.L.R. (4th) 322, 222 B.C.A.C. 150, 2006 CarswellBC 286, [2006] B.C.J. No. 252, 146 A.C.W.S. (3d) 634 (B.C. C.A.)~~, reversed (*sub nom.* British Columbia (Attorney General) v. Christie) ~~[2007] 1 S.C.R. 873,~~ 2007 SCC 21~~, 280 D.L.R. (4th) 528, [2007] 8 W.W.R. 64, 398 W.A.C. 1, 66 B.C.L.R. (4th) 1, 240 B.C.A.C. 1, 155 C.R.R. (2d) 366, 2007 D.T.C. 5525 (Eng.), 2007 D.T.C. 5229 (Fr.), 2007 G.T.C. 1493 (Fr.), 2007 G.T.C. 1488 (Eng.), 361 N.R. 322, 2007 CarswellBC 1117, 2007 CarswellBC 1118, [2007] S.C.J. No. 21, 156 A.C.W.S. (3d) 1061 (S.C.C.)~~.

9

PHS Community Services Society v. Canada (Attorney General), (*sub nom.* Canada (Attorney General) v. PHS Community Services Society) ~~[2011] 3 S.C.R. 134~~, 2011 SCC 44~~, 336 D.L.R. (4th) 385, [2011] 12 W.W.R. 43, 526 W.A.C. 1, 22 B.C.L.R. (5th) 213, 310 B.C.A.C. 1, 272 C.C.C. (3d) 428, 86 C.R. (6th) 223, (*sub nom.* Canada (Attorney General) v. PHS Community Services Society) 244 C.R.R. (2d) 209, 421 N.R. 1, 2011 CarswellBC 2443, 2011 CarswellBC 2444, [2011] A.C.S. No. 44, [2011] S.C.J. No. 44, 205 A.C.W.S. (3d) 673, 96 W.C.B. (2d) 322 (S.C.C.), at para. 150~~.

10

Chaoulli c. Québec (Procureur général), (*sub nom.* Chaoulli v. Canada (Attorney General)) ~~[2005] 1 S.C.R. 791, 2005 CSC 35,~~ 2005 SCC 35~~, 254 D.L.R. (4th) 577, 53 C.H.R.R. D/1, 130 C.R.R. (2d) 99, (*sub nom.* Chaoulli v. Quebec (Attorney General)) 335 N.R. 25, 2005 CarswellQue 3276, 2005 CarswellQue 3277, [2000] J.Q. No. 479, [2005] S.C.J. No. 33, 139 A.C.W.S. (3d) 1080 (S.C.C.),~~ at para. 93.

11

Chaoulli c. Québec (Procureur général), (*sub nom.* Chaoulli v. Canada (Attorney General))~~ [2005] 1 S.C.R. 791, 2005 CSC 35~~, 2005 SCC 35~~, 254 D.L.R. (4th) 577, 53 C.H.R.R. D/1, 130~~

develop social policy. In circumstances where such social policy infringes upon rights that are protected by the *Charter*, the courts should not shy away from considering that legislation and, in appropriate circumstances, issue a declaration that the legislation either violates the *Charter* or is unconstitutional.[12]

A declaration can be an effective substitute for a final order of specific performance or a permanent injunction,[13] however, it cannot replace an interim or interlocutory injunction. Interim or interlocutory injunctions are used to maintain the status quo of the parties pending the final determination of their rights. A declaration of rights, is, by its very nature, a final order.[14] Thus, as a general rule, declaratory relief should not be granted on an interim application because, as a final order, it should not be made until there has been a full hearing and a determination on the merits.[15] However there is some variation on this general rule.

The British Columbia Supreme Court followed the reasoning in *Te'Mexw Treaty Assn.* in *Novopharm Ltd. v. British Columbia (Minister of Health)*, concluding that "until our Court of Appeal tells us otherwise, an interlocutory declaration is not available as an alternative to an interlocutory injunction in British Columbia."[16]

C.R.R. (2d) 99, (*sub nom.* Chaoulli v. Quebec (Attorney General)) 335 N.R. 25, 2005 CarswellQue 3276, 2005 CarswellQue 3277, [2000] J.Q. No. 479, [2005] S.C.J. No. 33, 139 A.C.W.S. (3d) 1080 (S.C.C.), at para. 87.

12

Chaoulli c. Québec (Procureur général), (*sub nom.* Chaoulli v. Canada (Attorney General)) [2005] 1 S.C.R. 791, 2005 CSC 35, 2005 SCC 35, 254 D.L.R. (4th) 577, 53 C.H.R.R. D/1, 130 C.R.R. (2d) 99, (*sub nom.* Chaoulli v. Quebec (Attorney General)) 335 N.R. 25, 2005 CarswellQue 3276, 2005 CarswellQue 3277, [2000] J.Q. No. 479, [2005] S.C.J. No. 33, 139 A.C.W.S. (3d) 1080 (S.C.C.), at para. 89.

13

For example, see Dominion Building Corp. v. The King, [1933] 3 D.L.R. 577, [1933] A.C. 553, [1933] 2 W.W.R. 417, 41 C.R.R. 117 (P.C.), where the Privy Councisel used declaratory relief to achieve a result comparable to specific performance in circumstances where the Crown was a party to a contract and specific performance would otherwise be appropriate.

14

Shaw v. British Columbia (1982), 140 D.L.R. (3d) 178, [1982] 6 W.W.R. 718, 40 B.C.L.R. 290, 31 C.P.C. 132 (B.C.S.C.); Te'Mexw Treaty Assn. v. W.L.C. Developments Ltd. (1998), 163 D.L.R. (4th) 180, [1999] 1 C.N.L.R. 249, 81 A.C.W.S. (3d) 700 (B.C.S.C.) ("*Te'Mexw Treaty Assn.*").

15

Millership v. Kamloops (City), 2001 BCSC 1692, [2001] B.C.T.C. 1692, 2001 CarswellBC 2789, [2001] B.C.J. No. 2613, 110 A.C.W.S. (3d) 189 (B.C. S.C. [In Chambers]).

16

Novopharm Ltd. v. British Columbia (Minister of Health), 2008 BCSC 82, 53 C.P.C. (6th) 42, 165 A.C.W.S. (3d) 522 (B.C.S.C.), at para. 32.

In Ontario, case law supports a general prohibition on granting interim declarations with limited exceptions. In *Loomis v. Ontario (Ministry of Agriculture and Food)*, the Divisional Court concluded that interim declarations should not be granted unless there is evidence of deliberate flouting of established law by governmental authority.[17] The Ontario Superior Court of Justice in *Couchiching First Nation v. Canada (Attorney General)* accepted that the court has the authority to grant a declaratory order to maintain the status quo pending the disposition of the case.[18] In that case, the order was made to restrain the Province of Ontario and the Government of Canada from interfering with a town's possession of a park. The Ontario Superior Court of Justice in *Grain Farmers of Ontario v. Ontario (Ministry of the Environment and Climate Change)*, has since refrained from exercising such authority where the rights sought to be protected were economic, rather than property rights. In *Grain Farmers*, the applicant sought a stay of a farming regulation that restricted the use of a particular pesticide in such a way that farmers would be put at a financial disadvantage. In addition to the economic hardship not being sufficient to meet the test for injunctive relief, the court also noted that the relief sought was not to maintain the status quo pending the outcome of an underlying proceeding, and therefore it disclosed no reasonable cause of action.[19] Maintaining the status quo as an exception to the

---

17

Loomis v. Ontario (Minister of Agriculture and Food) (1993), 108 D.L.R. (4th) 330, 16 O.R. (3d) 188, ~~22 C.P.C. (3d) 396, 44 A.C.W.S. (3d) 148~~ (Ont. Ct. (Gen. Div.) (Div.Ct.)), at para. 6. This exception is also accepted by the New Brunswick Court of Queen's Bench: see Lake Petitcodiac Preservation Assn. Inc. v. New Brunswick, 2010 NBQB 145, ~~360 N.B.R. (2d) 178, 930 A.P.R. 178, 51 C.E.L.R. (3d) 233, 2010 CarswellNB 192 (N.B. Q.B.),~~ at paras. 35-36.

18

Couchiching First Nation v. Canada (Attorney General) ~~(2010), 103 O.R. (3d) 745~~, 2010 ONSC 4373, ~~[2010] O.J. No. 4194 193 A.C.W.S. (3d) 264,~~ *sub nom.* Couchiching First Nation v. Fort Frances (Town) (Ont. S.C.J.), at para. 77. The court considered the reasoning in Anishinabe of the Sacred Circle Inc. v. Ontario (Minister of Health and Long-Term Care), ~~[2002] O.T.C. 835, [2002] O.J. No. 4212,~~ 2002 CarswellOnt 3704, 117 A.C.W.S. (3d) 807 (Ont. S.C.J.); and Canada (Attorney General) v. Law Society of British Columbia, [1982] 2 S.C.R. 307~~, 137 D.L.R. (3d) 1, [1982] 5 W.W.R. 289, 37 B.C.L.R. 145, 19 B.L.R. 234, 66 C.P.R. (2d) 1, [1982] S.C.J. No. 70, 43 N.R. 451 (S.C.C.)~~, in coming to this conclusion. In *Law Society of British Columbia*, the Supreme Court of Canada indicated, in *obiter*, that courts have the authority to maintain the *status quo* in the interim pending disposition of all claims arising even though the preservation order may be beyond the jurisdiction of the court. Justice Stach referred to this reasoning in obiter in *Anishnabe.* Despite the comments being made in *obiter* in both instances, the Ontario Superior Court of Justice accepted the outlined principles.

19

Grain Farmers of Ontario v. Ontario (Ministry of the Environment and Climate Change), 2015 ONSC 6581~~, 97 C.E.L.R. (3d) 161, 2015 CarswellOnt 16597, [2015] O.J. No. 5662, 260 A.C.W.S. (3d) 5 (Ont. S.C.J.)~~, affirmed 2016 ONCA 283~~, 98 C.E.L.R. (3d) 1, 2016 CarswellOnt 5890 (Ont. C.A.)~~.

general prohibition on interim declarations has also been used to find authority to grant relief in Manitoba and Saskatchewan.[20]

Courts in Prince Edward Island have taken a more expansive approach to granting interim declarations against the Crown.[21] In *Summerside Seafood Supreme Inc. v. Prince Edward Island (Minister of Fisheries, Aquaculture and Environment)*, the court made reference to exceptions to the general rule against interlocutory declarations identified in *Loomis*, and set out a further exception -- namely, where there is some evidence of the Government having acted in bad faith or having abused its power.[22] Even with the additional exception, the court found this to be "an unduly restrictive interpretation of legislation relating to actions against the Crown."[23]

20

Southeast Child and Family Services v. Canada (Attorney General), [1997] 9 W.W.R. 236, 120 Man. R. (2d) 114, ~~31 R.F.L. (4th) 40, [1997] M.J. No. 385, 72 A.C.W.S.~~ (3d) 1253 (Man. Q.B.) at para. 12, affirmed [1998] 9 W.W.R. 583~~, 167 W.A.C. 239, 126 Man. R. (2d) 239, 80 A.C.W.S. (3d) 160~~ (Man. C.A.); Ollinger v. Saskatchewan Crop Insurance Corp., [1992] 4 W.W.R. 517, 102 Sask. R. 119~~, 33 A.C.W.S. (3d) 719~~ (Sask. Q.B.) at para. 22, reversed [1993] 4 W.W.R. 665~~, 42 W.A.C. 301, 109 Sask. R. 301, [1993] S.J. No. 220, 40 A.C.W.S. (3d) 712~~ (Sask. C.A.). In *Ollinger*, although the interim declaration was set aside by the Court of Appeal, it was set aside not on the basis that it was made, "but on the footing it should not be maintained in the current circumstances" (p. 670). See also Saskatoon Square Ltd. v. Canada Mortgage and Housing Corp., [1995] 6 W.W.R. 725~~, 132 Sask. R. 1, 32 Admin. L.R. (2d) 63, 54 A.C.W.S. (3d) 989~~= (Sask. Q.B.), at para. 36.

21

Summerside Seafood Supreme Inc. v. Prince Edward Island (Minister of Fisheries, Aquaculture & Environment) (2004), 243 Nfld. & P.E.I.R. 121, 2004 PESCTD 68, 22 Admin. L.R. (4th) 270, 2004 CarswellPEI 91 (P.E.I. T.D.) at para. 35, additional reasons (2004), 756 A.P.R. 237, 252 Nfld. & P.E.I.R. 237, 2004 PESCTD 76, 2004 CarswellPEI 101 (P.E.I. T.D.), reversed in part on other grounds (2006), 271 D.L.R. (4th) 530, 2006 PESCAD 11, 256 Nfld. & P.E.I.R. 277, 773 A.P.R. 277, 48 Admin. L.R. (4th) 1, 41 C.P.C. (6th) 285, 2006 CarswellPEI 25, [2006] P.E.I.J. No. 32 (P.E.I. C.A.) ("*Summerside Seafood*").

22

Summerside Seafood Supreme Inc. v. Prince Edward Island (Minister of Fisheries, Aquaculture & Environment) (2004), 243 Nfld. & P.E.I.R. 121, 2004 PESCTD 68~~, 22 Admin. L.R. (4th) 270, 2004 CarswellPEI 91~~ (P.E.I. T.D.) at para. 35, additional reasons (2004), ~~756 A.P.R. 237,~~ 252 Nfld. & P.E.I.R. 237, 2004 PESCTD 76~~, 2004 CarswellPEI 101 (P.E.I. T.D.)~~, reversed in part on other grounds (2006), 271 D.L.R. (4th) 530, 2006 PESCAD 11~~, 256 Nfld. & P.E.I.R. 277, 773 A.P.R. 277, 48 Admin. L.R. (4th) 1, 41 C.P.C. (6th) 285, 2006 CarswellPEI 25, [2006] P.E.I.J. No. 32~~ (P.E.I. C.A.), at para. 32.

23

Summerside Seafood Supreme Inc. v. Prince Edward Island (Minister of Fisheries, Aquaculture & Environment) (2004), 243 Nfld. & P.E.I.R. 121, 2004 PESCTD 68~~, 22 Admin. L.R. (4th) 270, 2004 CarswellPEI 91 (P.E.I. T.D.)~~ at para. 35, additional reasons (2004), ~~756 A.P.R. 237,~~ 252 Nfld. & P.E.I.R. 237, 2004 PESCTD 76~~, 2004 CarswellPEI 101~~ (P.E.I. T.D.), reversed in part on

The court considered the distinction in the provincial *Crown Proceeding Act*[24] prohibiting injunctions but permitting declarations of rights, indicating that the distinction relates to the differences inherent in the two remedies and not to the degree of permanence of the order granted.[25] Concluding that it is possible to make an interim declaration of rights in lieu of issuing an interim injunction, the court indicated that it is appropriate to apply the same principles and analysis to consideration of granting an interim declaration of rights as one would apply in granting an injunction.[26]

In Alberta, the Court of Queens Bench has followed *Summerside Seafood* and held that where powers and duties set out in provincial legislation have not been exercised as required and the factors of irreparable harm and balance of convenience also support it, the Court can intervene with an injunction against the Crown if necessary. In *Prosper Petroleum Ltd v. Her Majesty the Queen in Right of Alberta*,[27] Prosper Petroleum proposed an oil sands project which the Alberta Energy Regulator approved subject to provincial cabinet approval. However, 19 months passed, and the provincial cabinet had yet to issue a decision on the project despite inquiries by Prosper Petroleum. The company brought an application for an interlocutory

---

other grounds (2006), 271 D.L.R. (4th) 530, 2006 PESCAD 11~~, 256 Nfld. & P.E.I.R. 277, 773 A.P.R. 277, 48 Admin. L.R. (4th) 1, 41 C.P.C. (6th) 285, 2006 CarswellPEI 25, [2006] P.E.I.J. No. 32 (P.E.I. C.A.),~~ at para. 33.

24

R.S.P.E.I. 1988, c. C-32.

25

Summerside Seafood Supreme Inc. v. Prince Edward Island (Minister of Fisheries, Aquaculture & Environment) (2004), 243 Nfld. & P.E.I.R. 121, 2004 PESCTD 68~~, 22 Admin. L.R. (4th) 270, 2004 CarswellPEI 91~~ (P.E.I. T.D.) at para. 33, additional reasons (2004), ~~756 A.P.R. 237,~~ 252 Nfld. & P.E.I.R. 237, 2004 PESCTD 76~~, 2004 CarswellPEI 101~~ (P.E.I. T.D.), reversed in part on other grounds (2006), 271 D.L.R. (4th) 530, 2006 PESCAD 11, ~~256 Nfld. & P.E.I.R. 277, 773 A.P.R. 277, 48 Admin. L.R. (4th) 1, 41 C.P.C. (6th) 285, 2006 CarswellPEI 25, [2006] P.E.I.J. No. 32~~ (P.E.I. C.A.).

26

Summerside Seafood Supreme Inc. v. Prince Edward Island (Minister of Fisheries, Aquaculture & Environment) (2004), 243 Nfld. & P.E.I.R. 121, 2004 PESCTD 68~~, 22 Admin. L.R. (4th) 270, 2004 CarswellPEI 91~~ (P.E.I. T.D.) at para. 33, additional reasons (2004), ~~756 A.P.R. 237,~~ 252 Nfld. & P.E.I.R. 237, 2004 PESCTD 76~~, 2004 CarswellPEI 101~~ (P.E.I. T.D.), reversed in part on other grounds (2006), 271 D.L.R. (4th) 530, 2006 PESCAD 11~~, 256 Nfld. & P.E.I.R. 277, 773 A.P.R. 277, 48 Admin. L.R. (4th) 1, 41 C.P.C. (6th) 285, 2006 CarswellPEI 25, [2006] P.E.I.J. No. 32~~ (P.E.I. C.A.).

27

Prosper Petroleum Ltd v. Her Majesty the Queen in Right of Alberta, 2020 ABQB 127~~, [2020] A.W.L.D. 1072, [2020] A.W.L.D. 1104, 316 A.C.W.S. (3d) 167, 49 C.P.C. (8th) 282, 67 Admin. L.R. (6th) 26 (Alta. Q.B.)~~.

injunction order of *mandamus* directing the cabinet to issue a decision regarding the project.

The court granted the application, finding that the province had a public legal duty to act as per s. 10 of *Oil Sands Conservation Act*, and it owed duty to Prosper Petroleum who had demanded performance of the duty and gave cabinet reasonable time to comply with demand. Furthermore, there was no other adequate remedy available to the company, as it had done as much, if not more, than any applicant could do to ask cabinet to make decision.

In *Terra Vista Ltd. v. Newfoundland*,[28] the Crown relied upon *Te'Mexw Treaty Assn. v. W.L.C. Developments Ltd.*,[29] among other cases, for the proposition that the court should not issue an interlocutory declaration because that would be to finally determine and declare the rights of the parties prior to trial. Justice Barry considered the case law, reviewing decisions from different jurisdictions across Canada, and ultimately decided that "a properly worded interim or interlocutory declaration need not amount to a final determination of the issues. One must consider the criteria for the granting of interim or interlocutory relief."[30] As discussed in the Newfoundland Court of Appeal case of *Hogan v. Newfoundland*,[31] the Chambers judge must ask whether it has been established that the case raises a serious question for trial, whether irreparable harm would be suffered by the applicants should their motion for the interlocutory relief be denied, and where the balance of convenience lies. The court notes that the Chambers judge should avoid to the greatest possible extent going into the merits of the case and weighing the likelihood of the success of one party or the other as a means of deciding the balance of convenience. The Chambers judge need only be satisfied that a claim is not frivolous or vexatious, and should not attempt to resolve conflicts of evidence as to facts nor decide questions of law which call for detailed argument and mature consideration, which are more appropriately dealt with at trial.[32]

28

Terra Vista Ltd. v. Newfoundland (2000), 191 Nfld. & P.E.I.R. 319, ~~7 B.L.R. (3d) 293, [2000] N.J. No. 214, 98 A.C.W.S. (3d) 706~~ (Nfld. S.C.) ~~("*Terra Vista*")~~.

29

Te'Mexw Treaty Assn. v. W.L.C. Developments Ltd. (1998), 163 D.L.R. (4th) 180~~, [1999] 1 C.N.L.R. 249, 81 A.C.W.S. (3d) 700~~ (B.C.S.C.).

30

Terra Vista Ltd. v. Newfoundland (2000), 191 Nfld. & P.E.I.R. 319~~, 7 B.L.R. (3d) 293, [2000] N.J. No. 214, 98 A.C.W.S. (3d) 706~~ (Nfld. S.C.)~~,~~ at para. 50.

31

Hogan v. Newfoundland (Attorney General) (1998), 163 D.L.R. (4th) 672~~, 172 Nfld. & P.E.I.R. 185, 54 C.R.R. (2d) 296, 23 C.P.C. (4th) 239, 81 A.C.W.S. (3d) 809~~ (Nfld. C.A.)~~,~~ at para. 8, as cited by Terra Vista Ltd. v. Newfoundland (2000), 191 Nfld. & P.E.I.R. 319~~, 7 B.L.R. (3d) 293, [2000] N.J. No. 214, 98 A.C.W.S. (3d) 706~~ (Nfld. S.C.)~~,~~ at para. 51.

32

Terra Vista Ltd. v. Newfoundland (2000), 191 Nfld. & P.E.I.R. 319~~, 7 B.L.R. (3d) 293, [2000] N.J. No. 214, 98 A.C.W.S. (3d) 706~~ (Nfld. S.C.)~~,~~ at paras. 52-54.

The bar against injunctions binding the Crown only arises where the Crown is acting within its sphere of legislative authority. The statutory protection in the *Crown Proceedings Act* has no effect where the Crown lacks the legislative jurisdiction over a subject matter. The legislature cannot inappropriately shield itself from remedies by enacting legislation purporting to prevent such remedy being granted against it.[33]

This inability for the Crown to shield itself when acting *ultra vires* applies whenever the Crown is acting beyond its constitutional limitations, including *Charter* violations and constitutional divisions of powers considerations. The *Crown Proceedings Act* cannot expand the common law immunity of the Crown in cases where the Crown is alleged to be acting beyond its legislative competence.[34]

The jurisdiction for issuing an injunction against the Crown is limited to constitutional cases and is used sparingly.[35] Only in clear cases will interlocutory injunctions be granted against the enforcement of legislation on the grounds of alleged unconstitutionality.[36]

When considering whether to grant an interim injunction, the court should consider the public interest, including the public interest to the legitimacy of the public institutions. The court must be cautious to enjoin impugned government action which may or may not ultimately be found to be unconstitutional.[37]

33

Amax Potash Ltd. v. Saskatchewan Government, [1977] 2 S.C.R. 576, ~~71 D.L.R. (3d) 1, [1976] 6 W.W.R. 61, 11 N.R. 222 (S.C.C.)~~.

34

Snuneymuxw First Nation v. British Columbia, 2004 BCSC 205~~, 26 B.C.L.R. (4th) 360, 116 C.R.R. (2d) 237, 48 C.P.C. (5th) 289, 2004 CarswellBC 301, [2004] B.C.J. No. 262, 128 A.C.W.S. (3d) 922 (B.C. S.C.)~~.

35

Snuneymuxw First Nation v. British Columbia, 2004 BCSC 205~~, 26 B.C.L.R. (4th) 360, 116 C.R.R. (2d) 237, 48 C.P.C. (5th) 289, 2004 CarswellBC 301, [2004] B.C.J. No. 262, 128 A.C.W.S. (3d) 922 (B.C. S.C.)~~.

36

Harper v. Canada (Attorney General) ~~(2000)~~, ~~[2000] 2 S.C.R. 764,~~ 2000 SCC 57, ~~193 D.L.R. (4th) 38, [2001] 9 W.W.R. 201, 234 W.A.C. 201, 92 Alta. L.R. (3d) 1, 271 A.R. 201, 2000 CarswellAlta 1158, 2000 CarswellAlta 1159, [2000] S.C.J. No. 58 (S.C.C.),~~ at para. 9 ~~("*Harper*")~~.

37

Snuneymuxw First Nation v. British Columbia, 2004 BCSC 205~~, 26 B.C.L.R. (4th) 360, 116 C.R.R. (2d) 237, 48 C.P.C. (5th) 289, 2004 CarswellBC 301, [2004] B.C.J. No. 262, 128 A.C.W.S. (3d) 922 (B.C. S.C.),~~ at para. 71; see also, Hupacasath First Nation v. British Columbia (Minister of Forests), 2005 BCSC 345~~, 12 C.E.L.R. (3d) 216, [2005] 2 C.N.L.R. 138, 29 R.P.R. (4th) 161, 2005 CarswellBC 537, [2005] B.C.J. No. 514, 137 A.C.W.S. (3d) 1029 (B.C.S.C.)~~.

When considering interlocutory relief on a constitutional challenge, certain specific principles are relevant to unique circumstance of such cases:

1. It is assumed that all legislation enacted by a democratically elected government is for the common good;
2. Only in clear cases will interlocutory injunctions against the enforcement of a law on grounds of alleged unconstitutionality succeed;
3. Interim relief in constitutional cases will rarely, if ever, be available when it amounts to a final determination of the applicant's rights;
4. There is an important distinction between relief that suspends legislation and that which merely exempts one or more persons from the application of legislation; and
5. Interim relief that preserves the status quo is less disruptive to the administration of justice than relief that alters the status quo.[38]

An applicant for interlocutory relief in a constitutional challenge must first demonstrate the serious question to be tried; second, that irreparable harm will result if the relief is not granted; and third, an assessment of the balance of convenience between the parties.[39] As a general rule, the same principles apply when a government authority is the applicant for a motion for such interlocutory relief. The courts must be sensitive of making a ruling which deprives legislation enacted by elected officials of its effect.[40] However, the courts are charged with a responsibility of safeguarding fundamental rights pursuant to the *Charter* and "For the courts to insist rigidly that all legislation be enforced to the letter until the moment that it is struck down as

---

38

Law Society (British Columbia) v. Canada (Attorney General), 2001 BCSC 1593~~, 207 D.L.R. (4th) 705, [2002] 3 W.W.R. 455, 98 B.C.L.R. (3d) 282, 160 C.C.C. (3d) 347, 89 C.R.R. (2d) 321, 14 C.P.C. (5th) 242, [2001] B.C.T.C. 1593, 2001 CarswellBC 2569, [2001] B.C.J. No. 2420, 109 A.C.W.S. (3d) 648 (B.C. S.C. [In Chambers]),~~ at para. 57, affirmed 2002 BCCA 49, ~~207 D.L.R. (4th) 736, [2002] 3 W.W.R. 483, 98 B.C.L.R. (3d) 310, 160 C.C.C. (3d) 378, [2002] B.C.T.C. 14, 2002 CarswellBC 160, [2002] B.C.J. No. 130, 111 A.C.W.S. (3d) 331, 52 W.C.B. (2d) 515 (B.C. C.A.)~~, leave to appeal allowed [2002] 2 S.C.R. v, 210 D.L.R. (4th) vi, ~~283 W.A.C. 320 (note), 173 B.C.A.C. 320 (note), 292 N.R. 397 (note),~~ 2002 CarswellBC 899, 2002 CarswellBC 900~~, [2002] S.C.C.A. No. 52 (S.C.C.)~~, leave discontinued on May 25, 2002.

39

RJR-Macdonald Inc. v. Canada (Attorney General), [1994] 1 S.C.R. 311~~, 111 D.L.R. (4th) 385, 60 Q.A.C. 241, 54 C.P.R. (3d) 114, 164 N.R. 1, 46 A.C.W.S. (3d) 40 (S.C.C.) ("*RJR-Macdonald*")~~.

40

RJR-Macdonald Inc. v. Canada (Attorney General), [1994] 1 S.C.R. 311~~, 111 D.L.R. (4th) 385, 60 Q.A.C. 241, 54 C.P.R. (3d) 114, 164 N.R. 1, 46 A.C.W.S. (3d) 40 (S.C.C.),~~ at para. 43. See also, BCTF v. British Columbia, 2014 BCCA 75, ~~598 W.A.C. 304, 58 B.C.L.R. (5th) 300, 350 B.C.A.C. 304, 2014 C.L.L.C. 220-020, 2014 CarswellBC 450, 238 A.C.W.S. (3d) 801 (B.C. C.A.)~~ citing Bedford v. Canada (Attorney General), 2010 ONCA 814~~, 330 D.L.R. (4th) 162, 271 O.A.C. 155, 265 C.C.C. (3d) 390, 2010 CarswellOnt 8998, [2010] O.J. No. 5155, 199 A.C.W.S. (3d) 1057, 93 W.C.B. (2d) 434 (Ont. C.A.)~~.

unconstitutional, might in some instances be to condone the most blatant violation of *Charter* rights. Such a practice would undermine the spirit and purpose of the *Charter* and might encourage a government to prolong unduly final resolution of the dispute."[41]

In order to satisfy the requirement that there be a serious issue to be tried, the judge must make a preliminary assessment on the merits of the case. The threshold is a low one.[42] Once satisfied that the application is neither vexatious nor frivolous, the motion judge should proceed to consider the second and third parts of the test, even if the judge is of the opinion that the plaintiff is unlikely to succeed at trial.[43]

There are two exceptions to this general rule. The first is where the result of the interlocutory motion will, in effect, amount to a final determination of the action.[44] The second exception is when the consideration of the constitutionality presents itself as a simple question of law alone. In those cases, it is appropriate to make a more significant investigation of the merits of the case.[45]

Irreparable harm is a question of whether a refusal to grant relief would so adversely affect the applicant's own interest that the harm could not be remedied if the eventual decision on the merits does not accord with the result of the interlocutory application. Irreparable harm refers to the nature of the harm suffered rather than its magnitude. It is harm which either cannot be quantified in monetary terms or cannot be cured, usually because one party cannot collect damages from another.[46] Hence, irreparable harm arises in circumstances where one party would

---

41

RJR-Macdonald Inc. v. Canada (Attorney General), [1994] 1 S.C.R. 311~~, 111 D.L.R. (4th) 385, 60 Q.A.C. 241, 54 C.P.R. (3d) 114, 164 N.R. 1, 46 A.C.W.S. (3d) 40 (S.C.C.),~~ at para. 44.

42

RJR-Macdonald Inc. v. Canada (Attorney General), [1994] 1 S.C.R. 311~~, 111 D.L.R. (4th) 385, 60 Q.A.C. 241, 54 C.P.R. (3d) 114, 164 N.R. 1, 46 A.C.W.S. (3d) 40 (S.C.C.),~~ at para. 54.

43

RJR-Macdonald Inc. v. Canada (Attorney General), [1994] 1 S.C.R. 311~~, 111 D.L.R. (4th) 385, 60 Q.A.C. 241, 54 C.P.R. (3d) 114, 164 N.R. 1, 46 A.C.W.S. (3d) 40 (S.C.C.),~~ at para. 55.

44

Harper v. Canada (Attorney General), ~~[2000] 2 S.C.R. 764,~~ 2000 SCC 57~~, 193 D.L.R. (4th) 38, [2001] 9 W.W.R. 201, 234 W.A.C. 201, 92 Alta. L.R. (3d) 1, 271 A.R. 201, 2000 CarswellAlta 1158, 2000 CarswellAlta 1159, [2000] S.C.J. No. 58 (S.C.C.)~~.

45

RJR-Macdonald Inc. v. Canada (Attorney General), [1994] 1 S.C.R. 311~~, 111 D.L.R. (4th) 385, 60 Q.A.C. 241, 54 C.P.R. (3d) 114, 164 N.R. 1, 46 A.C.W.S. (3d) 40 (S.C.C.),~~ at para. 60.

46

RJR-Macdonald Inc. v. Canada (Attorney General), [1994] 1 S.C.R. 311~~, 111 D.L.R. (4th) 385, 60 Q.A.C. 241, 54 C.P.R. (3d) 114, 164 N.R. 1, 46 A.C.W.S. (3d) 40 (S.C.C.),~~ at para. 64.

be put out of business,[47] or where one party will suffer permanent market loss or irreparable damage to its business reputation,[48] or where the permanent loss of a natural resource will result should a challenged activity not be enjoined.[49]

The balance of convenience is a determination of which of the two parties will suffer the greater harm from the granting or refusal of an interlocutory injunction pending a decision on the merits.[50] The factors which must be considered in assessing the balance of convenience are numerous and will vary with each individual case.[51] One of the factors that will weigh heavily in the determination of the balance of convenience is whether the granting of an injunction against the enforcement of a law would effectively give the plaintiff the relief that he was seeking.[52] Conversely, where the ultimate effect of the legislation will be that any declaration as to its unconstitutionality will be worthless, absent interim injunctive relief, that will be a significant

---

47

R.L. Crain Inc. v. Hendry (1988), 48 D.L.R. (4th) 228, 67 Sask. R. 123~~, 8 A.C.W.S. (3d) 380~~ (S.K.Q.B.).

48

American Cyanamid Co. v. Ethicon Ltd., [1975] A.C. 396 (H.L.).

49

MacMillan Bloedel Ltd. v. Mullin, [1985] 3 W.W.R. 577, 61 B.C.L.R. 145, ~~[1985] 2 C.N.L.R. 58 (C.A.),~~ leave to appeal to S.C.C. refused 61 N.R. 240*n sub nom.* British Columbia v. Martin. See also, Holy Alpha & Omega Church of Toronto v. Canada (Attorney General), ~~2009 CAF 265,~~ 2009 FCA 265~~, [2010] 1 C.T.C. 161, 2009 D.T.C. 5177 (Eng.), 2009 CarswellNat 3131, 2009 CarswellNat 4453, [2009] F.C.J. No. 1262, 181 A.C.W.S. (3d) 350 (F.C.A.),~~ at para. 17, which suggests that where the applicant is a registered charity a somewhat broader view of irreparable harm is warranted to include whether the irreparable harm would be suffered by persons or organizations that are dependant upon the applicant charity.

50

Manitoba (Attorney General) v. Metropolitan Stores (MTS) Ltd., [1987] 1 S.C.R. 110~~,~~ at p. 129, ~~38 D.L.R. (4th) 321, [1987] 3 W.W.R. 1 *sub nom.* Man (A.G.) v. Metro Stores Ltd., 46 Man. R. (2d) 241, 25 Admin. L.R. 20, 87 C.L.L.C. &p;14,015, *sub nom.* Manitoba (A.G.) v. Metropolitan Stores (MTS) Ltd., 18 C.P.C. (2d) 273 *sub nom.* Manitoba (A.G.) v. Metro Stores (MTS) Ltd., 73 N.R. 341, *sub nom.* Metropolitan Stores (MTS) Ltd. v. Manitoba Food and Commercial Workers, Local 832 (S.C.C.)~~.

51

RJR-Macdonald Inc. v. Canada (Attorney General), [1994] 1 S.C.R. 311~~, 111 D.L.R. (4th) 385, 60 Q.A.C. 241, 54 C.P.R. (3d) 114, 164 N.R. 1, 46 A.C.W.S. (3d) 40 (S.C.C.),~~ at para. 68.

52

Harper v. Canada (Attorney General) ~~(2000),~~ ~~[2000] 2 S.C.R. 764,~~ 2000 SCC 57~~, 193 D.L.R. (4th) 38, [2001] 9 W.W.R. 201, 234 W.A.C. 201, 92 Alta. L.R. (3d) 1, 271 A.R. 201, 2000 CarswellAlta 1158, 2000 CarswellAlta 1159, [2000] S.C.J. No. 58 (S.C.C.),~~ at para. 7.

factor for the court to take into consideration on the balancing of convenience.[53]

In constitutional cases, the public interest is a special factor which must be considered in assessing where the balance of convenience lies. It is appropriate that both parties in an interlocutory constitutional proceeding rely upon the considerations of the public interest. Each party is entitled to make the court aware of the damage it might suffer prior to a decision on the merits. Each party must demonstrate to the court a compelling public interest in refusing or granting the relief sought. The public interest includes both the concerns of society generally and the particular interest of identifiable groups.[54] The interest of the public, which the government authority is to protect, must be taken into account in weighing the balance of convenience along with the interests of the private litigants.[55] This issue was considered by McLachlin C.J.C. in *Harper v. Canada (Attorney General)*,[56] in a matter where the respondent applied for an interim injunction restraining the enforcement of third party spending limits during a federal election pending a decision as to the constitutionality of that provision of the *Canada Elections Act*.[57] McLachlin C.J.C. stated:

> Applications for interlocutory injunctions against enforcement of still-valid legislation under constitutional attack raise special considerations when it comes to determining the balance of convenience. On the one hand stands the benefit flowing from the law. On the other stands the rights that the laws allege to infringe. An interlocutory injunction may have the effect of depriving the public of the benefit of a statute which has been duly enacted and which may in the end be held valid, and of granting effective victory to the applicant before

---

53

Wittal v. Saskatchewan Government Insurance (1983), 145 D.L.R. (3d) 729, [1983] 4 W.W.R. 300~~, 25 Sask. R. 263~~ (Sask. Q.B.), reversed on other grounds (1988), 51 D.L.R. (4th) 641, [1988] 5 W.W.R. 616~~, 67 Sask. R. 14, 11 A.C.W.S. (3d) 126~~ (Sask. C.A.); Whitecourt Roman Catholic Separate School District No. 94 v. Alberta (1995), 169 A.R. 195, 30 Alta. L.R. (3d) 225~~, 97 W.A.C. 195, 55 A.C.W.S. (3d) 1038~~ (C.A.).

54

RJR-Macdonald Inc. v. Canada (Attorney General), [1994] 1 S.C.R. 311~~, 111 D.L.R. (4th) 385, 60 Q.A.C. 241, 54 C.P.R. (3d) 114, 164 N.R. 1, 46 A.C.W.S. (3d) 40 (S.C.C.),~~ at para. 71.

55

Ainsley Financial Corp. v. Ontario (Securities Commission) (1993), 106 D.L.R. (4th) 507, 14 O.R. (3d) 280~~, 17 Admin. L.R. (2d) 281, 10 B.L.R. (2d) 173, 42 A.C.W.S. (3d) 165~~ (Gen. Div.), at para. 87, affirmed 121 D.L.R. (4th) 79, 21 O.R. (3d) 104~~, 28 Admin. L.R. (2d) 1, 52 A.C.W.S. (3d) 453~~ (Ont. C.A.), cited with approval in RJR-Macdonald Inc. v. Canada (Attorney General), [1994] 1 S.C.R. 311~~, 111 D.L.R. (4th) 385, 60 Q.A.C. 241, 54 C.P.R. (3d) 114, 164 N.R. 1, 46 A.C.W.S. (3d) 40 (S.C.C.)~~.

56

Harper v. Canada (Attorney General) ~~(2000)~~, ~~[2000] 2 S.C.R. 764,~~ 2000 SCC 57~~, 193 D.L.R. (4th) 38, [2001] 9 W.W.R. 201, 234 W.A.C. 201, 92 Alta. L.R. (3d) 1, 271 A.R. 201, 2000 CarswellAlta 1158, 2000 CarswellAlta 1159, [2000] S.C.J. No. 58 (S.C.C.)~~.

57

S.C. 2000, c. 9.

> the case has been judicially decided. Conversely, denying or staying the injunction may deprive plaintiffs of constitutional rights simply because the courts cannot move quickly enough ...[58]

When a private litigant alleges that public interest is at risk, the private litigant has the onus to demonstrate the harm that will ensue. Private litigants are normally presumed to be pursuing their own interest rather than that of the public at large. The applicant must convince the court of the public interest benefits that will flow from the granting of the relief sought.[59]

A much lighter onus lies upon a public authority arguing irreparable harm to the public interest. It is presumed that the law is for the public good.[60] The public authority will usually satisfy the test simply upon proof that the authority is charged with a duty of promotion or protecting the public interest and upon some indication that the impugned legislation, regulation or activity was undertaken pursuant to the responsibility. Once these minimal requirements have been met, the court should, in most cases, assume that irreparable harm to the public interest would result from the restraint of the action.[61] The court must always be mindful that the *Charter* and other constitutional challenges do not provide a licence to evaluate the effectiveness of government action. The courts only should act when it is necessary to restrain government action because it encroaches upon fundamental rights.[62]

Where a court does grant declaratory relief in constitutional cases, the public interest can nevertheless serve to suspend such relief in rare circumstances. In *Ontario (Attorney General) v. G*,[63] the Supreme Court of Canada recently stated that a declaration of invalidity can be

---

58

Harper v. Canada (Attorney General) ~~(2000)~~, ~~[2000] 2 S.C.R. 764,~~ 2000 SCC 57~~, 193 D.L.R. (4th) 38, [2001] 9 W.W.R. 201, 234 W.A.C. 201, 92 Alta. L.R. (3d) 1, 271 A.R. 201, 2000 CarswellAlta 1158, 2000 CarswellAlta 1159, [2000] S.C.J. No. 58 (S.C.C.),~~ at para 5.

59

RJR-Macdonald Inc. v. Canada (Attorney General), [1994] 1 S.C.R. 311~~, 111 D.L.R. (4th) 385, 60 Q.A.C. 241, 54 C.P.R. (3d) 114, 164 N.R. 1, 46 A.C.W.S. (3d) 40 (S.C.C.),~~ at para. 73.

60

Harper v. Canada (Attorney General) ~~(2000)~~, ~~[2000] 2 S.C.R. 764,~~ 2000 SCC 57~~, 193 D.L.R. (4th) 38, [2001] 9 W.W.R. 201, 234 W.A.C. 201, 92 Alta. L.R. (3d) 1, 271 A.R. 201, 2000 CarswellAlta 1158, 2000 CarswellAlta 1159, [2000] S.C.J. No. 58 (S.C.C.)~~.

61

RJR-Macdonald Inc. v. Canada (Attorney General), [1994] 1 S.C.R. 311~~, 111 D.L.R. (4th) 385, 60 Q.A.C. 241, 54 C.P.R. (3d) 114, 164 N.R. 1, 46 A.C.W.S. (3d) 40 (S.C.C.),~~ at para. 76.

62

RJR-Macdonald Inc. v. Canada (Attorney General), [1994] 1 S.C.R. 311~~, 111 D.L.R. (4th) 385, 60 Q.A.C. 241, 54 C.P.R. (3d) 114, 164 N.R. 1, 46 A.C.W.S. (3d) 40 (S.C.C.),~~ at para. 77.

63

Ontario (Attorney General) v. G, ~~2020 CSC 38,~~ 2020 SCC 38~~, 2020 CarswellOnt 17021, 2020 CarswellOnt 17020, 395 C.C.C. (3d) 277, 67 C.R. (7th) 340, 451 D.L.R. (4th) 541, 469 C.R.R. (2d) 272 (S.C.C.)~~.

suspended when "an identifiable public interest, grounded in the Constitution, is endangered by an immediate declaration to such an extent that it outweighs the harmful impacts of delaying the declaration's effect.[64]

In *Shot Both Sides v. Canada*65, the Supreme Court of Canada set out circumstances where declaratory relief may be warranted against the Crown in the context of Aboriginal and treaty rights claims. The Court held that declaratory relief may assist in providing a clear statement on the legal rights of Indigenous parties, the duties placed on the Crown, and in guiding the parties in the reconciliation process mandated by s. 35(1) of the *Constitution Act*. Declaratory relief, in this context, can serve a corrective function by authoritatively demonstrating that the Crown has infringed the Indigenous party's rights, and, in providing a clear statement of such an infringement, this remedy can assist with the goals of reconciliation and efforts to restore the nation-to-nation relationship. The Court further determined that declarations may be a remedy against the Crown even where the underlying claim regarding the constitutionality of the Crown's conduct is statute-barred.

D. Damages

13:27. Introduction

The Crown Proceeding Acts in all Canadian jurisdictions place the Crown in a position, as near as possible, to a person in civil litigation. Hence, any person who alleges a cause of action against the Crown and is able to establish the elements of the action may obtain judgment against the Crown for damages. These damages are calculated against the Crown as they would be against any other party. Such damages can also include punitive or aggravated damages in appropriate circumstances.[1]

13:28. Charter Damages

In addition to being liable for damages like any other person, the Crown may also be liable for damages as a result of its legislative function. This liability for damages arises in circumstances where the enactment of legislation involved conduct that was clearly wrong, in bad faith or an abuse of power.[1] The mere unconstitutionality of legislation is not sufficient to

---

64

Ontario (Attorney General) v. G, 2020 CSC 38, 2020 SCC 38, 2020 CarswellOnt 17021, 2020 CarswellOnt 17020, 395 C.C.C. (3d) 277, 67 C.R. (7th) 340, 451 D.L.R. (4th) 541, 469 C.R.R. (2d) 272 (S.C.C.), at para. 83.

65 2024 SCC 12, 2024 CarswellNat 1083

1

A. (M.) v. Canada (Attorney General), 2003 SKCA 2, 224 D.L.R. (4th) 688, [2003] 3 W.W.R. 599, 287 W.A.C. 260, 227 Sask. R. 260, 2003 CarswellSask 29, [2003] S.J. No. 28 (Sask. C.A.), leave to appeal to S.C.C. refused (2005), 372 W.A.C. *73n,* 343 N.R. 196n (S.C.C.); Peeters v. Canada, [1994] 1 F.C. 562, 108 D.L.R. (4th) 471, 18 C.C.L.T. (2d) 136, 163 N.R. 209, 44 A.C.W.S. (3d) 488, 70 F.T.R. 116*n* (C.A.).

1

Welbridge Holdings Ltd. v. Winnipeg (City), [1971] S.C.R. 957, 22 D.L.R. (3d) 470, [1972] 3 W.W.R. 433; Central Canada Potash Co. v. Saskatchewan, [1979] 1 S.C.R. 42, 88 D.L.R. (3d)

warrant an award of damages.[2]

The adoption of the *Charter of Rights and Freedoms*[3] broadened the potential for damages and other remedies against the Crown as a result of its legislative function. Section 24(1) of the *Charter* provides the court with broad discretion as to the appropriate remedy where anyone's rights have been infringed or denied.

> Enforcement
> 24. (1) Anyone whose rights or freedoms, as guaranteed by this Charter, have been infringed or denied may apply to a court of competent jurisdiction to obtain such remedy as the court considers appropriate and just in the circumstances.

When considering the scope of the discretion provided to the court pursuant to s. 24(1), McIntyre J. stated:

> It is difficult to imagine language which could give the court a wider and less fettered discretion. It is impossible to reduce this wide discretion to some sort of binding formula for general application in all cases, and it is not for appellate courts to pre-empt or cut down this wide discretion.[4]

When a court fashions a remedy pursuant to s. 24(1), it must consider the words of the section and ensure that they are read "in harmony" with the rest of our Constitution.[5] The court should consider the words "appropriate and just in the circumstances" and exercise its discretion based upon a careful consideration of the "nature and right of the infringement, the facts of the case and the application of the relevant legal principles".[6]

The Supreme Court of Canada in the decision *Doucet-Boudreau v. Nova Scotia (Minister*

~~609, [1978] 6 W.W.R. 400, 6 C.C.L.T. 265, 23 N.R. 481 (S.C.C.)~~.

2

See also the discussion of *Charter* damages in §§12:9 et seq.

3

Constitution Act, *1982*, being Sch. B to the *Canada Act 1982* (U.K.), 1982, c. 11.

4

R. v. Mills, [1986] 1 S.C.R. 863~~, 29 D.L.R. (4th) 161, 58 O.R. (2d) 544*n*, 16 O.A.C. 81, 26 C.C.C. (3d) 481, 52 C.R. (3d) 1, 21 C.R.R. 76, 67 N.R. 241, 17 W.C.B. 41 (S.C.C.),~~ at ~~p.~~ 965.

5

Doucet-Boudreau v. Nova Scotia (Department of Education), (*sub nom.* Doucet-Boudreau v. Nova Scotia (Minister of Education)) ~~[2003] 3 S.C.R. 3~~, 2003 SCC 62~~, 232 D.L.R. (4th) 577, 687 A.P.R. 311, 218 N.S.R. (2d) 311, 112 C.R.R. (2d) 202, 45 C.P.C. (5th) 1, 312 N.R. 1, 2003 CarswellNS 375, 2003 CarswellNS 376, [2003] S.C.J. No. 63 (S.C.C.),~~ at para. 50 ~~("*Doucet-Boudreau*")~~.

6

Doucet-Boudreau v. Nova Scotia (Department of Education), (*sub nom.* Doucet-Boudreau v. Nova Scotia (Minister of Education)) ~~[2003] 3 S.C.R. 3~~, 2003 SCC 62~~, 232 D.L.R. (4th) 577, 687 A.P.R. 311, 218 N.S.R. (2d) 311, 112 C.R.R. (2d) 202, 45 C.P.C. (5th) 1, 312 N.R. 1, 2003 CarswellNS 375, 2003 CarswellNS 376, [2003] S.C.J. No. 63 (S.C.C.),~~ at para. 52.

of Education),[7] set out broad considerations that judges ought to bear in mind when evaluating the appropriateness and justice of a potential remedy pursuant to s. 24(1):

> 1. An appropriate and just remedy in the circumstances of a *Charter* claim is one that meaningfully vindicates the rights and freedoms of the claimants;
> 2. An appropriate and just remedy must employ means that are legitimate within the framework of our constitutional democracy;
> 3. An appropriate and just remedy is a judicial one which vindicates the right while invoking the function and powers of the court; and
> 4. An appropriate and just remedy is one that, after ensuring that the right of the claimant is fully vindicated, is also fair to the party against whom the order is made.[8]

The application of these general principles provides a variety of different and potentially creative remedies available to the court in addition to declarations of invalidity of legislative enactments or damages. For example, in *Doucet-Boudreau v. Nova Scotia (Minister of Education)*, the Supreme Court of Canada upheld the trial judge's order that the provincial government used its best efforts to build French language school facilities by established dates and his retaining jurisdiction to hear reports on the progress of those efforts.

There is a distinction between cases involving money collected by the government and benefit cases. Where the government has collected money in violation of the Constitution or *Charter* (for example taxes collected pursuant to an *ultra vires* regulation) the only possible and appropriate common law remedy is restitution to the taxpayer.[9] However, where a benefit is ruled unconstitutional, the court does not normally know what the legislature would have done had it known that its benefit scheme failed to meet a constitutional requirement such as the *Charter*'s s. 15 guarantee of equality benefits under the law. The court could include the excluded group in the existing benefit scheme;[10] it could modify the benefit scheme to make it

---

7

Doucet-Boudreau v. Nova Scotia (Department of Education), (*sub nom.* Doucet-Boudreau v. Nova Scotia (Minister of Education)) ~~[2003] 3 S.C.R. 3~~, 2003 SCC 62~~, 232 D.L.R. (4th) 577, 687 A.P.R. 311, 218 N.S.R. (2d) 311, 112 C.R.R. (2d) 202, 45 C.P.C. (5th) 1, 312 N.R. 1, 2003 CarswellNS 375, 2003 CarswellNS 376, [2003] S.C.J. No. 63 (S.C.C.)~~.

8

Doucet-Boudreau v. Nova Scotia (Department of Education), (*sub nom.* Doucet-Boudreau v. Nova Scotia (Minister of Education)) ~~[2003] 3 S.C.R. 3~~=, 2003 SCC 62~~, 232 D.L.R. (4th) 577, 687 A.P.R. 311, 218 N.S.R. (2d) 311, 112 C.R.R. (2d) 202, 45 C.P.C. (5th) 1, 312 N.R. 1, 2003 CarswellNS 375, 2003 CarswellNS 376, [2003] S.C.J. No. 63 (S.C.C.),~~ at paras. 54-59.

9

Kingstreet Investments Ltd. v. New Brunswick (Department of Finance), (*sub nom.* Kingstreet Investments Ltd. v. New Brunswick) ~~[2007] 1 S.C.R. 3~~, 2007 SCC 1~~, 276 D.L.R. (4th) 342, 799 A.P.R. 255, 309 N.B.R. (2d) 225, 309 N.B.R. (2d) 255, 51 Admin. L.R. (4th) 184, 25 B.L.R. (4th) 1, 2007 D.T.C. 5041 (Fr.), 2007 D.T.C. 5029 (Eng.), 355 N.R. 336, 2007 CarswellNB 6, 2007 CarswellNB 7, [2007] S.C.J. No. 1, 152 A.C.W.S. (3d) 1151 (S.C.C.)~~.

10

Tétreault-Gadoury v. Canada (Employment & Immigration Commission), [1991] 2 S.C.R. 22~~, 81~~

comply with the s. 15 guarantee;[11] or even consider eliminating the benefit.[12] Retroactive relief may be available in appropriate cases after considering such relevant factors such as the reliance interests of those involved, fairness concerns, the government's good faith and the need to respect Parliament's legislative role. These factors will tend in favour of limiting retroactive relief.[13]

Courts should avoid issuing specific orders to make the recommendations binding on the governing body unless the governing statute scheme gives them this option.[14] If there is more than one way to rectify the situation it is the government's task to determine which approach it

---

D.L.R. (4th) 358, 50 Admin. L.R. 1, 36 C.C.E.L. 117, 43 C.R.R. (2d) 12, 126 N.R. 1, 27 A.C.W.S. (3d) 147 (S.C.C.).

11

Hislop v. Canada (Attorney General), (*sub nom.* Canada (Attorney General) v. Hislop) [2007] 1 S.C.R. 429, 2007 SCC 10, 278 D.L.R. (4th) 385, 84 O.R. (3d) 800, 84 O.R. (3d) 800 (note), 222 O.A.C. 324, (*sub nom.* R. v. Hislop) 153 C.R.R. (2d) 173, 37 R.F.L. (6th) 1, 358 N.R. 197, 2007 CarswellOnt 1049, 2007 CarswellOnt 1050, [2007] S.C.J. No. 10, 154 A.C.W.S. (3d) 362 (S.C.C.) ("*Hislop*").

12

Schachter v. Canada, [1992] 2 S.C.R. 679, 93 D.L.R. (4th) 1, 92 C.L.L.C. 14, 036, 10 C.R.R. (2d) 1, 139 N.R. 1, 53 F.T.R. 240 (note), 1992 CarswellNat 658, 1992 CarswellNat 1006, [1992] S.C.J. No. 68, 34 A.C.W.S. (3d) 1090 (S.C.C.) ("*Schachter*").

13

Hislop v. Canada (Attorney General), (*sub nom.* Canada (Attorney General) v. Hislop) [2007] 1 S.C.R. 429, 2007 SCC 10, 278 D.L.R. (4th) 385, 84 O.R. (3d) 800 (note), 222 O.A.C. 324, (*sub nom.* R. v. Hislop) 153 C.R.R. (2d) 173, 37 R.F.L. (6th) 1, 358 N.R. 197, 2007 CarswellOnt 1049, 2007 CarswellOnt 1050, [2007] S.C.J. No. 10, 154 A.C.W.S. (3d) 362 (S.C.C.).

14

Provincial Court Judges' Assn. (New Brunswick) v. New Brunswick (Minister of Justice), [2005] 2 S.C.R. 286, 2005 CSC 44, 2005 SCC 44, 255 D.L.R. (4th) 513, [2006] 1 W.W.R. 407, 346 W.A.C. 300, 49 Alta. L.R. (4th) 211, (*sub nom.* New Brunswick Provincial Court Judges' Association v. New Brunswick (Minister of Justice)) 751 A.P.R. 202, 367 A.R. 300, 288 N.B.R. (2d) 202, (*sub nom.* Ontario Judges' Assn. v. Ontario) 85 O.R. (3d) 79 (note), 201 O.A.C. 293, 30 Admin. L.R. (4th) 1, (*sub nom.* Provincial Court Judges Assn. of New Brunswick v. New Brunswick (Minister of Justice)) 135 C.R.R. (2d) 55, 135 C.R.R. (2d) 57, 14 C.P.C. (6th) 1, 336 N.R. 201, 2005 CarswellNB 405, 2005 CarswellNB 406, [2003] S.C.C.A. No. 458, [2005] S.C.J. No. 47, 141 A.C.W.S. (3d) 213 (S.C.C.), reconsideration / rehearing refused (*sub nom.* Conférence des juges du Québec v. Québec (Attorney General)) [2005] 3 S.C.R. 41, 2005 SCC 59, (*sub nom.* Minc v. Quebec (Attorney General)) 265 D.L.R. (4th) 385, [2006] 5 W.W.R. 577, 377 W.A.C. 284, 55 Alta. L.R. (4th) 205, 778 A.P.R. 202, 391 A.R. 284, 299 N.B.R. (2d) 202, 211 O.A.C. 396, 37 Admin. L.R. (4th) 276, 51 C.C.P.B. 1, 23 C.P.C. (6th) 1, 348 N.R. 260, 2005 CarswellNB 572, 2005 CarswellNB 573, [2005] S.C.J. No. 60, 147 A.C.W.S. (3d) 164 (S.C.C.).

prefers.[15]

Further, where an individual seeks to challenge legislation pursuant to s. 52 of the *Charter*, an individual remedy under s. 24(1) of the *Charter* will rarely be available.[16] As stated by the Supreme Court of Canada in *Doucet-Boudreau v. Nova Scotia*:[17]

> A remedy under s. 24(1) is available where there is some government action, beyond the enactment of an unconstitutional statute or provision, that infringes a person's *Charter* rights ...

For instance, as recently stated by the Supreme Court of Canada in *Ontario (Attorney General) v. G*, where a declaration of invalidity is suspended, an individual exemption pursuant to s.24(1) of the *Charter* "will often balance the interests of the litigant, the broader public, and the legislature in a manner that is "appropriate and just"."[17.50]

Further, where a *Charter* breach arises out of the improper implementation of a written policy such as an unreasonable search in breach of an individual's rights under s. 8 of the *Charter*, only a past wrong is under consideration. In such a case a declaration of a breach is not an effective remedy and, therefore, the court has discretion to award financial damages where that is the appropriate remedy.[18]

15

Mackin v. New Brunswick (Minister of Justice), ~~[2002] 1 S.C.R. 405, 2002 CSC 13,~~ 2002 SCC 13, (*sub nom.* Mackin v. New Brunswick (Minister of Finance)) ~~209 D.L.R. (4th) 564, (*sub nom.* Rice, P.C.J. v. New Brunswick) 636 A.P.R. 299, 245 N.B.R. (2d) 299, 31 C.C.P.B. 55, 91 C.R.R. (2d) 1, 17 C.P.C. (5th) 1, 282 N.R. 201, 2002 CarswellNB 59, 2002 CarswellNB 60, [2002] S.C.J. No. 13, 112 A.C.W.S. (3d) 57 (S.C.C.)~~.

16

Schachter v. Canada, [1992] 2 S.C.R. 679~~, 93 D.L.R. (4th) 1, 92 C.L.L.C. 14, 036, 10 C.R.R. (2d) 1, 139 N.R. 1, 53 F.T.R. 240 (note), 1992 CarswellNat 658, 1992 CarswellNat 1006, [1992] S.C.J. No. 68, 34 A.C.W.S. (3d) 1090 (S.C.C.)~~.

17

Doucet-Boudreau v. Nova Scotia (Department of Education), (*sub nom.* Doucet-Boudreau v. Nova Scotia (Minister of Education)) ~~[2003] 3 S.C.R. 3~~, 2003 SCC 62~~, 232 D.L.R. (4th) 577, 687 A.P.R. 311, 218 N.S.R. (2d) 311, 112 C.R.R. (2d) 202, 45 C.P.C. (5th) 1, 312 N.R. 1, 2003 CarswellNS 375, 2003 CarswellNS 376, [2003] S.C.J. No. 63 (S.C.C.),~~ at para. 43.

17.50

Ontario (Attorney General) v. G, ~~2020 CSC 38,~~ 2020 SCC 38~~, 2020 CarswellOnt 17021, 2020 CarswellOnt 17020, 395 C.C.C. (3d) 277, 67 C.R. (7th) 340, 451 D.L.R. (4th) 541, 469 C.R.R. (2d) 272 (S.C.C.),~~ at paras. 83 and 147.

18

Ward v. Vancouver (City), 2009 BCCA 23,~~ 304 D.L.R. (4th) 653, [2009] 6 W.W.R. 261, 446 W.A.C. 174, 89 B.C.L.R. (4th) 217, 265 B.C.A.C. 174, 63 C.C.L.T. (3d) 165, 186 C.R.R. (2d) 1, 2009 CarswellBC 115, [2009] B.C.J. No. 91, 174 A.C.W.S. (3d) 379 (B.C. C.A.)~~, reversed in part, ~~[2010] 2 S.C.R. 28,~~ 2010 SCC 27~~, 321 D.L.R. (4th) 1, [2010] 9 W.W.R. 195, 491 W.A.C. 222, 7 B.C.L.R. (5th) 203, 290 B.C.A.C. 222, 75 C.C.L.T. (3d) 1, 76 C.R. (6th) 207, 213 C.R.R. (2d) 166, 404 N.R. 1, 2010 CarswellBC 1948, 2010 CarswellBC 1947, [2010] S.C.J. No. 27, 191 A.C.W.S. (3d) 101 (S.C.C.),~~ at para. 53.

Taking the principles set out in *Doucet-Boudreau* as a starting point, in *Ward v. Vancouver (City)* the Supreme Court of Canada set out a four-step framework for determining whether a damages award is "appropriate and just" for the purposes of s. 24(1). The first step in the inquiry is to establish that a *Charter* right has been breached. The second step is to show why damages are a just and appropriate remedy, having regard to whether they would fulfill one or more of the related functions of compensation, vindication of the right, and/or deterrence of future breaches. At the third step, the state has the opportunity to demonstrate, if it can, that countervailing factors defeat the functional considerations that support a damage award and render damages inappropriate or unjust. The final step is to assess the quantum of the damages.

In assessing damages in relation to the purposes of vindication and deterrence, the Court warned that the damages should be fair to both the claimant and the state. Specifically, damages "may take into account the public interest in good governance, the danger of deterring governments from undertaking beneficial new policies and programs, and the need to avoid diverting large sums of funds from public programs to private interests."[19] Compensation that vindicates and deters "may assume a punitive aspect," but the Court noted a general reluctance to award purely punitive damages.[20]

In *Henry v. British Columbia*, the Supreme Court of Canada addressed the issue of *Charter* damages in cases of prosecutorial misconduct and non-disclosure. In *Henry*, the plaintiff alleged that the Crown failed to make full disclosure of relevant information before, during and after his trial. After he was acquitted by the British Columbia Court of Appeal, the plaintiff sued the Crown in negligence, malicious prosecution and breach of *Charter* rights. After his claim was struck in the courts below, the Supreme Court of Canada allowed the plaintiffs appeal, holding that s. 24(1) of the *Charter* authorizes courts of competent jurisdiction to award damages against the Crown for prosecutorial misconduct absent proof of malice. The Court concluded that a malice standard grounded in "improper purpose" sets too high a bar, and fails to respond adequately to the state conduct at issue. Restricting the availability of *Charter* damages for wrongful non-disclosure to cases where the Crown acted with malice would offer neither a responsive nor effective remedy to claimants.[21]

19

Ward v. Vancouver (City), ~~[2010] 2 S.C.R. 28,~~ 2010 SCC 27~~, 321 D.L.R. (4th) 1, [2010] 9 W.W.R. 195, 491 W.A.C. 222, 7 B.C.L.R. (5th) 203, 290 B.C.A.C. 222, 75 C.C.L.T. (3d) 1, 76 C.R. (6th) 207, 213 C.R.R. (2d) 166, 404 N.R. 1, 2010 CarswellBC 1948, 2010 CarswellBC 1947, [2010] S.C.J. No. 27, 191 A.C.W.S. (3d) 101 (S.C.C.),~~ at para. 53.

20

Ward v. Vancouver (City), ~~[2010] 2 S.C.R. 28,~~ 2010 SCC 27~~, 321 D.L.R. (4th) 1, [2010] 9 W.W.R. 195, 491 W.A.C. 222, 7 B.C.L.R. (5th) 203, 290 B.C.A.C. 222, 75 C.C.L.T. (3d) 1, 76 C.R. (6th) 207, 213 C.R.R. (2d) 166, 404 N.R. 1, 2010 CarswellBC 1948, 2010 CarswellBC 1947, [2010] S.C.J. No. 27, 191 A.C.W.S. (3d) 101 (S.C.C.),~~ at para. 56.

21

Henry v. British Columbia (Attorney General), ~~[2015] 2 S.C.R. 214, 2015 CSC 24,~~ 2015 SCC 24~~, 383 D.L.R. (4th) 383, [2015] 6 W.W.R. 407, 634 W.A.C. 47, 70 B.C.L.R. (5th) 1, 369 B.C.A.C. 47, 18 C.C.L.T. (4th) 177, 18 C.R. (7th) 338, 336 C.R.R. (2d) 270, 470 N.R. 200, 2015~~

A plaintiff's ability to claim *Charter* damages can be barred by a legislative immunity clause. In *Ernst v. Alberta Energy Regulator*, the plaintiff claimed that the Alberta Energy Regulator (the "Board") had violated her s. 2(b) rights and brought a claim for damages under s. 24 of the *Charter*. Under its enabling statue, the Energy Resources Conservation Act, the Board was protected against any proceeding in relation to actions undertaken by the Board pursuant to the legislation it administered. The Court found that this provision operated to bar the plaintiff's ability to claim damages under the *Charter*. In obiter, the Court considered the appropriateness of damages under *Ward v. Vancouver (City)*, and found that damages were not a suitable remedy in this case.[22]

In contrast, the Ontario *Crown Liability and Proceedings Act, 2019*[23] did not immunize the Government of Ontario from civil liability in *Francis v. Ontario*.[24] In *Francis v. Ontario*, *Charter* damages were awarded on a class-wide basis to a class of two defined groups of inmates in Ontario correctional facilities who were subjected to unconstitutional administrative segregation in violation of sections 12 and 7 of the *Charter*. The remedy sought was not barred as the solitary confinement regime could not be classified as mere "policy" decision making which would have precluded a finding of liability, but rather constituted "operational" conduct for which the government does not enjoy immunity.

The Court further confirmed that where the Ward test for *Charter* damages is established, aggregate *Charter* damages are available as a remedy on a class wide basis. Moreover, while the

---

~~CarswellBC 1121, 2015 CarswellBC 1122, [2015] A.C.S. No. 24, [2015] S.C.J. No. 24, 251 A.C.W.S. (3d) 590 (S.C.C.)~~. Following the Supreme Court of Canada's decision in Henry, the case was remitted to the Supreme Court of British Columbia for a determination of whether Mr. Henry's *Charter* rights were breached and an assessment of damages. See Henry v. British Columbia (Attorney General), 2016 BCSC 1038~~, 29 C.C.L.T. (4th) 200, 356 C.R.R. (2d) 31, 2016 CarswellBC 1543, 267 A.C.W.S. (3d) 613 (B.C. S.C.)~~, additional reasons 2016 BCSC 1494~~, 29 C.C.L.T. (4th) 325, 88 C.P.C. (7th) 264, 2016 CarswellBC 2261, 269 A.C.W.S. (3d) 439 (B.C. S.C.), additional reasons~~ and 2016 BCSC 2082~~, 92 B.C.L.R. (5th) 138, 33 C.C.L.T. (4th) 111, 92 C.P.C. (7th) 337, 2016 CarswellBC 3164, 272 A.C.W.S. (3d) 537 (B.C. S.C.)~~; Prosper Petroleum Ltd v. Her Majesty the Queen in Right of Alberta, 2020 ABQB 127~~, 67 Admin. L.R. (6th) 26, 49 C.P.C. (8th) 282, 2020 CarswellAlta 336, 316 A.C.W.S. (3d) 167 (Alta. Q.B.)~~.

22 Ernst v. Alberta Energy Regulator, ~~[2017] 1 S.C.R. 3, 2017 CSC 1,~~ 2017 SCC 1~~, 405 D.L.R. (4th) 244, [2017] 2 W.W.R. 211, 12 Admin. L.R. (6th) 1, 35 C.C.L.T. (4th) 1, 5 C.E.L.R. (4th) 175, 374 C.R.R. (2d) 1, 2017 CarswellAlta 32, 2017 CarswellAlta 33, [2017] S.C.J. No. 1, 274 A.C.W.S. (3d) 70 (S.C.C.)~~.

23 *Crown Liability and Proceedings Act, 2019*, S.O. 2019, c 7, Sched. 1, s. ~~Sch.~~ 17.

24 Francis v. Ontario, 2021 ONCA 197~~, 2021 CarswellOnt 4233, 154 O.R. (3d) 498, 73 C.C.L.T. (4th) 171, 170 W.C.B. (2d) 243, 329 A.C.W.S. (3d) 896 (Ont. C.A.) [*Francis v. Ontario*]~~.

Court of Appeal did not disturb the lower court's judgment that any compensation for negligence would be subsumed within the *Charter* damages award, the Court left open the possibility that *Charter* damages could be awarded in addition to tort damages in other cases.

E. Costs and Interests

1. Introduction

13:29. Generally

At common law, costs were neither awarded to nor against the Crown. The Crown proceeding statutes in most Canadian jurisdictions now have an expressed statutory provision making the Crown liable to pay or receive costs according to the applicable Rules of Court. In proceedings against the Crown, the court may "make an order, including an order as to costs, that it may make in any proceedings between persons ..."[1] In Ontario, there is no express provision for the awarding of costs in their applicable statute, however, the same overall result arises by reason of the general language that places the Crown in the same position as other parties with respect to civil procedure.[2] The recently revised Quebec Code of Civil Procedure does not contain a provision explicitly allowing for costs to be awarded against the Crown or general language that places the Crown in the same position as other parties with respect to civil procedure.[3] The costs that are awarded to the Crown will not be reduced due to the Crown being represented by a Crown solicitor or salaried officer.[4]

Given that the applicable statutory provisions put the Crown into the position of any other party in civil litigation when considering costs, the Crown can seek or be subject to costs on a

---

1

Crown Liability and Proceedings Act, R.S.C. 1985, c. C-50, s. 28; *Crown Proceeding Act*, R.S.B.C. 1996, c. 89, s. 11(1); *Proceedings Against the Crown Act*, R.S.A. 2000, c. P-25, s. 16; *The Proceedings Against the Crown Act, 2019*, SS 2019, c. P-27.01, s. 16; *The Proceedings Against the Crown Act*, C.C.S.M., c. P140, s. 14(1); *Proceedings Against the Crown Act*, R.S.N.B. 1973, c. P-18, s. 14; *Proceedings Against the Crown Act*, R.S.N.S. 1989, c. 360, s. 16(1); *Proceedings Against the Crown Act*, R.S.N.L. 1990, c. P-26, s. 14; *Crown Proceedings Act*, R.S.P.E.I. 1988, c. C-32, s. 13(1).

2

Crown Liability and Proceedings Act, 2019, SO 2019, c 7, Sch 17, s.12.

3

Given the language of s. 81 of the revised Code of Civil Procedure, C.Q.L.R. c. C-25.01, art. 81, it is unclear how the courts will interpret this new legislation and whether costs against the Quebec provincial Crown will be obtainable.

4

Crown Liability and Proceedings Act, ~~*Canada - CL&P Act*,~~ R.S.C. 1985, c. C-50, s. 28(2); Beach v. Canada (Deputy Minister of National Revenue (Customs and Percent Excise) (1992), 10 O.R. (3d) 572 ~~5 T.C.T. 4314~~ (Ont. C.A.).

solicitor to client basis in appropriate circumstances.[5] Such awards are appropriate where the party is acting in a high-handed, arbitrary and excessive manner or has alternatively brought on motions that are bound to be futile.[6]

However, the Crown is not a typical litigant and circumstances arise where litigation occurs in the public interest or concerning the *Charter of Rights and Freedoms*, whereby the award of costs by the court will take into account public policy considerations. The courts have recognized that making litigation accessible to ordinary citizens is a legitimate and important public policy objective.[7] Hence, in appropriate cases, the courts will recognize the public nature of the dispute and provide additional costs to the applicants.[8] However, this standard remains demonstrably high, as cases concerning the constitutional validity of legislation may still be insufficient to meet this threshold.[9]

5

R. v. Twinn, [1987] 3 F.C. 227, 12 F.T.R. 130 (T.D.); Lee v. Canada (Chief of Defence Staff, Canadian Armed Forces) (1992), 51 F.T.R. 136, 1992 CarswellNat 717~~, 32 A.C.W.S. (3d) 2~~ (Fed. T.D.).

6

R. v. Twinn, [1987] 3 F.C. 227, 12 F.T.R. 130 (T.D.).

7

Rogers v. Sudbury (Administrator of Ontario Works) (2001), 57 O.R. (3d) 467, 107 A.C.W.S. (3d) 554 (*sub nom.*) Rogers v. Ontario Works for Sudbury (City) (Administrator) (S.C.J.); British Columbia (Minister of Forests) v. Okanagan Indian Band, ~~[2003] 3 S.C.R. 371, 2003 CSC 71,~~ 2003 SCC 71~~, 233 D.L.R. (4th) 577, [2004] 2 W.W.R. 252, 309 W.A.C. 161, 21 B.C.L.R. (4th) 209, 189 B.C.A.C. 161, [2004] 1 C.N.L.R. 7, 114 C.R.R. (2d) 108, 43 C.P.C. (5th) 1, 313 N.R. 84, 2003 CarswellBC 3040, 2003 CarswellBC 3041, [2003] S.C.J. No. 76, 127 A.C.W.S. (3d) 214 (S.C.C.) ("*Okanagan Indian Band - SCC*")~~.

8

Carter v. Canada (Attorney General), ~~[2015] 1 S.C.R. 331, 2015 CSC 5,~~ 2015 SCC 5~~, 384 D.L.R. (4th) 14, [2015] 3 W.W.R. 425, 629 W.A.C. 1, 66 B.C.L.R. (5th) 215, 366 B.C.A.C. 1, 320 C.C.C. (3d) 1, 17 C.R. (7th) 1, 327 C.R.R. (2d) 334, 468 N.R. 1, 2015 CarswellBC 227, 2015 CarswellBC 228, [2015] A.C.S. No. 5, [2015] S.C.J. No. 5, 252 A.C.W.S. (3d) 74, 120 W.C.B. (2d) 561 (S.C.C.) ("*Carter - SCC*")~~; see also Assoc. des parents de l'école Rose-des-vents v. British Columbia (Minister of Education), ~~[2015] 2 S.C.R. 139, 2015 CSC 21,~~ 2015 SCC 21~~, 383 D.L.R. (4th) 191, [2015] 6 W.W.R. 1,~~ (*sub nom.* L'Association des parents de l'école Rose-des-Vents v. Conseil Scolaire Francophone de la Colombie-Britannique), 2015 SCC 21 ~~634 W.A.C. 1, 69 B.C.L.R. (5th) 1, 369 B.C.A.C. 1, 336 C.R.R. (2d) 164, 67 C.P.C. (7th) 1, 470 N.R. 278, 2015 CarswellBC 1019, 2015 CarswellBC 1020, [2015] A.C.S. No. 21, 251 A.C.W.S. (3d) 433 (S.C.C.)~~. See also Broomer v. Ontario (Attorney General) (2004), 187 O.A.C. 192, 1~~21 C.R.R. (2d) 163,~~ 3 C.P.C. (6th) 194 *sub nom.* Broomer (Litigation Guardian of) v. Ontario (Attorney General), 131 A.C.W.S. (3d) 602 (S.C.J. (Div. Ct.)), supp. reasons 188 O.A.C. 199, 132 A.C.W.S. (3d) 229 (S.C.J.).

9

When considering whether it is appropriate to depart from the normal exercise of the court's discretion as to costs, the court will consider several factors including:

(a) the proceeding involves issues the importance of which extends beyond the immediate interests of the parties involved;

(b) the person has no personal, proprietary or pecuniary interest in the outcome of the proceeding, or, if he or she has an interest, it clearly does not justify the proceeding economically;

(c) the issues have not been previously determined by a court in a proceeding against the same defendant;

(d) the defendant has a clearly superior capacity to bear the costs of the proceeding; and

(e) the plaintiff has not engaged in vexatious, frivolous or abusive conduct.[10]

In *Carter v. Canada (Attorney General)*, the Supreme Court of Canada revisited the entitlement to solicitor and client costs of a public interest litigant. The Court rejected the approach adopted by the British Columbia Court of Appeal in *Victoria (City) v. Adams.*[11] *Adams* set out four factors for determining whether to award special costs to a successful public interest litigant: (1) the case concerns matters of public importance that transcend the immediate interests of the parties, and which have not been previously resolved; (2) the plaintiffs have no personal, proprietary or pecuniary interest in the litigation that would justify the proceeding on economic grounds; (3) the unsuccessful parties have a superior capacity to bear the cost of the proceedings; and (4) the plaintiffs did not conduct the litigation in an abusive, vexatious or frivolous manner.

The Court in *Carter* observed that the *Adams* approach set the threshold for special costs too low. Almost all constitutional litigation concerns matters of public importance; the unsuccessful litigant (the Crown) will always have a superior capacity to absorb costs. The threshold needed to be higher.[12]

Reference re Genetic Non-Discrimination Act, 2020 SCC 17~~, 2020 CarswellQue 6809, 2020 CarswellQue 6810, 2020 CSC 17, 2020 C.L.L.C. 230-036, 319 A.C.W.S. (3d) 220, 447 D.L.R. (4th) 359, 463 C.R.R. (2d) 200 (S.C.C.),~~ at para. 273.

10

Victoria (City) v. Adams, 2009 BCCA 563~~, 313 D.L.R. (4th) 29, [2010] 3 W.W.R. 1, 474 W.A.C. 237, 100 B.C.L.R. (4th) 28, 280 B.C.A.C. 237, 203 C.R.R. (2d) 87, 79 C.P.C. (6th) 244, 66 M.P.L.R. (4th) 165, 2009 CarswellBC 3314, [2009] B.C.J. No. 2451, 183 A.C.W.S. (3d) 415 (B.C. C.A.)~~.

11

Victoria (City) v. Adams, 2009 BCCA 563~~, 313 D.L.R. (4th) 29, [2010] 3 W.W.R. 1, 474 W.A.C. 237, 100 B.C.L.R. (4th) 28, 280 B.C.A.C. 237, 203 C.R.R. (2d) 87, 79 C.P.C. (6th) 244, 66 M.P.L.R. (4th) 165, 2009 CarswellBC 3314, [2009] B.C.J. No. 2451, 183 A.C.W.S. (3d) 415 (B.C. C.A.)~~.

12

Carter v. Canada (Attorney General), ~~[2015] 1 S.C.R. 331, 2015 CSC 5,~~ 2015 SCC 5~~, 384 D.L.R. (4th) 14, [2015] 3 W.W.R. 425, 629 W.A.C. 1, 66 B.C.L.R. (5th) 215, 366 B.C.A.C. 1, 320 C.C.C. (3d) 1, 17 C.R. (7th) 1, 327 C.R.R. (2d) 334, 468 N.R. 1, 2015 CarswellBC 227, 2015 CarswellBC 228, [2015] A.C.S. No. 5, [2015] S.C.J. No. 5, 252 A.C.W.S. (3d) 74, 120 W.C.B.~~

As such, the Court based the new test for solicitor and client cost in public interest litigation on *British Columbia (Minister of Forests) v. Okanagan Indian Band*, a case which sets the test for litigants seeking an award of advance costs (a test described in more detail below). Now, according to *Carter*, in order to be entitled to solicitor and client costs, the court must consider two requirements. First, the case must involve matters of public interest that are truly exceptional. It is not enough that the issues raised have not previously been resolved or that they transcend the individual interests of the successful litigant: they must also have a significant and widespread societal impact. Second, in addition to showing that the plaintiffs have no personal, proprietary or pecuniary interest in the litigation that would justify the proceedings on economic grounds, the plaintiffs must show that it would not have been possible to effectively pursue the litigation in question with private funding. Once these criteria are met, the court will have the discretion to depart from the usual rule on costs and award special costs.[13]

Finally, the Court in *Carter* noted that an award of special costs does not give the successful litigant the right to burden the defendant with any and all expenses accrued during the course of the litigation. As cost awards are meant to encourage the reasonable and efficient conduct of litigation only those costs that are shown to be reasonable and prudent will be covered by the award.[14]

The test outlined in *Carter* is meant to prevent a designation as a public interest litigant where the true motivation for the claim is not in the public interest. A merely peripheral benefit to the petitioner is acceptable. Without any personal interest in the litigation, no qualifying plaintiff would be interested in making the relevant arguments.[15]

The court will look at the motives of the parties and the factors involved, and exercise its discretion to do justice in each case. Thus, in appropriate public interests cases, a court may even award an unsuccessful party its costs as special costs where such a result would be appropriate

---

~~(2d) 561 (S.C.C.),~~ at paras. 136-142.

13

Carter v. Canada (Attorney General), ~~[2015] 1 S.C.R. 331, 2015 CSC 5,~~ 2015 SCC 5~~, 384 D.L.R. (4th) 14, [2015] 3 W.W.R. 425, 629 W.A.C. 1, 66 B.C.L.R. (5th) 215, 366 B.C.A.C. 1, 320 C.C.C. (3d) 1, 17 C.R. (7th) 1, 327 C.R.R. (2d) 334, 468 N.R. 1, 2015 CarswellBC 227, 2015 CarswellBC 228, [2015] A.C.S. No. 5, [2015] S.C.J. No. 5, 252 A.C.W.S. (3d) 74, 120 W.C.B. (2d) 561 (S.C.C.)~~.

14

Carter v. Canada (Attorney General), ~~[2015] 1 S.C.R. 331, 2015 CSC 5,~~ 2015 SCC 5~~, 384 D.L.R. (4th) 14, [2015] 3 W.W.R. 425, 629 W.A.C. 1, 66 B.C.L.R. (5th) 215, 366 B.C.A.C. 1, 320 C.C.C. (3d) 1, 17 C.R. (7th) 1, 327 C.R.R. (2d) 334, 468 N.R. 1, 2015 CarswellBC 227, 2015 CarswellBC 228, [2015] A.C.S. No. 5, [2015] S.C.J. No. 5, 252 A.C.W.S. (3d) 74, 120 W.C.B. (2d) 561 (S.C.C.)~~.

15

Loke v. British Columbia (Minister of Advanced Education), 2015 BCSC 413~~, 332 C.R.R. (2d) 237, 2015 CarswellBC 697, 252 A.C.W.S. (3d) 634 (B.C. S.C.),~~ at para. 83.

given the public interest nature of the litigation.[16] Orders that an unsuccessful appellant be granted costs will be extraordinarily rare. Such an order will not be made simply because it is perceived to be in the public interest that jurisprudence develop in a particular area of law. It must, at the very least, be shown that the development of jurisprudence in the area is of critical public importance. In other cases, a court may decide in its discretion to have either party, including the Crown, bear their own costs.[17]

Interest on unsatisfied judgments is payable by statute in most Canadian jurisdictions. They state:

> A judgment debt due to or from the government bears interest in the same way as a judgment debt due from one person to another.[18]

2. Advance Costs

16

Barclay (Guardian ad litem of) v. British Columbia, 2005 BCSC 640, ~~46 B.C.L.R. (4th) 180, 12 C.P.C. (6th) 183, 2005 CarswellBC 1027, [2005] B.C.J. No. 979, 138 A.C.W.S. (3d) 1036 (B.C. S.C. [In Chambers])~~, reversed 2006 BCCA 434, (*sub nom.* Barclay v. British Columbia) ~~381 W.A.C. 98, 57 B.C.L.R. (4th) 63, 231 B.C.A.C. 98, 146 C.R.R. (2d) 347, 31 C.P.C. (6th) 219, 2006 CarswellBC 2416, 153 A.C.W.S. (3d) 811, 71 W.C.B. (2d) 319 (B.C. C.A.)~~. See also British Columbia (Minister of Forests) v. Okanagan Indian Band, [2003] ~~3 S.C.R. 371, 2003 CSC 71,~~ 2003 SCC 71, ~~233 D.L.R. (4th) 577, [2004] 2 W.W.R. 252, 309 W.A.C. 161, 21 B.C.L.R. (4th) 209, 189 B.C.A.C. 161, [2004] 1 C.N.L.R. 7, 114 C.R.R. (2d) 108, 43 C.P.C. (5th) 1, 313 N.R. 84, 2003 CarswellBC 3040, 2003 CarswellBC 3041, [2003] S.C.J. No. 76, 127 A.C.W.S. (3d) 214 (S.C.C.),~~ at para. 39.

17

Xeni Gwet'in First Nations v. British Columbia, 2013 BCCA 1~~, [2013] 3 W.W.R. 79, (*sub nom.* William v. British Columbia) 571 W.A.C. 85, 38 B.C.L.R. (5th) 124, 333 B.C.A.C. 78, 33 C.P.C. (7th) 235, 2013 CarswellBC 1, 225 A.C.W.S. (3d) 49 (B.C. C.A.) ("*Xeni Gwet'in - Final Order*")~~; Carter v. Canada (Attorney General), 2013 BCCA 435, ~~365 D.L.R. (4th) 351, [2014] 1 W.W.R. 211, 589 W.A.C. 232, 51 B.C.L.R. (5th) 213, 345 B.C.A.C. 232, 302 C.C.C. (3d) 26, 293 C.R.R. (2d) 109, 2013 CarswellBC 3051, [2013] B.C.J. No. 2227, 244 A.C.W.S. (3d) 600, 109 W.C.B. (2d) 451 (B.C. C.A.),~~ reversed ~~[2015] 1 S.C.R. 331, 2015 CSC 5,~~ 2015 SCC 5~~, 384 D.L.R. (4th) 14, [2015] 3 W.W.R. 425, 629 W.A.C. 1, 66 B.C.L.R. (5th) 215, 366 B.C.A.C. 1, 320 C.C.C. (3d) 1, 17 C.R. (7th) 1, 327 C.R.R. (2d) 334, 468 N.R. 1, 2015 CarswellBC 227, 2015 CarswellBC 228, [2015] A.C.S. No. 5, [2015] S.C.J. No. 5, 252 A.C.W.S. (3d) 74, 120 W.C.B. (2d) 561 (S.C.C.)~~; see also British Columbia (Attorney General) v. Trial Lawyers Association of British Columbia, 2022 BCCA 354~~, [2023] 8 W.W.R. 22, 2022 A.C.W.S. 4403, 2022 CarswellBC 2950, 31 C.C.L.I. (6th) 223 (B.C. C.A.),~~ at paras. 6 and 18.

18

Crown Liability and Proceedings Act, R.S.C. 1985, c. C-50, ss. 31 and 31.1; *Crown Proceeding Act*, R.S.B.C. 1996, c. 89, s. 12; *Proceedings Against the Crown Act*, R.S.A. 2000, c. P-25, s. 23; *The Proceedings Against the Crown Act, 2019*, SS 2019, c P-27.01, s. 21; *The Proceedings Against the Crown Act*, C.C.S.M., c. P140, s. 15; *Crown Liability and Proceedings Act, 2019*, SO 2019, c 7, Sch 1, s.26; *Proceedings Against the Crown Act*, R.S.N.B. 1973, c. P-18, s. 16; *Proceedings Against the Crown Act*, R.S.N.S. 1989, c. 360, s. 19; *Crown Proceedings Act*, R.S.P.E.I. 1988, c. C-32, s. 16; *Proceedings Against the Crown Act*, R.S.N.L. 1990, c. P-26, s. 22.

13:30. Introduction

The growing concern about access to justice has caused courts in Canada to become increasingly open to creative methods of ensuring that litigants can have potentially meritorious matters properly adjudicated. In order to ensure such matters can proceed, the court may order, in appropriate circumstances, that a Crown defendant assist a plaintiff by partially or wholly funding the cost of the litigation for that plaintiff. Such an order for advance costs arises from the inherent equitable jurisdiction of a superior court to award costs. In order to qualify for such a funding order, the plaintiff must meet three absolute requirements:

1. the parties seeking the order genuinely cannot afford the litigation and the litigation would be unable to proceed without the order;
2. the parties seeking the order "must establish a *prima facie* case of sufficient merit to warrant pursuit"; and
3. "there must be special circumstances sufficient to satisfy the court that the case is within the narrow class of cases where this extraordinary exercise of its powers is appropriate".[1]

The special circumstances that must exist in order to qualify for such funding include that the case raises issues of "broad social significance" that are of public importance and have not been resolved in previous cases.[2] However, such an order is discretionary, and even where these criteria are met there is no "right" to a funding order.[3] Orders for advance costs should only be

---

1

British Columbia (Minister of Forests) v. Okanagan Indian Band, ~~[2003] 3 S.C.R. 371, 2003 CSC 71,~~ 2003 SCC 71~~, 233 D.L.R. (4th) 577, [2004] 2 W.W.R. 252, 309 W.A.C. 161, 21 B.C.L.R. (4th) 209, 189 B.C.A.C. 161, [2004] 1 C.N.L.R. 7, 114 C.R.R. (2d) 108, 43 C.P.C. (5th) 1, 313 N.R. 84, 2003 CarswellBC 3040, 2003 CarswellBC 3041, [2003] S.C.J. No. 76, 127 A.C.W.S. (3d) 214 (S.C.C.),~~ at para. 40; Little Sisters Book & Art Emporium v. Canada (Commissioner of Customs & Revenue Agency), 2007 SCC 2~~, 2007 CarswellBC 79, 2007 CarswellBC 78, 53 Admin. L.R. (4th) 153, 62 B.C.L.R. (4th) 40, 215 C.C.C. (3d) 449, 37 C.P.C. (6th) 1, 275 D.L.R. (4th) 1, (*sub nom.* Little Sisters Book & Art Emporium v. Minister of National Revenue) 235 B.C.A.C. 1, 150 C.R.R. (2d) 189, (*sub nom.* Little Sisters Book and Art Emporium v. Minister of National Revenue) 356 N.R. 83, (*sub nom.* Little Sisters Book & Art Emporium v. Canada) [2007] 1 S.C.R. 38, 388 W.A.C. 1, [2007] S.C.J. No. 2 (S.C.C.), at para. 36 ("*Little Sisters – SCC*")~~.

2

British Columbia (Minister of Forests) v. Okanagan Indian Band, ~~[2003] 3 S.C.R. 371, 2003 CSC 71,~~ 2003 SCC 71~~, 233 D.L.R. (4th) 577, [2004] 2 W.W.R. 252, 309 W.A.C. 161, 21 B.C.L.R. (4th) 209, 189 B.C.A.C. 161, [2004] 1 C.N.L.R. 7, 114 C.R.R. (2d) 108, 43 C.P.C. (5th) 1, 313 N.R. 84, 2003 CarswellBC 3040, 2003 CarswellBC 3041, [2003] S.C.J. No. 76, 127 A.C.W.S. (3d) 214 (S.C.C.),~~ at paras. 38 and 40.

3

R. ~~v~~v. Caron, ~~[2011] 1 S.C.R. 78,~~ 2011 SCC 5~~, (*sub nom.* R. v. Caron) 329 D.L.R. (4th) 50, [2011] 4 W.W.R. 1, 514 W.A.C. 309, 37 Alta. L.R. (5th) 19, 499 A.R. 309, 14 Admin. L.R. (5th) 30, 264 C.C.C. (3d) 320, 97 C.P.C. (6th) 205, (*sub nom.* R. v. Caron) 411 N.R. 89, 2011 CarswellAlta 81, 2011 CarswellAlta 82, [2011] S.C.J. No. 5, 93 W.C.B. (2d) 265 (S.C.C.) ("*Caron – SCC*")~~.

exercised in “rare and exceptional circumstances” and should be subject to “stringent conditions” and “appropriate procedural controls”.[4] Such funding must be sought from a Superior Court as a provincial court judge lacks the jurisdiction to grant such orders.[5]

While the above principles arose in the context of aboriginal land title litigation, the general principles concerning advance costs orders may arise whenever there are special circumstances in cases of public importance. In any case of public importance, if the three conditions are established, the courts may order that the impecunious party's costs be paid prospectively:

> “In the context of public interest litigation judges must be particularly sensitive to the position of private litigants who may, in some ways, be caught in the cross fire of disputes which, essentially, involve the relationship between the claimants and certain public authorities, or the effect of laws of general application. Within these parameters, it is a matter of the trial court's discretion to determine whether the case is such that the interests of justice would be best served by making the order.”[6]

Further, such costs are available with respect to quasi-criminal proceedings when the real issue is not the guilt or innocence of the accused but rather a constitutional question of public importance and where essential to enable the court to “administer justice fully and effectively”.[7]

An award of advanced costs cannot be made to a plaintiff advancing a *Charter* challenge on the basis of hypothetical or imagined facts. The hypothetical litigation cannot meet the requirements of exceptionality and special circumstances to justify an order for advance costs.[8]

4

British Columbia (Minister of Forests) v. Okanagan Indian Band, ~~[2003] 3 S.C.R. 371,~~ 2003 SCC 71~~, 2003 SCC 71, 233 D.L.R. (4th) 577, [2004] 2 W.W.R. 252, 309 W.A.C. 161, 21 B.C.L.R. (4th) 209, 189 B.C.A.C. 161, [2004] 1 C.N.L.R. 7, 114 C.R.R. (2d) 108, 43 C.P.C. (5th) 1, 313 N.R. 84, 2003 CarswellBC 3040, 2003 CarswellBC 3041, [2003] S.C.J. No. 76, 127 A.C.W.S. (3d) 214 (S.C.C.),~~ at para. 1.

5

R. c. Caron, 2007 ABQB 262~~, 75 Alta. L.R. (4th) 287, 413 A.R. 146, 2007 CarswellAlta 522, 2007 CarswellAlta 523, [2007] A.J. No. 449, 73 W.C.B. (2d) 185 (Alta. Q.B.)~~.

6

Canada (Minister of Citizenship & Immigration) v. Seifert, ~~2004 CAF 343,~~ 2004 FCA 343, ~~42 Imm. L.R. (3d) 1, [2005] 2 F.C.R. 146, 327 N.R. 374, 2004 CarswellNat 5294, 2004 CarswellNat 3643, [2004] F.C.J. No. 1682, 134 A.C.W.S. (3d) 552 (F.C.A.)~~ at para. 25, leave to appeal refused [2005] 1 S.C.R. xv, ~~343 N.R. 192 (note),~~ 2005 CarswellNat 947, 2005 CarswellNat 948 (S.C.C.).

7

R. ~~v~~e. Caron, ~~[2011] 1 S.C.R. 78,~~ 2011 SCC 5~~, (*sub nom.* R. v. Caron) 329 D.L.R. (4th) 50, [2011] 4 W.W.R. 1, 514 W.A.C. 309, 37 Alta. L.R. (5th) 19, 499 A.R. 309, 14 Admin. L.R. (5th) 30, 264 C.C.C. (3d) 320, 97 C.P.C. (6th) 205, (*sub nom.* R. v. Caron) 411 N.R. 89, 2011 CarswellAlta 81, 2011 CarswellAlta 82, [2011] S.C.J. No. 5, 93 W.C.B. (2d) 265 (S.C.C.)~~.

8

Dish Network L.L.C. v. Rex, 2012 BCCA~~ 161, 350 D.L.R. (4th) 213, 542 W.A.C. 233, 32 B.C.L.R. (5th) 140, 319 B.C.A.C. 233, 257 C.R.R. (2d) 252, 19 C.P.C. (7th) 249, 2012 CarswellBC 1076 (B.C. C.A.)~~, leave to appeal refused (2012), 445 N.R. 399 (note), 2012

13:31. Conditions-- Genuinely Cannot Afford the Litigation

The first condition the plaintiff must establish to obtain an order for advanced costs is that it genuinely cannot afford the litigation. The litigant must be able to establish that there will be significant legal expense and tender sufficient evidence to enable the court to conclude that the plaintiff will not be able to proceed with the litigation because of its cost.[1] The plaintiff must establish that no other realistic option exists for bringing the issues to trial.[2] This does not require that the plaintiff must be destitute, but they must demonstrate that they "cannot meet the necessities of life and also fund the litigation.[3] Additionally, the court will consider whether the principal claim is for declaratory relief leading to a result whereby, even if the plaintiff succeeds, it is unlikely that there will be a fund of money available for the payment of legal fees pursuant to a contingency fee agreement.[4] However, if the applicants fail to explain their financial status,

---

CarswellBC 3746, 2012 CarswellBC 3747, [2012] S.C.C.A. No. 269 (S.C.C.).

1

Ochapowace Indian Band v. Saskatchewan (Minister of Justice), 2004 SKQB 486, 258 Sask. R. 150, [2005] 1 C.N.L.R. 191, 126 C.R.R. (2d) 168, [2007] G.S.T.C. 114, 2004 CarswellSask 862, [2004] S.J. No. 801, 65 W.C.B. (2d) 6 (Sask. Q.B.), affirmed 2007 SKCA 88, [2007] 9 W.W.R. 226, 413 W.A.C. 228, 304 Sask. R. 228, [2007] G.S.T.C. 115, 2007 CarswellSask 485, 75 W.C.B. (2d) 247 (Sask. C.A.), leave to appeal refused (2008), 451 W.A.C. 319*n*, 324 Sask. R. 319*n*, [2008] G.S.T.C. 40, 385 N.R. 395 (note), 2008 CarswellSask 98, 2008 CarswellSask 99, [2007] S.C.C.A. No. 533 (S.C.C.) ("*Ochapowace Indian Band*").

2

Little Sisters Book & Art Emporium v. Canada (Commissioner of Customs & Revenue Agency), 2007 SCC 2, 2007 CarswellBC 79, 2007 CarswellBC 78, 53 Admin. L.R. (4th) 153, 62 B.C.L.R. (4th) 40, 215 C.C.C. (3d) 449, 37 C.P.C. (6th) 1, 275 D.L.R. (4th) 1, (*sub nom.* Little Sisters Book & Art Emporium v. Minister of National Revenue) 235 B.C.A.C. 1, 150 C.R.R. (2d) 189, (*sub nom.* Little Sisters Book and Art Emporium v. Minister of National Revenue) 356 N.R. 83, (*sub nom.* Little Sisters Book & Art Emporium v. Canada) [2007] 1 S.C.R. 38, 388 W.A.C. 1, [2007] S.C.J. No. 2 (S.C.C.), at para. 37.

3

Anderson v. Alberta (Attorney General), 2020 ABCA 238, 2020 CarswellAlta 1082, [2020] A.W.L.D. 2297, [2020] A.W.L.D. 2301, 319 A.C.W.S. (3d) 203, 448 D.L.R. (4th) 555 (Alta. C.A.) at para. 25, reversed 2022 SCC 6, [2022] A.W.L.D. 1309, 466 D.L.R. (4th) 391 (S.C.C.).

4

Xeni Gwet'in First Nations v. British Columbia, 2004 BCSC 610, (*sub nom.* Xeni Gwet'in First Nations Government v. Riverside Forest Products Ltd.) 240 D.L.R. (4th) 547, [2004] 3 C.N.L.R. 356, 2004 CarswellBC 1040, [2004] B.C.J. No. 937, 131 A.C.W.S. (3d) 818 (B.C. S.C.), at para. 22, additional reasons 2004 BCSC 964, 30 B.C.L.R. (4th) 382, [2004] 4 C.N.L.R. 360, 2 C.P.C. (6th) 193, 2004 CarswellBC 1743, [2004] B.C.J. No. 1552, 133 A.C.W.S. (3d) 422 (B.C. S.C.) ("*Xeni Gwet'in First Nations - Funding Order*"). It should be noted that this decision was overturned by the British Columbia Court of Appeal in Xeni Gwet'in First Nations v. British Columbia, 2006 BCCA 2, [2006] 4 W.W.R. 48, (*sub nom.* William v. British Columbia) 364

provide up-to-date financial information and do not provide an estimate of the legal expense, then an award of advance cost is inappropriate.[5]

In choosing whether to exercise their discretion to award advanced costs, courts are reluctant to force the First Nation to choose between attempting to provide for the basic necessities of life that most citizens take for granted, and pursuing litigation.[6] The Supreme Court of Canada in *Anderson v. Alberta*[7] recently clarified that:

> a First Nation government that has access to resources may meet the impecuniosity requirement if it demonstrates that it requires such resources to meet its pressing needs. While the impecuniosity requirement is guided by the condition of necessity, pressing needs are not defined by the bare necessities of life. Rather, and in keeping with the imperative of reconciliation, they ought to be understood from the perspective of that First Nation government. A court may therefore consider the broader context in which a First Nation government sets priorities and makes financial decisions, accounting for competing spending commitments, restrictions on the uses of its resources, and fiduciary and good governance obligations. It follows that, in appropriate cases, a First Nation government may succeed in demonstrating impecuniosity despite having access to resources whose value equals or exceeds its litigation costs.[8]

However, the Court concluded that "the threshold of impecuniosity remains high and is not easily met" and a court's analysis "must be firmly grounded in the evidence."[9] In undertaking

---

~~W.A.C. 48, 48 B.C.L.R. (4th) 205, 221 B.C.A.C. 48, [2006] 2 C.N.L.R. 336, 2006 CarswellBC 2, [2006] B.C.J. No. 2, 146 A.C.W.S. (3d) 28 (B.C. C.A.) ("*Xeni Gwet'in First Nations – Funding Order - CA*")~~, as to the amount of the advanced costs that ought to be ordered. At the Supreme Court, the advanced costs were varied from 50% of advanced costs to 100% of advanced costs. The Court of Appeal returned the advanced costs to 50% of advanced costs.

5

Ochapowace Indian Band v. Saskatchewan (Minister of Justice), 2004 SKQB 486~~, 258 Sask. R. 150, [2005] 1 C.N.L.R. 191, 126 C.R.R. (2d) 168, [2007] G.S.T.C. 114, 2004 CarswellSask 862, [2004] S.J. No. 801, 65 W.C.B. (2d) 6 (Sask. Q.B.), affirmed 2007 SKCA 88, [2007] 9 W.W.R. 226, 413 W.A.C. 228, 304 Sask. R. 228, [2007] G.S.T.C. 115, 2007 CarswellSask 485, 75 W.C.B. (2d) 247 (Sask. C.A.)~~, leave to appeal refused (2008), 451 W.A.C. 319*n*~~, 324 Sask. R. 319*n*, [2008] G.S.T.C. 40, 385 N.R. 395 (note),~~ 2008 CarswellSask 98, 2008 CarswellSask 99, ~~[2007] S.C.C.A. No. 533 (S.C.C.)~~.

6

Anderson v. Alberta (Attorney General), 2019 ABQB 746~~, 2019 CarswellAlta 2059, 310 A.C.W.S. (3d) 704, [2019] A.W.L.D. 3854 (Alta. Q.B.)~~, reversed 2020 ABCA 238~~, 2020 CarswellAlta 1082, 319 A.C.W.S. (3d) 203 (Alta. C.A.),~~ at para. 66.

7

Anderson v. Alberta, 2022 SCC 6~~, [2022] A.W.L.D. 1309, 466 D.L.R. (4th) 391,~~ at paras. 4 and 5 ~~("*Anderson*")~~.

8

Anderson v. Alberta, 2022 SCC 6~~, [2022] A.W.L.D. 1309, 466 D.L.R. (4th) 391,~~ at para. 4.

9

Anderson v. Alberta, 2022 SCC 6~~, [2022] A.W.L.D. 1309, 466 D.L.R. (4th) 391,~~ at para. 5.

the inquiry, "[t]he court must be able to (1) identify the applicant's pressing needs; (2) determine what resources are required to meet those needs; (3) assess the applicant's financial resources; and (4) identify the estimated costs of funding the litigation.[10]

Where a contingency fee agreement is present and the eventual return to the law firm could be substantial, there is no basis for an order of advance costs.[11] Similarly, where there is a claim for monetary damages by a private litigant, an advance costs award should not be granted because "public money should not be spent on a matter that could result in a significant award in favour of a claimant".[12]

13:32. Conditions-- Prima Facie Meritorious

A determination of whether a case is *prima facie* meritorious has a "low standard of

---

10

Anderson v. Alberta, 2022 SCC 6~~, [2022] A.W.L.D. 1309, 466 D.L.R. (4th) 391,~~ at para. 5.

11

Rumley v. British Columbia, 2002 BCSC 1100~~, 4 B.C.L.R. (4th) 132, 22 C.P.C. (5th) 92, 2002 CarswellBC 1940, [2002] B.C.J. No. 1719, 115 A.C.W.S. (3d) 207 (B.C. S.C. [In Chambers]),~~ at paras. 11-12 ("*Rumley*").

12

Little Sisters Book & Art Emporium v. Canada (Commissioner of Customs & Revenue Agency), 2005 BCCA 94, ~~249 D.L.R. (4th) 695, (*sub nom.* Little Sisters Book & Art Emporium v. Minister of National Revenue) 208 B.C.A.C. 246, 127 C.R.R. (2d) 165, 344 W.A.C. 246, [2005] B.C.J. No. 291 (B.C. C.A.),~~ affirmed 2007 SCC 2~~, 2007 CarswellBC 79, 2007 CarswellBC 78, 53 Admin. L.R. (4th) 153, 62 B.C.L.R. (4th) 40, 215 C.C.C. (3d) 449, 37 C.P.C. (6th) 1, 275 D.L.R. (4th) 1, (*sub nom.* Little Sisters Book & Art Emporium v. Minister of National Revenue) 235 B.C.A.C. 1, 150 C.R.R. (2d) 189, (*sub nom.* Little Sisters Book and Art Emporium v. Minister of National Revenue) 356 N.R. 83, (*sub nom.* Little Sisters Book & Art Emporium v. Canada) [2007] 1 S.C.R. 38, 388 W.A.C. 1, [2007] S.C.J. No. 2 (S.C.C.),~~ at para. 62; *British Columbia (Minister of Forests) v. Okanagan Indian Band*, ~~[2003] 3 S.C.R. 371, 2003 CSC 71,~~ 2003 SCC 71~~, 233 D.L.R. (4th) 577, [2004] 2 W.W.R. 252, 309 W.A.C. 161, 21 B.C.L.R. (4th) 209, 189 B.C.A.C. 161, [2004] 1 C.N.L.R. 7, 114 C.R.R. (2d) 108, 43 C.P.C. (5th) 1, 313 N.R. 84, 2003 CarswellBC 3040, 2003 CarswellBC 3041, [2003] S.C.J. No. 76, 127 A.C.W.S. (3d) 214 (S.C.C.)~~.

proof".[1] The case must attain a status of being beyond "merely frivolous".[2]

The court will look at a number of factors, including whether the issues between the parties are novel, and including both the claims that are being brought by the parties and the defences being raised.[3] After looking at all the factors, this test has been met if a court can conclude that the claim is "at least of sufficient merit that it is contrary to the interests of justice for the opportunity to pursue the case to be forfeited just because the litigant lacks financial means".[4]

13:33. Conditions-- Special Circumstances

The determination of what special circumstances arise is a crucial element in the

---

1

Little Sisters Book & Art Emporium v. Canada (Commissioner of Customs & Revenue Agency), 2005 BCCA 94, 249 D.L.R. (4th) 695, (*sub nom.* Little Sisters Book & Art Emporium v. Minister of National Revenue) 208 B.C.A.C. 246, 127 C.R.R. (2d) 165, 344 W.A.C. 246, [2005] B.C.J. No. 291 (B.C. C.A.), affirmed 2007 SCC 2, 2007 CarswellBC 79, 2007 CarswellBC 78, 53 Admin. L.R. (4th) 153, 62 B.C.L.R. (4th) 40, 215 C.C.C. (3d) 449, 37 C.P.C. (6th) 1, 275 D.L.R. (4th) 1, (*sub nom.* Little Sisters Book & Art Emporium v. Minister of National Revenue) 235 B.C.A.C. 1, 150 C.R.R. (2d) 189, (*sub nom.* Little Sisters Book and Art Emporium v. Minister of National Revenue) 356 N.R. 83, (*sub nom.* Little Sisters Book & Art Emporium v. Canada) [2007] 1 S.C.R. 38, 388 W.A.C. 1, [2007] S.C.J. No. 2 (S.C.C.), at para. 28.

2

Little Sisters Book & Art Emporium v. Canada (Commissioner of Customs & Revenue Agency), 2005 BCCA 94, 249 D.L.R. (4th) 695, (*sub nom.* Little Sisters Book & Art Emporium v. Minister of National Revenue) 208 B.C.A.C. 246, 127 C.R.R. (2d) 165, 344 W.A.C. 246, [2005] B.C.J. No. 291 (B.C. C.A.), affirmed 2007 SCC 2, 2007 CarswellBC 79, 2007 CarswellBC 78, 53 Admin. L.R. (4th) 153, 62 B.C.L.R. (4th) 40, 215 C.C.C. (3d) 449, 37 C.P.C. (6th) 1, 275 D.L.R. (4th) 1, (*sub nom.* Little Sisters Book & Art Emporium v. Minister of National Revenue) 235 B.C.A.C. 1, 150 C.R.R. (2d) 189, (*sub nom.* Little Sisters Book and Art Emporium v. Minister of National Revenue) 356 N.R. 83, (*sub nom.* Little Sisters Book & Art Emporium v. Canada) [2007] 1 S.C.R. 38, 388 W.A.C. 1, [2007] S.C.J. No. 2 (S.C.C.).

3

Xeni Gwet'in First Nations v. British Columbia, 2004 BCSC 610, (*sub nom.* Xeni Gwet'in First Nations Government v. Riverside Forest Products Ltd.) 240 D.L.R. (4th) 547, [2004] 3 C.N.L.R. 356, 2004 CarswellBC 1040, [2004] B.C.J. No. 937, 131 A.C.W.S. (3d) 818 (B.C. S.C.), at para. 33, additional reasons 2004 BCSC 964, 30 B.C.L.R. (4th) 382, [2004] 4 C.N.L.R. 360, 2 C.P.C. (6th) 193, 2004 CarswellBC 1743, [2004] B.C.J. No. 1552, 133 A.C.W.S. (3d) 422 (B.C. S.C.).

4

Xeni Gwet'in First Nations v. British Columbia, 2004 BCSC 610, (*sub nom.* Xeni Gwet'in First Nations Government v. Riverside Forest Products Ltd.) 240 D.L.R. (4th) 547, [2004] 3 C.N.L.R. 356, 2004 CarswellBC 1040, [2004] B.C.J. No. 937, 131 A.C.W.S. (3d) 818 (B.C. S.C.), at para. 35, additional reasons 2004 BCSC 964, 30 B.C.L.R. (4th) 382, [2004] 4 C.N.L.R. 360, 2 C.P.C. (6th) 193, 2004 CarswellBC 1743, [2004] B.C.J. No. 1552, 133 A.C.W.S. (3d) 422 (B.C. S.C.).

determination of whether an advance costs award should be granted, as it is the general public importance that raises the question of public funding in the first place. The court must ask itself what is "rare and exceptional" about this case that warrants public funding and how will this case advance the jurisprudence.[1] In *Xeni Gwet'in First Nations Government v. Riverside Forest Products Ltd.*,[2] a claim was being made concerning aboriginal title and the ability of the province to licence logging land where aboriginal title was claimed. The court held that this was a rare and exceptional case calling for an award of advance costs because it calls into question the province's forestry legislation seeking a declaration that this legislative scheme did not apply to land where there is an aboriginal title claim.[3] The case had general public importance because the determination of the issue would provide guidance and direction to the provincial officials and administrative decision-makers.[4] The British Columbia Court of Appeal, when considering this issue in the *Little Sisters Book & Art Emporium v. Canada (Commissioner of Customs & Revenue)* concerning Commissioner of Customs and Revenue prohibiting the importation of erotic books into Canada, commented on the lack of evidence from the various communities that might be affected by the ruling to determine whether or not there was general importance. The

---

1

Xeni Gwet'in First Nations v. British Columbia, 2004 BCSC 610, (*sub nom.* Xeni Gwet'in First Nations Government v. Riverside Forest Products Ltd.) 240 D.L.R. (4th) 547, [2004] 3 C.N.L.R. 356, 2004 CarswellBC 1040, [2004] B.C.J. No. 937, 131 A.C.W.S. (3d) 818 (B.C. S.C.), at para. 22, additional reasons 2004 BCSC 964, 30 B.C.L.R. (4th) 382, [2004] 4 C.N.L.R. 360, 2 C.P.C. (6th) 193, 2004 CarswellBC 1743, [2004] B.C.J. No. 1552, 133 A.C.W.S. (3d) 422 (B.C. S.C.), at para. 36.

2

Xeni Gwet'in First Nations v. British Columbia, 2004 BCSC 610, (*sub nom.* Xeni Gwet'in First Nations Government v. Riverside Forest Products Ltd.) 240 D.L.R. (4th) 547, [2004] 3 C.N.L.R. 356, 2004 CarswellBC 1040, [2004] B.C.J. No. 937, 131 A.C.W.S. (3d) 818 (B.C. S.C.), additional reasons 2004 BCSC 964, 30 B.C.L.R. (4th) 382, [2004] 4 C.N.L.R. 360, 2 C.P.C. (6th) 193, 2004 CarswellBC 1743, [2004] B.C.J. No. 1552, 133 A.C.W.S. (3d) 422 (B.C. S.C.).

3

Xeni Gwet'in First Nations v. British Columbia, 2004 BCSC 610, (*sub nom.* Xeni Gwet'in First Nations Government v. Riverside Forest Products Ltd.) 240 D.L.R. (4th) 547, [2004] 3 C.N.L.R. 356, 2004 CarswellBC 1040, [2004] B.C.J. No. 937, 131 A.C.W.S. (3d) 818 (B.C. S.C.), additional reasons 2004 BCSC 964, 30 B.C.L.R. (4th) 382, [2004] 4 C.N.L.R. 360, 2 C.P.C. (6th) 193, 2004 CarswellBC 1743, [2004] B.C.J. No. 1552, 133 A.C.W.S. (3d) 422 (B.C. S.C.).

4

Xeni Gwet'in First Nations v. British Columbia, 2004 BCSC 610, (*sub nom.* Xeni Gwet'in First Nations Government v. Riverside Forest Products Ltd.) 240 D.L.R. (4th) 547, [2004] 3 C.N.L.R. 356, 2004 CarswellBC 1040, [2004] B.C.J. No. 937, 131 A.C.W.S. (3d) 818 (B.C. S.C.), additional reasons 2004 BCSC 964, 30 B.C.L.R. (4th) 382, [2004] 4 C.N.L.R. 360, 2 C.P.C. (6th) 193, 2004 CarswellBC 1743, [2004] B.C.J. No. 1552, 133 A.C.W.S. (3d) 422 (B.C. S.C.), at para. 47.

court noted that:

> The evidence does not indicate that the public in general, to say nothing of the gay and lesbian communities or the writers, publishers, distributors or retailers of erotic literature, view this case as of such "importance" that they will undertake financing. This is but one factor in "public interest" but it is an objective measure and comes from the evidence.[5]

The court went on to note that it was not sufficient to suggest that those communities that would be potentially affected by the decision had other priorities for their funds as the public purse also had other priorities as well.[6]

The majority of the Supreme Court of Canada upheld the British Columbia Court of Appeal's decision and further refined the "rare and exceptional" circumstances that would warrant the advanced cost award.[7] The Supreme Court of Canada held that this was a subjective test, however, the standard was a high one to determine whether or not the case was "special enough" to warrant the award of advanced costs.[8] In order to make this determination, it is

---

5

Little Sisters Book & Art Emporium v. Canada (Commissioner of Customs & Revenue Agency), 2005 BCCA 94, 249 D.L.R. (4th) 695, (*sub nom.* Little Sisters Book & Art Emporium v. Minister of National Revenue) 208 B.C.A.C. 246, 127 C.R.R. (2d) 165, 344 W.A.C. 246, [2005] B.C.J. No. 291 (B.C. C.A.), affirmed 2007 SCC 2, 2007 CarswellBC 79, 2007 CarswellBC 78, 53 Admin. L.R. (4th) 153, 62 B.C.L.R. (4th) 40, 215 C.C.C. (3d) 449, 37 C.P.C. (6th) 1, 275 D.L.R. (4th) 1, (*sub nom.* Little Sisters Book & Art Emporium v. Minister of National Revenue) 235 B.C.A.C. 1, 150 C.R.R. (2d) 189, (*sub nom.* Little Sisters Book and Art Emporium v. Minister of National Revenue) 356 N.R. 83, (*sub nom.* Little Sisters Book & Art Emporium v. Canada) [2007] 1 S.C.R. 38, 388 W.A.C. 1, [2007] S.C.J. No. 2 (S.C.C.), at para. 63.

6

Little Sisters Book & Art Emporium v. Canada (Commissioner of Customs & Revenue Agency), 2005 BCCA 94, 249 D.L.R. (4th) 695, (*sub nom.* Little Sisters Book & Art Emporium v. Minister of National Revenue) 208 B.C.A.C. 246, 127 C.R.R. (2d) 165, 344 W.A.C. 246, [2005] B.C.J. No. 291 (B.C. C.A.), affirmed 2007 SCC 2, 2007 CarswellBC 79, 2007 CarswellBC 78, 53 Admin. L.R. (4th) 153, 62 B.C.L.R. (4th) 40, 215 C.C.C. (3d) 449, 37 C.P.C. (6th) 1, 275 D.L.R. (4th) 1, (*sub nom.* Little Sisters Book & Art Emporium v. Minister of National Revenue) 235 B.C.A.C. 1, 150 C.R.R. (2d) 189, (*sub nom.* Little Sisters Book and Art Emporium v. Minister of National Revenue) 356 N.R. 83, (*sub nom.* Little Sisters Book & Art Emporium v. Canada) [2007] 1 S.C.R. 38, 388 W.A.C. 1, [2007] S.C.J. No. 2 (S.C.C.).

7

Little Sisters Book & Art Emporium v. Canada (Commissioner of Customs & Revenue Agency), 2007 SCC 2, 2007 CarswellBC 79, 2007 CarswellBC 78, 53 Admin. L.R. (4th) 153, 62 B.C.L.R. (4th) 40, 215 C.C.C. (3d) 449, 37 C.P.C. (6th) 1, 275 D.L.R. (4th) 1, (*sub nom.* Little Sisters Book & Art Emporium v. Minister of National Revenue) 235 B.C.A.C. 1, 150 C.R.R. (2d) 189, (*sub nom.* Little Sisters Book and Art Emporium v. Minister of National Revenue) 356 N.R. 83, (*sub nom.* Little Sisters Book & Art Emporium v. Canada) [2007] 1 S.C.R. 38, 388 W.A.C. 1, [2007] S.C.J. No. 2 (S.C.C.).

8

All members of the court agreed with the high standard necessary to be met for the award of advanced costs. However, the minority dissent held that in the particular circumstances of the case, where there had been findings of serious abuses on the part of Customs authorities in

necessary to analyze the circumstances of the case to determine whether they were exceptional and to consider:[9]

> (1) whether an injustice would arise if the application is not granted and such injustice must relate to both the individual applicant and to the public at large.
>
> (2) whether the award of advanced costs would be in the interest of justice, and
>
> (3) that an injustice would arise if the matter at issue could not be settled or the public interest could not be satisfied without an advanced costs award.

The Supreme Court of Canada stressed that advanced cost orders are appropriate only as a last resort and in circumstances where the applicant was able to demonstrate that it must make all reasonable attempts to obtain private funding through fundraising campaigns, loan applications, contingency fee agreements or any other available options. It is only if such options are unavailable that an advanced cost award should be granted as a last resort.[10]

There was also evidence of "other priorities" before the Supreme Court of Canada in *British Columbia (Minister of Forests) v. Okanagan Indian Band*,[11] that the Indian band required

---

earlier litigation between the parties, that this case did meet the high standard and that an award of advanced costs was warranted. Little Sisters Book & Art Emporium v. Canada (Commissioner of Customs & Revenue Agency), 2007 SCC 2~~, 2007 CarswellBC 79, 2007 CarswellBC 78, 53 Admin. L.R. (4th) 153, 62 B.C.L.R. (4th) 40, 215 C.C.C. (3d) 449, 37 C.P.C. (6th) 1, 275 D.L.R. (4th) 1,~~ (*sub nom.* Little Sisters Book & Art Emporium v. Minister of National Revenue) ~~235 B.C.A.C. 1, 150 C.R.R. (2d) 189, (*sub nom.* Little Sisters Book and Art Emporium v. Minister of National Revenue) 356 N.R. 83, (*sub nom.* Little Sisters Book & Art Emporium v. Canada) [2007] 1 S.C.R. 38, 388 W.A.C. 1, [2007] S.C.J. No. 2 (S.C.C.),~~ at para. 114.

9

Little Sisters Book & Art Emporium v. Canada (Commissioner of Customs & Revenue Agency), 2007 SCC 2~~, 2007 CarswellBC 79, 2007 CarswellBC 78, 53 Admin. L.R. (4th) 153, 62 B.C.L.R. (4th) 40, 215 C.C.C. (3d) 449, 37 C.P.C. (6th) 1, 275 D.L.R. (4th) 1,~~ (*sub nom.* Little Sisters Book & Art Emporium v. Minister of National Revenue) ~~235 B.C.A.C. 1, 150 C.R.R. (2d) 189, (*sub nom.* Little Sisters Book and Art Emporium v. Minister of National Revenue) 356 N.R. 83, (*sub nom.* Little Sisters Book & Art Emporium v. Canada) [2007] 1 S.C.R. 38, 388 W.A.C. 1, [2007] S.C.J. No. 2 (S.C.C.),~~ at paras. 39-41.

10

Little Sisters Book & Art Emporium v. Canada (Commissioner of Customs & Revenue Agency), 2007 SCC 2~~, 2007 CarswellBC 79, 2007 CarswellBC 78, 53 Admin. L.R. (4th) 153, 62 B.C.L.R. (4th) 40, 215 C.C.C. (3d) 449, 37 C.P.C. (6th) 1, 275 D.L.R. (4th) 1,~~ (*sub nom.* Little Sisters Book & Art Emporium v. Minister of National Revenue~~) 235 B.C.A.C. 1, 150 C.R.R. (2d) 189, (*sub nom.* Little Sisters Book and Art Emporium v. Minister of National Revenue) 356 N.R. 83, (*sub nom.* Little Sisters Book & Art Emporium v. Canada) [2007] 1 S.C.R. 38, 388 W.A.C. 1, [2007] S.C.J. No. 2 (S.C.C.),~~ at paras. 42-43, 71 and 73.

11

British Columbia (Minister of Forests) v. Okanagan Indian Band, ~~[2003] 3 S.C.R. 371,~~ 2003 SCC 71~~, 2003 SCC 71, 233 D.L.R. (4th) 577, [2004] 2 W.W.R. 252, 309 W.A.C. 161, 21 B.C.L.R. (4th) 209, 189 B.C.A.C. 161, [2004] 1 C.N.L.R. 7, 114 C.R.R. (2d) 108, 43 C.P.C.~~

the funds it had for housing purposes. Nevertheless, advance costs were awarded in that case. It is likely that it is not the fact that there are "other priorities" for the parties seeking a funding order that will be terminal to an award of advance costs, but rather the nature of those other priorities. If the other priorities are of such genuine importance to the plaintiff, such as adequate housing for members of an Indian band, it is likely that the court will not dismiss the application for an award of advance costs on that basis alone. There must be a balancing of the resources of both the private litigant and the public purse.[12]

13:34. Stringent Cost and Procedural Controls

As an award of advance costs is funding private litigation from the public purse, it is important to ensure that there are stringent controls and appropriate procedural controls on the costs of litigation. The court must ensure that a "unfair burden" is not placed upon the defendant. The order must not expose the defendants to "unreasonable or excessive costs".[1]

(5th) 1, 313 N.R. 84, 2003 CarswellBC 3040, 2003 CarswellBC 3041, [2003] S.C.J. No. 76, 127 A.C.W.S. (3d) 214 (S.C.C.), at para. 5.

12

Little Sisters Book & Art Emporium v. Canada (Commissioner of Customs & Revenue Agency), 2007 SCC 2, 2007 CarswellBC 79, 2007 CarswellBC 78, 53 Admin. L.R. (4th) 153, 62 B.C.L.R. (4th) 40, 215 C.C.C. (3d) 449, 37 C.P.C. (6th) 1, 275 D.L.R. (4th) 1, (*sub nom.* Little Sisters Book & Art Emporium v. Minister of National Revenue) 235 B.C.A.C. 1, 150 C.R.R. (2d) 189, (*sub nom.* Little Sisters Book and Art Emporium v. Minister of National Revenue) 356 N.R. 83, (*sub nom.* Little Sisters Book & Art Emporium v. Canada) [2007] 1 S.C.R. 38, 388 W.A.C. 1, [2007] S.C.J. No. 2 (S.C.C.), at paras. 43 and 159-160.

1

Xeni Gwet'in First Nations v. British Columbia, 2002 BCCA 434, (*sub nom.* William v. British Columbia) 279 W.A.C. 257, 3 B.C.L.R. (4th) 231, 170 B.C.A.C. 257, [2002] 4 C.N.L.R. 306, 21 C.P.C. (5th) 32, 2002 CarswellBC 1675, [2002] B.C.J. No. 1652, 115 A.C.W.S. (3d) 1 (B.C. C.A.), referred for consideration (*sub nom.* Regional Manager of the Cariboo Forest Region v. William) [2004] 1 C.N.L.R. iv (note), 2004 CarswellBC 633, 2004 CarswellBC 634 (S.C.C.), additional reasons 2004 BCCA 106, (*sub nom.* Xeni Gwet'in First Nations Government v. Riverside Forest Products Ltd.) 237 D.L.R. (4th) 754, [2004] 6 W.W.R. 252, (*sub nom.* William v. British Columbia) 317 W.A.C. 67, 23 B.C.L.R. (4th) 229, 194 B.C.A.C. 67, [2004] 2 C.N.L.R. 391, 116 C.R.R. (2d) 212, (*sub nom.* Tsilhqot'in Nation v. Canada (Attorney General)) 116 C.R.R. (2d) 361, 44 C.P.C. (5th) 102, 2004 CarswellBC 382, [2004] B.C.J. No. 356, 129 A.C.W.S. (3d) 262 (B.C. C.A.), funding order continued without variation, motion for disclosure dismissed 2004 BCSC 610, (*sub nom.* Xeni Gwet'in First Nations Government v. Riverside Forest Products Ltd.) 240 D.L.R. (4th) 547, [2004] 3 C.N.L.R. 356, 2004 CarswellBC 1040, [2004] B.C.J. No. 937, 131 A.C.W.S. (3d) 818 (B.C. S.C.); *British Columbia (Minister of Forests) v. Okanagan Indian Band*, 2001 BCCA 647, 208 D.L.R. (4th) 301, 263 W.A.C. 13, 95 B.C.L.R. (3d) 273, 161 B.C.A.C. 13, [2002] 1 C.N.L.R. 57, (*sub nom.* British Columbia (Ministry of Forests) v. Jules) 92 C.R.R. (2d) 319, [2001] B.C.T.C. 201, 2001 CarswellBC 2355, [2001] B.C.J. No. 2279, 109 A.C.W.S. (3d) 29 (B.C. C.A.), affirmed (2003), [2003] 3 S.C.R. 371, 2003 CSC 71, 2003 SCC 71, 233 D.L.R. (4th) 577, [2004] 2 W.W.R. 252, 309 W.A.C. 161, 21 B.C.L.R. (4th) 209, 189 B.C.A.C. 161, [2004] 1 C.N.L.R. 7, 114 C.R.R. (2d) 108, 43 C.P.C.

The importance of the significant controls arise because awards of advance costs can lead to legal expense, particularly in aboriginal title cases, in the many millions of dollars. The evidence put before the court in support of awards of advance costs has included affidavits of counsel setting out estimates concerning the litigation expense and affidavits of law firm accountants estimating the percentage of funding necessary to allow the law firm to "break even" and continue the litigation.[2] However, such evidence has been found to be irrelevant to the determination of whether advance costs are appropriate because the court should not undertake an economic analysis of the law firm engaged in the litigation to determine the scale for advance costs.[3]

Orders for advance costs should be carefully fashioned and reviewed over the course of the proceedings to ensure that concerns about access to justice are balanced against the need to encourage reasonable and efficient conduct and litigation.[4]

The lack of any control on the amount worked by plaintiff's counsel once an order for advance costs is in place is of concern to the courts. Unlike other litigation where a paying client

---

(5th) 1, 313 N.R. 84, 2003 CarswellBC 3040, 2003 CarswellBC 3041, [2003] S.C.J. No. 76, 127 A.C.W.S. (3d) 214 (S.C.C.) ("Okanagan Indian Band - CA"), affirmed Okanagan Indian Band - SCC, *British Columbia (Minister of Forests) v. Okanagan Indian Band*, [2003] 3 S.C.R. 371, 2003 CSC 71, 2003 SCC 71, 233 D.L.R. (4th) 577, [2004] 2 W.W.R. 252, 309 W.A.C. 161, 21 B.C.L.R. (4th) 209, 189 B.C.A.C. 161, [2004] 1 C.N.L.R. 7, 114 C.R.R. (2d) 108, 43 C.P.C. (5th) 1, 313 N.R. 84, 2003 CarswellBC 3040, 2003 CarswellBC 3041, [2003] S.C.J. No. 76, 127 A.C.W.S. (3d) 214 (S.C.C.). The history of the Xeni Gwet'in litigation was recently summarized by the B.C. Court of Appeal in Xeni Gwet'in First Nations v. British Columbia, 2013 BCCA 1, [2013] 3 W.W.R. 79, (*sub nom.* William v. British Columbia) 571 W.A.C. 85, 38 B.C.L.R. (5th) 124, 333 B.C.A.C. 78, 33 C.P.C. (7th) 235, 2013 CarswellBC 1, 225 A.C.W.S. (3d) 49 (B.C. C.A.).

2

Xeni Gwet'in First Nations v. British Columbia, 2006 BCCA 2, [2006] 4 W.W.R. 48, (*sub nom.* William v. British Columbia) 364 W.A.C. 48, 48 B.C.L.R. (4th) 205, 221 B.C.A.C. 48, [2006] 2 C.N.L.R. 336, 2006 CarswellBC 2, [2006] B.C.J. No. 2, 146 A.C.W.S. (3d) 28 (B.C. C.A.), at para. 22.

3

Xeni Gwet'in First Nations v. British Columbia, 2006 BCCA 2, [2006] 4 W.W.R. 48, (*sub nom.* William v. British Columbia) 364 W.A.C. 48, 48 B.C.L.R. (4th) 205, 221 B.C.A.C. 48, [2006] 2 C.N.L.R. 336, 2006 CarswellBC 2, [2006] B.C.J. No. 2, 146 A.C.W.S. (3d) 28 (B.C. C.A.), at para. 115.

4

British Columbia (Minister of Forests) v. Okanagan Indian Band, [2003] 3 S.C.R. 371, 2003 CSC 71, 2003 SCC 71, 233 D.L.R. (4th) 577, [2004] 2 W.W.R. 252, 309 W.A.C. 161, 21 B.C.L.R. (4th) 209, 189 B.C.A.C. 161, [2004] 1 C.N.L.R. 7, 114 C.R.R. (2d) 108, 43 C.P.C. (5th) 1, 313 N.R. 84, 2003 CarswellBC 3040, 2003 CarswellBC 3041, [2003] S.C.J. No. 76, 127 A.C.W.S. (3d) 214 (S.C.C.), at para. 41.

supervises the work produced and reviews legal expense, once advance costs have been ordered, there is no paying client to monitor the work performed by the law firm. It has been observed that there is little to stop the plaintiff's law firm from doing all possible work rather then that which is reasonably necessary once an order for advance costs has been made.

> [73] What is fundamentally the matter with such an order is that there is no incentive to economy. It is an open cheque. Nor does such an order engage the plaintiff himself.[5]

Once it has been determined that an order of advance costs is appropriate, the management of the extent of the costs, the structure of the order and the quantum of the funding order should be determined by the case management/trial judge.[6] While the court should not get involved in supervising a plaintiff's litigation work plan or reviewing the financial information of a plaintiff's counsel's law firm, it is appropriate for the court to make suggestions of court procedures that may minimize the costs and extent of the litigation such as proceeding on a special case.[7]

A consequence of an order for advanced costs is that a litigant relinquishes some manner of control over how the litigation proceeds. There will be scrutiny over how advanced costs are spent and the court "should set limits on the chargeable rates and hours of legal work, closely monitor the parties adherence to its dictates, and cap the advanced costs award at an appropriate global amount."[8] The advanced costs award is not meant to provide the party with free reign as

---

5

Xeni Gwet'in First Nations v. British Columbia, 2006 BCCA 2~~,~~ ~~[2006] 4 W.W.R. 48,~~ (*sub nom.* William v. British Columbia) ~~364 W.A.C. 48, 48 B.C.L.R. (4th) 205, 221 B.C.A.C. 48, [2006] 2 C.N.L.R. 336, 2006 CarswellBC 2, [2006] B.C.J. No. 2, 146 A.C.W.S. (3d) 28 (B.C. C.A.),~~ at para. 73.

6

Little Sisters Book & Art Emporium v. Canada (Commissioner of Customs & Revenue Agency), 2005 BCCA 94~~, 249 D.L.R. (4th) 695,~~ (*sub nom.* Little Sisters Book & Art Emporium v. Minister of National Revenue) ~~208 B.C.A.C. 246, 127 C.R.R. (2d) 165, 344 W.A.C. 246, [2005] B.C.J. No. 291 (B.C. C.A.),~~ at para. 25, affirmed 2007 SCC 2~~, 2007 CarswellBC 79, 2007 CarswellBC 78, 53 Admin. L.R. (4th) 153, 62 B.C.L.R. (4th) 40, 215 C.C.C. (3d) 449, 37 C.P.C. (6th) 1, 275 D.L.R. (4th) 1, (*sub nom.* Little Sisters Book & Art Emporium v. Minister of National Revenue) 235 B.C.A.C. 1, 150 C.R.R. (2d) 189, (*sub nom.* Little Sisters Book and Art Emporium v. Minister of National Revenue) 356 N.R. 83, (*sub nom.* Little Sisters Book & Art Emporium v. Canada) [2007] 1 S.C.R. 38, 388 W.A.C. 1, [2007] S.C.J. No. 2 (S.C.C.)~~.

7

Xeni Gwet'in First Nations v. British Columbia, 2004 BCSC 610~~,~~ (*sub nom.* Xeni Gwet'in First Nations Government v. Riverside Forest Products Ltd.) ~~240 D.L.R. (4th) 547, [2004] 3 C.N.L.R. 356, 2004 CarswellBC 1040, [2004] B.C.J. No. 937, 131 A.C.W.S. (3d) 818 (B.C. S.C.),~~at para. 50, additional reasons 2004 BCSC 964~~, 30 B.C.L.R. (4th) 382, [2004] 4 C.N.L.R. 360, 2 C.P.C. (6th) 193, 2004 CarswellBC 1743, [2004] B.C.J. No. 1552, 133 A.C.W.S. (3d) 422 (B.C. S.C.),~~ at paras. 13-15, and 50 ~~(BCSC)~~; cited with approval in Xeni Gwet'in First Nations v. British Columbia, 2006 BCCA 2~~, [2006] 4 W.W.R. 48, (*sub nom.* William v. British Columbia) 364 W.A.C. 48, 48 B.C.L.R. (4th) 205, 221 B.C.A.C. 48, [2006] 2 C.N.L.R. 336, 2006 CarswellBC 2, [2006] B.C.J. No. 2, 146 A.C.W.S. (3d) 28 (B.C. C.A.),~~ at para. 115.

8

to legal expense but rather to provide a basic level of assistance necessary for the case to proceed.[9]

In appropriate circumstances, the order for advance costs can be set out as a percentage of a special costs award with a holdback to protect the defendants from the concern that plaintiff's counsel will perform unnecessary, unreasonable or excessive work. The holdback would only be paid out at the end of litigation either by consent or by the direction of the Registrar.[10] However, the appropriate manner in determining the quantum of advance costs is to use the tariff or schedule of taxable costs and disbursements under the appropriate Rules of Court, taking into consideration the complexity and difficulty of the litigation.[11]

13:35. Statutory Bars to Order

Little Sisters Book & Art Emporium v. Canada (Commissioner of Customs & Revenue Agency), 2007 SCC 2~~, 2007 CarswellBC 79, 2007 CarswellBC 78, 53 Admin. L.R. (4th) 153, 62 B.C.L.R. (4th) 40, 215 C.C.C. (3d) 449, 37 C.P.C. (6th) 1, 275 D.L.R. (4th) 1,~~ (*sub nom.* Little Sisters Book & Art Emporium v. Minister of National Revenue) ~~235 B.C.A.C. 1, 150 C.R.R. (2d) 189, (*sub nom.* Little Sisters Book and Art Emporium v. Minister of National Revenue) 356 N.R. 83, (*sub nom.* Little Sisters Book & Art Emporium v. Canada) [2007] 1 S.C.R. 38, 388 W.A.C. 1, [2007] S.C.J. No. 2 (S.C.C.),~~ at paras. 42-43.

9

Little Sisters Book & Art Emporium v. Canada (Commissioner of Customs & Revenue Agency), 2007 SCC 2, ~~2007 CarswellBC 79, 2007 CarswellBC 78, 53 Admin. L.R. (4th) 153, 62 B.C.L.R. (4th) 40, 215 C.C.C. (3d) 449, 37 C.P.C. (6th) 1, 275 D.L.R. (4th) 1,~~ (*sub nom.* Little Sisters Book & Art Emporium v. Minister of National Revenue) ~~235 B.C.A.C. 1, 150 C.R.R. (2d) 189, (*sub nom.* Little Sisters Book and Art Emporium v. Minister of National Revenue) 356 N.R. 83, (*sub nom.* Little Sisters Book & Art Emporium v. Canada) [2007] 1 S.C.R. 38, 388 W.A.C. 1, [2007] S.C.J. No. 2 (S.C.C.),~~ at para. 43.

10

Xeni Gwet'in First Nations v. British Columbia, 2006 BCCA 2~~, [2006] 4 W.W.R. 48, (*sub nom.* William v. British Columbia) 364 W.A.C. 48, 48 B.C.L.R. (4th) 205, 221 B.C.A.C. 48, [2006] 2 C.N.L.R. 336, 2006 CarswellBC 2, [2006] B.C.J. No. 2, 146 A.C.W.S. (3d) 28 (B.C. C.A.),~~ at para. 51.

11

British Columbia (Minister of Forests) v. Okanagan Indian Band, ~~[2003] 3 S.C.R. 371, 2003 CSC 71,~~ 2003 SCC 71~~, 233 D.L.R. (4th) 577, [2004] 2 W.W.R. 252, 309 W.A.C. 161, 21 B.C.L.R. (4th) 209, 189 B.C.A.C. 161, [2004] 1 C.N.L.R. 7, 114 C.R.R. (2d) 108, 43 C.P.C. (5th) 1, 313 N.R. 84, 2003 CarswellBC 3040, 2003 CarswellBC 3041, [2003] S.C.J. No. 76, 127 A.C.W.S. (3d) 214 (S.C.C.)~~; and see also, Xeni Gwet'in First Nations v. British Columbia, 2004 BCSC 610, (*sub nom.* Xeni Gwet'in First Nations Government v. Riverside Forest Products Ltd.) ~~240 D.L.R. (4th) 547, [2004] 3 C.N.L.R. 356, 2004 CarswellBC 1040, [2004] B.C.J. No. 937, 131 A.C.W.S. (3d) 818 (B.C. S.C.),~~at para. 22, additional reasons 2004 BCSC 964~~, 30 B.C.L.R. (4th) 382, [2004] 4 C.N.L.R. 360, 2 C.P.C. (6th) 193, 2004 CarswellBC 1743, [2004] B.C.J. No. 1552, 133 A.C.W.S. (3d) 422 (B.C. S.C.)~~.

The inherent jurisdiction to order funding orders does not allow the court to ignore statutory prohibitions against awarding costs such as contained in the *British Columbia Class Proceedings Act.*[1]

13:36. Management of a Funding Order

The management of the costs, structure of the order and the quantum of the funding order should be determined by the case management/trial judge.[1] The funding order will either be based upon the tariff of costs for the successful party in litigation or by ascertaining a level of special costs.[2]

When ascertaining the level of "special costs" to be provided pursuant to a funding order, one must determine "an estimate of that level of fees that a reasonable client would pay a reasonably competent solicitor for performing the task of conducting the litigation in hand".[3] Hence, the "special costs" are not tied to the tariff for schedule of costs typically awarded to the successful party at the end of the litigation. If the hourly rates for the work to be done for the plaintiffs by their counsel cannot be agreed upon, then they can be determined through a hearing before the registrar.[4] The amount paid by the Crown to their own counsel is neither relevant nor

---

1

Rumley v. British Columbia, 2002 BCSC 1100~~, 4 B.C.L.R. (4th) 132, 22 C.P.C. (5th) 92, 2002 CarswellBC 1940, [2002] B.C.J. No. 1719, 115 A.C.W.S. (3d) 207 (B.C. S.C. [In Chambers])~~, at para. 9.

1

Little Sisters Book & Art Emporium v. Canada (Commissioner of Customs & Revenue Agency), 2005 BCCA 94~~, 249 D.L.R. (4th) 695~~, (*sub nom.* Little Sisters Book & Art Emporium v. Minister of National Revenue) ~~208 B.C.A.C. 246, 127 C.R.R. (2d) 165, 344 W.A.C. 246, [2005] B.C.J. No. 291 (B.C. C.A.)~~, affirmed 2007 SCC 2~~, 2007 CarswellBC 79, 2007 CarswellBC 78, 53 Admin. L.R. (4th) 153, 62 B.C.L.R. (4th) 40, 215 C.C.C. (3d) 449, 37 C.P.C. (6th) 1, 275 D.L.R. (4th) 1, (*sub nom.* Little Sisters Book & Art Emporium v. Minister of National Revenue) 235 B.C.A.C. 1, 150 C.R.R. (2d) 189, (*sub nom.* Little Sisters Book and Art Emporium v. Minister of National Revenue) 356 N.R. 83, (*sub nom.* Little Sisters Book & Art Emporium v. Canada) [2007] 1 S.C.R. 38, 388 W.A.C. 1, [2007] S.C.J. No. 2 (S.C.C.)~~, at para. 24.

2

Xeni Gwet'in First Nations v. British Columbia, 2006 BCCA 2~~, [2006] 4 W.W.R. 48, (*sub nom.* William v. British Columbia) 364 W.A.C. 48, 48 B.C.L.R. (4th) 205, 221 B.C.A.C. 48, [2006] 2 C.N.L.R. 336, 2006 CarswellBC 2, [2006] B.C.J. No. 2, 146 A.C.W.S. (3d) 28 (B.C. C.A.)~~, at para. 112.

3

Xeni Gwet'in First Nations v. British Columbia, 2006 BCCA 2~~, [2006] 4 W.W.R. 48, (*sub nom.* William v. British Columbia) 364 W.A.C. 48, 48 B.C.L.R. (4th) 205, 221 B.C.A.C. 48, [2006] 2 C.N.L.R. 336, 2006 CarswellBC 2, [2006] B.C.J. No. 2, 146 A.C.W.S. (3d) 28 (B.C. C.A.)~~, at para. 111.

4

Xeni Gwet'in First Nations v. British Columbia, 2004 BCSC 610~~,~~ (*sub nom.* Xeni Gwet'in First

admissible to the determination of the amount to pay plaintiff's counsel pursuant to a funding order.[5]

The information generated by plaintiff's counsel in support of interim payments pursuant to a funding order will often include confidential and, perhaps, privileged information. In order to protect the confidential and privileged information that must be disclosed to justify the payment of legal fess pursuant to an order of advance costs, the parties can enter into a confidentiality agreement.[6] It may be appropriate for the defendant to have separate counsel deal with the funding issue so that any confidential information disclosed to obtain interim funding is kept discreet from the counsel dealing with the substantive issues.

The total fees and disbursements paid by the Crown to their counsel in defending an action is protected by solicitor client privilege and should not be ordered to be disclosed.[7]

Nations Government v. Riverside Forest Products Ltd.) 240 D.L.R. (4th) 547, [2004] 3 C.N.L.R. 356, 2004 CarswellBC 1040, [2004] B.C.J. No. 937, 131 A.C.W.S. (3d) 818 (B.C. S.C.),at paras. 3-4, additional reasons 2004 BCSC 964, 30 B.C.L.R. (4th) 382, [2004] 4 C.N.L.R. 360, 2 C.P.C. (6th) 193, 2004 CarswellBC 1743, [2004] B.C.J. No. 1552, 133 A.C.W.S. (3d) 422 (B.C. S.C.); Xeni Gwet'in First Nations v. British Columbia, 2006 BCCA 2, [2006] 4 W.W.R. 48, (*sub nom.* William v. British Columbia) 364 W.A.C. 48, 48 B.C.L.R. (4th) 205, 221 B.C.A.C. 48, [2006] 2 C.N.L.R. 336, 2006 CarswellBC 2, [2006] B.C.J. No. 2, 146 A.C.W.S. (3d) 28 (B.C. C.A.), at para. 51.

5

Xeni Gwet'in First Nations v. British Columbia, 2004 BCSC 610, (*sub nom.* Xeni Gwet'in First Nations Government v. Riverside Forest Products Ltd.) 240 D.L.R. (4th) 547, [2004] 3 C.N.L.R. 356, 2004 CarswellBC 1040, [2004] B.C.J. No. 937, 131 A.C.W.S. (3d) 818 (B.C. S.C.),at paras. 15-18, additional reasons 2004 BCSC 964, 30 B.C.L.R. (4th) 382, [2004] 4 C.N.L.R. 360, 2 C.P.C. (6th) 193, 2004 CarswellBC 1743, [2004] B.C.J. No. 1552, 133 A.C.W.S. (3d) 422 (B.C. S.C.).

6

Xeni Gwet'in First Nations v. British Columbia, 2004 BCSC 610, (*sub nom.* Xeni Gwet'in First Nations Government v. Riverside Forest Products Ltd.) 240 D.L.R. (4th) 547, [2004] 3 C.N.L.R. 356, 2004 CarswellBC 1040, [2004] B.C.J. No. 937, 131 A.C.W.S. (3d) 818 (B.C. S.C.),at para. 5, additional reasons 2004 BCSC 964, 30 B.C.L.R. (4th) 382, [2004] 4 C.N.L.R. 360, 2 C.P.C. (6th) 193, 2004 CarswellBC 1743, [2004] B.C.J. No. 1552, 133 A.C.W.S. (3d) 422 (B.C. S.C.).

7

Xeni Gwet'in First Nations v. British Columbia, 2004 BCSC 610, (*sub nom.* Xeni Gwet'in First Nations Government v. Riverside Forest Products Ltd.) 240 D.L.R. (4th) 547, [2004] 3 C.N.L.R. 356, 2004 CarswellBC 1040, [2004] B.C.J. No. 937, 131 A.C.W.S. (3d) 818 (B.C. S.C.),at paras. 15-16 and 18, additional reasons 2004 BCSC 964, 30 B.C.L.R. (4th) 382, [2004] 4 C.N.L.R. 360, 2 C.P.C. (6th) 193, 2004 CarswellBC 1743, [2004] B.C.J. No. 1552, 133 A.C.W.S. (3d) 422 (B.C. S.C.); Maranda c. Québec (Juge de la Cour du Québec), (*sub nom.* Maranda v. Richer) [2003] 3 S.C.R. 193, 2003 SCC 67, 232 D.L.R. (4th) 14, 178 C.C.C. (3d) 321, 15 C.R. (6th) 1, 113 C.R.R. (2d) 76, 311 N.R. 357, 2003 CarswellQue 2477, 2003 CarswellQue 2478, [2003] S.C.J. No. 69, 59 W.C.B. (2d) 553 (S.C.C.).

However, the presumption of privilege can be rebutted where an applicant can provide persuasive argument that the disclosure of information about amounts of legal fees will not disclose privileged information about communications between solicitor and client.[8]

8

British Columbia (Attorney General) v. Canadian Constitution Foundation, 2020 BCCA 238, 2020 CarswellBC 2043, [2021] 5 W.W.R. 479, 321 A.C.W.S. (3d) 782, 40 B.C.L.R. (6th) 289, 73 Admin. L.R. (6th) 155 (B.C. C.A.), at paras. 60-61.

Summary report: Litera Compare for Word 11.14.1.3 Document comparison done on 6/2/2026 2:10:19 PM	
Style name: Default Style	
Intelligent Table Comparison: Active	
Original filename: 1412-0513-7952-v1-CDN_HM_GLLP 13 (2026 update) (002).docx	
Modified filename: 1412-0513-7952-v1.1-CDN_HM_GLLP 13 (2026 update).docx	
Changes:	
Add	112
~~Delete~~	197
~~Move From~~	1
Move To	1
Table Insert	0
~~Table Delete~~	0
Table moves to	0
~~Table moves from~~	0
Embedded Graphics (Visio, ChemDraw, Images etc.)	0
Embedded Excel	0
Format changes	0
Total Changes:	311